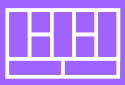
BUSINESS MODEL METRICS AND KPIS



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SUPER GUIDE:

BUSINESS MODEL METRICS AND KPIS

BY DANIEL PEREIRA



THE BUSINESS MODEL ANALYST

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INTRODUCTION

Business metrics are the heart of any business. If you don't have good business metrics, you won't know if your business is doing well or not. By understanding how each metric works and how they apply to the different business models, you will be able to get the most out of your investments.

This super guide will explain the different types of metrics typically available based on the business model you are using to help you with decision-making in your business. It will also highlight how these metrics can help you understand what is working and what isn't for your business.

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WHAT ARE BUSINESS METRICS?



To conduct an accurate analysis of the success of your business, you will need to put into place a set of indicators that can be quantified. And that's what business metrics are: They are quantifiable indicators used to measure business performance. These metrics can help you decide if your business is on the right track to profitability or if it's failing.

Because there are so many distinct kinds of businesses and activities, there are a huge variety of metrics that may be used to assess such businesses and their activities. For this reason, the definition of business metrics might vary based on the types of businesses, but they all agree on one thing: Business metrics are used to evaluate various aspects of a company's performance.

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While the responsibility of tracking company-wide metrics falls within the purview of the company's management, every division and department within a company is, as a general rule, tasked with the obligation of monitoring the metrics that reflect how successfully their various areas are operating. This can help the heads of these various divisions adjust their policies or optimize business operations to stay on the right side of these business metrics.

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WHAT ARE KPIS?

These are the metrics through which you measure your business's key efforts, objectives, or goals. In this context, "key" in KPIs refers to significant business efforts. KPIs serve as a way to measure progress toward a specific target.

KPIs are essential for determining whether you and your team are making intelligent decisions or not. Business outcomes can be tracked using these metrics, and the organization can use them as a guide to where it wants to go. Key performance indicators (KPIs) include things like revenue growth, client retention, and customer lifetime value.

For instance, if your company's goal is to increase revenue by 20% over the next two quarters, you can utilize KPIs such as new customer acquisition, customer lifetime value, and upselling success rate to track its progress.

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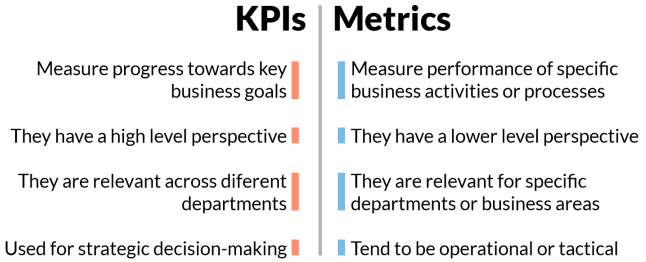
BUSINESS METRICS VS. KPIS

In many cases, metrics and KPIs are used interchangeably (KPIs). However, they aren't the same. While KPIs are still metrics, they are the most critical measurements for advancing your firm. KPIs are specific measures and results, that must be tracked and attained if your company is to succeed in reaching its long-term ambitions. A solid strategic plan comprises 5 to 7 key performance indicators to track your progress toward your objectives (KPIs).

With metrics, however, typical business activities of a firm can also be followed and measured, but this information is not the most crucial for tracking and improving the performance of your company in light of your strategic plan.

While every KPI is a metric, not every metric is a KPI. It's easy to get the two terms mixed up, but let's look at it from a different perspective. KPIs can help you pinpoint your company's goals and priorities. On the other hand, if you want to keep doing business as usual, you need metrics, but they aren't the most important ones.

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THE KEY DIFFERENCES BETWEEN KPIS AND METRICS

- KPIs are used by business owners to track the progress of their company's goals. As a result of this, metrics have been developed in order to assess certain locations or activities that may be working toward these aims.
- KPIs that are closely linked to an end result are constantly expected to rise or fall in order to accomplish their aim. On the other hand, metrics measure the impact of day-to-day business activity, but only some of them may help you track the success of your strategic efforts.
- Metrics and KPIs aren't mutually exclusive, which is why they're commonly mistaken for one another in practice. To measure the success of a KPI, you'll need a set of measures: The key is to use the appropriate metrics.

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- Metrics and KPIs differ in that metrics are narrower in scope, while KPIs are more comprehensive. KPIs provide an overview. They reflect important corporate objectives that affect many different parts of the company. A department's or business area's metrics, on the other hand, are viewed as lower-level indicators that track specific activities or processes.

EXAMPLE: KPI VS. METRICS

Increasing new customer trials by 20% is an excellent illustration of a KPI. For a company, this can translate to an increase of 40 to 60 trials each week. One of the goals of this KPI is to increase net-new revenue, which is a specific strategic objective.

As an illustration of a metric, consider organic incoming traffic to a website. Even while tracking this indicator is critical to ensure the success of your overall strategy, no one KPI can be tied to it. It's merely a useful measure.

Consider another example. Page views are a marketing metric you may monitor. It's a valuable indicator for tracking the number of views of a certain marketing campaign's landing page. Is this, then, a marketing key performance indicator? No.

No matter how important it is to a company's bottom line, it is not a straightforward route to meeting its goals. If you are tracking organic search leads and wins, this can be included in your inbound KPI approach. The result could be a rise in revenue.

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EVERY KPI IS A METRIC, BUT NOT EVERY METRIC IS A KPI

For a moment, assume that metrics are the players on a hockey team, but your KPI is your goalkeeper. Teamwork is a necessity, and each player has a certain job to play on the team. Your KPI is supported by metrics that are part of your team. What you pay for a customer to come to your site (customer acquisition costs) or a goal to be achieved are the numbers that back up your key performance indicators.

Your goalkeeper, on the other hand, is your key performance indicator (KPI). To continue our hockey analogy, it would be like stopping the opposing team from scoring against you. It's impossible to achieve your KPI without a star-studded team of metrics (or players).

THE RELATIONSHIP BETWEEN KPIS AND METRICS

Metrics allows you to keep tabs on a variety of different parts of your business daily. One way, your SEO might keep track of how many target keywords your site is now ranking in search results. Employee grievances can be tracked by human resources to see how many have been settled. These metrics, on the other hand, may or may not be considered KPIs by the organization.

Critical performance indicators (KPIs) are a set of measures that have the greatest impact on your overall business aim to accomplish key outcomes. Key performance indicators (KPIs) communicate your company's priorities and assist you in

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identifying the specific adjustments that need to be made to achieve a broader goal. When it comes to determining what matters most to your company, KPIs are a great tool.

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BENEFITS OF TRACKING BUSINESS METRICS

Measuring the indicators that matter most to your company and making operational decisions based on the data you collect will increase your company's chances of success. It's that easy, but it demands a lot of work. For example, the number of applicants that an executive search firm brings to a client might be tracked. However, for the customer, the most significant metrics to track and measure are the speed with which the post is filled and the caliber of the applicants.

Measuring important company KPIs has the following six advantages:

1. The right metrics will show you how well or poorly your firm is doing and provide you with suggestions on how to improve it;
2. Using comparison research, it is possible to assess whether a company is functioning above or below industry benchmarks;
3. With business metrics, you can make sure that everyone in the company is working toward the same objectives;
4. Governments and other regulatory authorities demand enterprises monitor specific business KPIs to remain compliant;
5. Analyzing business metrics is essential to identify and

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correct problems before they become severe difficulties;

6. Reporting firm indicators benefit customers, shareholders, employees, and society at large.

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WHY IS KPI IMPORTANT?

1. In order to keep tabs on the state of a business: KPIs serve as a gauge of a company's overall health. To keep tabs on the health of your firm, a small number of key performance indicators (KPIs) is all you need. Measure only what you want to move, so that you can direct your efforts where they are most needed.

2. Employees, customers, processes, and revenue are all areas where it is necessary to keep track of a few key performance indicators (KPI). HR, CSAT, business processes, business strategy, and many more are areas that fall under this umbrella. Finding out who will be responsible for accomplishing certain key performance indicators is second in line after deciding on the best KPIs for your company.

3. To keep track of how things are going: Keep an eye on important performance metrics, such as revenue, gross margin, the number of locations, and the number of staff. Keep track of your success each week by using KPIs to set goals at the beginning of each quarter or year. It is possible to track your long-term goals and business strategy's success by using the appropriate KPIs.

4. It's important to adjust and keep on course. In addition to your results, you'll need leading indicators to tell you ahead of time if you're likely to fall short of your goals. You can use leading indicator KPIs to make predictions and your performance. They tell you whether you're on pace to meet your goals or not. Two

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things distinguish leading indicators from other types of indicators: they can be measured and altered. KPIs such as these might help you stay on track with your projects.

5. To resolve issues and pursue new opportunities: Make a dashboard that shows several key performance indicators (KPIs) so that you can spot problems quickly and deal with them as they come up. Sales are down, so what do you do? Identify a few key performance indicators (KPIs) that can help you turn the tide (for example, the number of outgoing calls, the number of appointments kept, or the number of trade exhibitions attended).

6. To check if you've found the ideal lever for more predictable sales, put them on a dashboard and monitor them every week. Or perhaps you have a brilliant concept for a brand-new item. Before expanding to a larger audience, you might want to run a small pilot program with a small number of customers and track key performance indicators (KPIs) to make sure your business model is sound. For example, you could track metrics such as the number of interested customers, the amount of money spent on new products, customer satisfaction scores (NPS), time to implement, and the number of defects.

7. To study trends over a period of time: Quarterly comparisons of the same key performance indicators (KPIs) will reveal patterns. In your firm, you can apply these patterns in a number of different ways. If you know when your slowest quarter will be, you can use that time to update your systems or train everyone in your company. Depending on how their KPIs are doing, some individuals in your team may be constantly performing below or above average, and you may use this data to discuss the ramifications of

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their actions.

BENEFITS OF USING KPI'S



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THE GOALS OF BUSINESS MODEL METRICS

Depending on its size and place in the market, a company's goals for using business model measurements will be different. However, the primary objective is to examine the business model of the company. Here are some examples:

- To guarantee that they have a business model that matches their profitability, repeatability, and scalability ambitions, startups analyze their business models;
- Operating companies constantly review and re-evaluate their business models regularly to detect and address weaknesses in them;
- Before putting money into a company, investors look closely at its business plan to see if it will give them a good return on their money.

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WHAT BUSINESS METRICS SHOULD YOU USE?

Because there are so many different key performance indicators for companies to take into account, this is a very important question to ask. Firms can get "metrics crazy" and try to keep track of too many things if their business objectives are unclear. While the indicators that are important to each organization are unique, these four questions might be useful in determining what is most important to every business:

1. What relationship does this metric have with how well the company is doing?
2. Is it able to accurately anticipate future results?
3. Is it possible to measure it reasonably?
4. It's important to ask if and how much authority those working on the metric have to make changes to the metric itself.

Determine your goals, and then analyze the various metrics that can be used to measure your progress toward those goals. For example, your quality control team can track metrics such as the number of defective items and the number of products manufactured each week, as well as the number of problematic products that reach customers before being removed from the supply chain, to maintain good quality control.

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KEY BUSINESS METRICS IN DIFFERENT BUSINESS MODELS

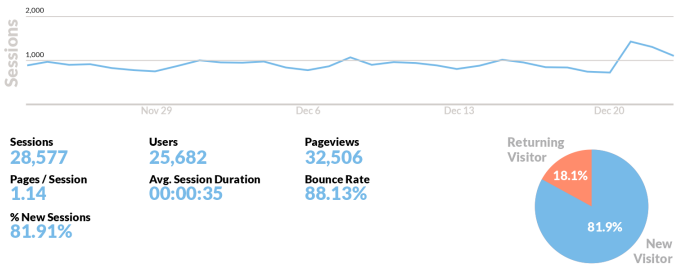
1. SAAS BUSINESS MODEL METRICS

Monthly Unique Visitors
If a person visits a website at least once a month, that individual is considered to be a "monthly unique visitor". Tracking and counting software — such as Google Analytics — can distinguish between a one-time visitor and a frequent user that visits the site consistently.

Cookies are used by websites to track the amount of time a user has opened their site. You must have visited the site at least once a month to count as one unique monthly visitor. These visits are counted once for each visitor, even if they visit the website several times within the month.

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AUDIENCE OVERVIEW



Why Is It Important to Measure Unique Visitors?

There are a few key reasons why it is critical to have a thorough understanding of your website's individual users. These reasons may change for you, depending on several things, such as the marketing objectives you have established for your company or the kind of company you operate.

1. The number of unique users might provide insight into the exact size of your audience.

For example, a single individual may visit a website four times every day. According to this logic, if an advertisement is shown on a website three times, the same person will be exposed to it three times. This might be a good indicator for a website that earns money by selling ad impressions. A website that provides SaaS, on the other hand, would not have to worry about this metric.

This is because they are more focused on acquiring new customers.

The amount of traffic that they get is more or less an indicator

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of how successful their marketing campaign is.

2. It will be of use to you in getting a better grasp of the habits and preferences of your customers.

It may be seen as a good sign if your website's visitors return frequently, because this means they value the information as well as the products and services you provide. However, if you see that a high number of people visit your website for the first time but never return, this might signal that there is a problem.

You could then opt to launch an investigation to find the problem and a solution.

How to Measure Unique Visitors?

The terms "unique user" or "unique visitor" may be used to demonstrate that each individual user or visitor is only counted once. Bots that categorize web data can make things difficult. Any suspicious behavior that could be handled by bots is filtered out throughout the estimation phase. It is accomplished by requesting cookie permission or registration from bots to remove their IP addresses.

Look at the number of unique visitors versus the total number of visits to tell the difference between returning and new clients.

You can use several services to track unique visitors. These services include Google Analytics, Yandex.Metrica, Bing Webmaster Tools, and Adobe Analytics.

Pick one of the web analytics tools, put it on your website, and you can start keeping track of unique visitors.

Signups

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For SaaS companies that offer a free trial, signups may be a useful number to track.

Your marketing team will have a clear aim to work toward when you set a trial or account signup as a goal. If your product can fulfill the needs of these prospective clients, then an increase in the number of signups should lead to an increase in revenue. One study found that up to 39% of SaaS experts who were interviewed made reports about signups. However, only 15% stated it was one of their most important indicators as a SaaS business leader.

Signup is an important SaaS metric for B2B companies that offer freemium or self-service.

The major marketing goal for most SaaS companies, whether they provide a free trial or a freemium plan, is to drive signups. Writing informative content for both present and prospective customers will aid in increasing signups and optimizing your SaaS conversion rate. This can be organized by a sign-up source to see which marketing channels are most significant for lead generation and each stage of your sales funnel.

Why is tracking signups important?

There is a strong link between the rate of signups and future revenue growth, which makes this a very important indicator to keep an eye on. When asked about this statistic, it's important to have a few prepared responses on hand.
Let's say you've given buyers a few ways to see how your product improves their lives.
These potential clients provide their contact information in exchange for this opportunity to explore what you have to offer and see if they need it. Signing up is a critical aspect of your conversion plan, and you shouldn't ignore it because it could have a significant influence on the future of your

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business.

Product-Qualified Leads (PQLs)

PQLs are those who have used a free trial version of your product or a freemium version and have seen its benefits. Signing up for a free trial or freemium model does not inherently suggest that they are a qualified lead for your product. The user must investigate numerous elements of the product and undertake particular activities before they can be designated as a PQL.

When using a product-driven growth strategy, product-qualified leads are frequently misinterpreted to suggest that no marketing is necessary. Because the value of a product may only be realized if a consumer opts for a free trial or freemium model, marketing is critical to the product-led growth technique.

As an alternative to making prospective customers fill out lead forms and perform specific qualifying processes, PQLs allow salespeople to concentrate on acquiring new clients instead. It's a "try before you buy" approach, where prospective clients can decide if they want to buy before speaking with an actual representative.

The free trial version of Intercom, for example, lets customers test the product before committing to a long-term plan.

How to identify the PQL for your business?

Because there are so many ways to describe PQL, most SaaS firms struggle to define PQL for their business. The maturity of your product and business strategy influences how you define "qualified" leads for your offerings. You must specify your value metric for your PQL to be correctly defined. The value metric is what and how you charge your clients at the end of the day. However, determining your value metric and

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effectively setting your prices is more complex than you might think.

Only a person who has completed a free trial of the full app and is willing to purchase the product after that trial, or a person who has used all of the basic features available in a freemium version and wants more features, is considered a PQL.

Every SaaS company must continuously revise the definition of PQL to ensure that end-users receive the genuine value of the product they use.

With the proper product description, your marketing and sales teams can properly coordinate, convert a high percentage of free users into paying customers, and discover what is preventing your consumers from being successful with your product. With the right product description, your marketing and sales teams can work together, turn a high percentage of free users into paying customers, and find out what is stopping your customers from being successful with your product.

Potential customers demonstrate purchasing intent by engaging in the following product behaviors while using your app:

- Consumer interest in the product;
- The number of people who use it;
- Components utilized;
- Patterns of monetary expenditure;
- Indicators of usage;
- How rapidly a user or group accepts your product.

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If you have access to past product data, identifying the user actions that are most likely to lead to them becoming paying customers is simple.

If you are prepared to put in the effort, you can gain a comprehensive understanding of how consumers' behavior is related to their upgrade.

But if you don't have this information, you can use product analytics and adoption platforms to learn more about the actions that lead to account upgrades.

After that, it's a good idea to start thinking about PQL definitions. It will be useful when testing a business hypothesis, even if it is only a theory at the moment.

Qualified Lead Velocity Rate (LVR)
The Lead Velocity Rate can be used to track monthly growth in qualified leads (LVR). Your LVR percentage shows both how well your pipeline works and how much your business could grow in the long run.

Metrics related to revenue can change, but LVR lets you see if your qualified leads are growing steadily, which is a better indicator of how your business will do in the future than metrics related to revenue.

LVR provides a stable starting point, allowing you to make better predictions and plans for growth and scalability without having to guess as much. Your revenue growth may be lagging behind your lead growth, which necessitates a closer look at your conversion rates to find out what's going on. This category includes subscription-based SaaS enterprises that rely on recurring revenue.

Having a real-time growth indicator is very helpful for sales teams and businesses as a whole. For example, if you expect

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a decline in revenue over the winter, you can choose to raise lead velocity to attract a greater number of leads. Your quarterly sales quotas are more likely to be met if you can bring in more qualified prospects.

You must also track your sales qualified lead rate and the path they take to close a deal if you want to maximize your lead velocity rate (LVR).

How to calculate Qualified Lead Velocity Rate?

The LVR is derived by subtracting the qualified leads from the previous month from the qualified leads for the current month. To make it a percentage, divide the result by the number of qualified leads generated in the previous month, multiplied by 100.

In essence:

QL = Qualified Leads

LVR % = ((Number of current month's QL - Number of previous month's QL) / Number of previous month's QL) x 100

$$\text{Lead Velocity Rate \%} = \frac{\text{Current Month's \# of Qualified Leads} - \text{Last Month's \# of Qualified Leads}}{\text{Last Month's \# of Qualified Leads}} \times 100$$

What's a good LVR?

Depending on the sector, product category, and market

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segment that is being targeted, the lead velocity rate can vary a lot. Even though an increase is a good sign, it doesn't tell you how many of those qualified leads turn into actual sales or revenue.

However, a B2B company's LVR is a reliable measure of its performance. It should be able to anticipate future revenue while also displaying current sales performance. To get the most out of your LVR, it must be capable of recommending swift strategic alterations.

Organic vs. Paid Traffic ROI

Organic traffic growth must be established gradually to achieve the desired results. Even though spending money on campaigns can get you sponsored traffic right away and quick conversions, it is important to remember that these results are not guaranteed. Because each traffic channel has its pros and cons, a business can benefit greatly from using both of them.

Your organic traffic will go up if you post interesting content regularly, like blogs, influencer activities, brand awareness campaigns, and social media posts that go viral. Paid traffic can, however, be obtained through search, social media, affiliate marketing, and programmatic advertising. When they are in perfect harmony, organic and sponsored traffic complement each other excellently. You can use organic content to analyze and change your advertising materials to make sure your money is well spent.

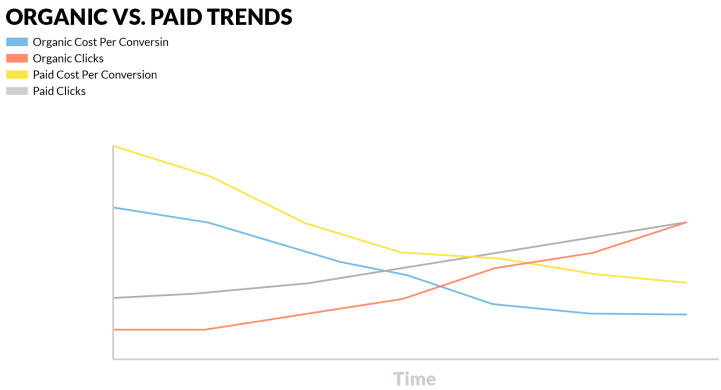
ROAS and ROI are frequently calculated by comparing them to the outcomes of sponsored marketing efforts. To figure out a website's real return on investment (ROI), marketers should map out the whole buying funnel, including both organic and paid results.

Businesses that rely on sales revenue may struggle to justify,

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for example, a $70 cost per acquisition through paid advertising. The cost per acquisition may be as low as $15 when organic and paid results are combined. From a business point of view, this is a no-brainer and gives the needed return on investment (ROI).

As a result, establishing business success demands finding the ideal mix of organic and paid efforts and accomplishments. Marketing agility, often known as "balanced marketing", has proven beneficial for many organizations since it provides a cost-effective balance between organic and sponsored traffic approaches.



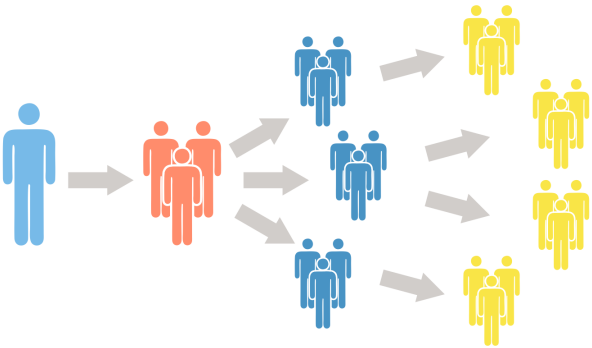
Viral Coefficient

Existing customers' recommendations are taken into account when calculating the viral coefficient, which indicates the overall number of new users that have joined as a result of the recommendations of other users. When it comes to gauging virality, it's nothing more than an estimate of the company's exponential referral cycle.

The term "viral" refers to something that has a viral coefficient of more than one. A firm can increase its consumer base rapidly if its products have a high viral rate.

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In most circumstances, the length of the viral cycle is taken into account when calculating the viral coefficient. Viral cycle time refers to the time it takes for a consumer to recommend a business's product to another, who then becomes a client and spreads the word further. If the viral cycle happens quickly, it can speed up the growth of the business.



Why is the Viral Coefficient Important?

Growth and client base expansion can be measured by the viral coefficient, which is a measure of the company's success. An increasing coefficient indicates a growing consumer base. Businesses with high viral coefficients have the potential for rapid growth.

As a result of the viral nature of their products, companies can significantly increase the number of people using them. A further benefit of word-of-mouth advertising is that it eliminates the cost of gaining new clients. However, this metric is a direct effect of the product, so enhancing virality begins with improving the product.

Also, as a result of the variability of viral coefficients, it is

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impossible to estimate the viral coefficient accurately. Along with that, in the real world, growth at an exponential rate is almost impossible to achieve just through customer referrals.

How to calculate Viral Coefficient?

To calculate the viral coefficient, divide the total number of users who joined through referrals by the total number of customers. This will give you the viral coefficient. We can represent it using the formula, which is as follows:

$$\text{Viral Coefficient} = \frac{\text{No. of Customers} \times \text{Average No. of Referrals} \times \text{Referral Conversion Rate}}{\text{No. of Customers}} \times 100$$

You can also determine the viral coefficient by multiplying the number of invitations sent out by each user (referrals, shares, or anything else that most accurately represents an invitation to use your product or service) by the average conversion rate of those invitations. In essence:

Customer Conversion Rate

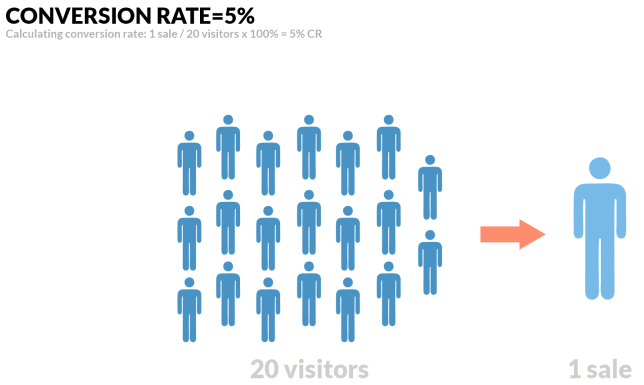
Conversion is the percentage of those who are interested in buying a product or service that do so. Conversion rate can also be referred to as the percentage of site visitors who carry out the actions you want them to carry out when they are on a certain website or landing page.

In most cases of conversion, some actions can be tracked

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that lead to paying customers. Depending on the organization's goal, any of the following could be considered conversion activities: signing up for an email newsletter, becoming a client, filling out an online form, calling the company, downloading papers, etc.

Increasing the rate at which customers become customers can have a big effect on getting leads, making sales, and making money. Instead of trying to increase the number of visitors, this metric is intended to make the most of current ones.



Why is Customer Conversion Rate important?

Conversion rates allow you to assess the effectiveness of various advertising techniques. Conversion rates are important in mobile user acquisition initiatives since they may be used to assess the effectiveness of each one. As a campaign scales up, it can also be used to estimate a return on investment (ROI).

While the number of clicks that lead to a sale is essential, conversion rates can also refer to events that take place further down the sales funnel. It is possible to assess the

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percentage of app users that have performed a given action within an app. One significant advantage is that it assists advertisers and marketers in identifying their most valuable clients. With this information, the campaign's targeting and efficacy can be increased.

Data on conversion rates can help advertisers figure out how well their campaigns are working and help them make strategic decisions. A less-than-ideal user experience indicated by low conversion rates (for example, if users are having difficulty signing in) can be used to expose faults in the app's user experience and identify other areas for improvement.

How to calculate Customer Conversion Rate?

To determine the customer conversion rate, first divide the number of site visitors who finished a certain action in a certain period by the total number of site visits, and then multiply this figure by 100.

$$\text{Customer Conversion Rate} = \frac{\text{No. of Visitors Who Performed a Desired Action}}{\text{Total Number of Site Visitors}} \times 100$$

Average Revenue Per Account (ARPA)

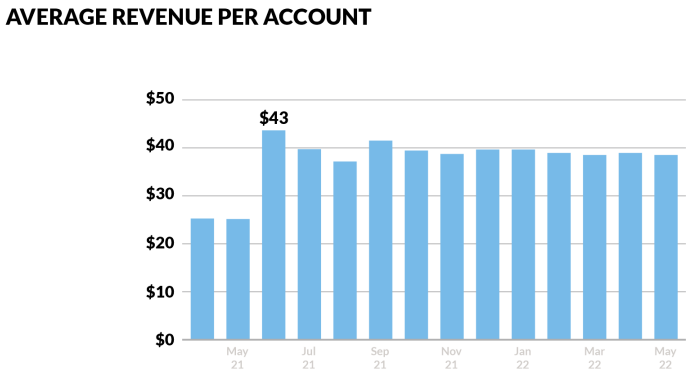
Using ARPA, a profitability metric, you can see how much money a firm is making from each client account. ARPA can be calculated on a monthly, quarterly, or yearly timescale.

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One client may have many accounts with a corporation, making it difficult to define the average revenue per account (ARPA) or the average revenue per user (ARPU) as synonymously as is commonly assumed.

Even though ARPA is not recognized by generally accepted accounting principles (GAAP), many companies use it to track and assess profitability. Businesses with a subscription-based business strategy or those that offer some sort of service typically use the ARPA measure. ARPA, for example, is frequently used by telecommunications, social media, and banking organizations.

An organization's profitability on an account basis may be seen clearly with the use of this indicator. The greatest and least profitable goods and services of a firm can be identified.



Why is ARPA important?

ARPA should be monitored for a variety of reasons. For starters, it might be a useful measure of development and profitability. Second, it may aid in your understanding and analysis of your consumers. ARPA can observe monthly client patterns, allowing company owners to understand which products are the most lucrative and which subscription levels

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are the most popular.

Some say that ARPA is only a vanity indicator for businesses, since it may be changed by a small number of significant consumers in a short period of time. However, if you monitor ARPA for both new and existing clients and compare it to other important SaaS metrics, it might be a very valuable tool for reviewing current performance and planning for future growth.

ARPA may also indicate that your marketing and sales efforts are bearing fruit. In addition, by comparing your ARPA against competitors, you can easily and quickly evaluate performance. It could be useful to compare your sales results to those of your competitors, who use a comparable sales method. If you do outperform your competitors, it is a great statistic for investors.

ARPA, for example, may have a direct impact on a client's lifetime value. Simply said, boosting ARPA may enhance LTV.

How to calculate ARPA?

While figuring out ARPA is a straightforward computation, keep in mind that the total number of accounts might vary greatly during the course of a single day. Consequently, businesses typically compute the average number of accounts based on a given period of time.

You can calculate ARPA by taking the company's total revenue for a period and dividing it by the number of accounts the company has for that period. In essence:

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$$\text{Average Revenue Per Account (ARPA)} = \frac{\text{Total Revenue}}{\text{No. of Accounts}}$$

How to Increase ARPA

To boost ARPA, you must raise your monthly consumer income. And while there are many ways to increase monthly consumer income and sales, ARPA maintains that it's just as important to keep and please current customers as it is to find and sign up new ones.

- **Make a plan for future upgrades and add-ons.**
  You can raise your ARPA by increasing your expansion MRR, which is the recurring revenue from upgrades, add-ons, and cross-sells that you get from your current customers. Customers that are acquainted with and appreciate your product or service might be a great resource.

  You may observe a growth in your APRA over time if you provide your customers with the option to upgrade their subscriptions, acquire more items or services, or take advantage of new capabilities in the products they already possess.

- **Retaining Existing Clients**
  Your ARPA is intimately tied to the turnover of your

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customers. Even though losing customers is unavoidable, a clear strategy for keeping them can make it less likely that they will leave.

The plan includes customer service, churn avoidance, and incentives for high-profile customers. Additionally, this approach includes the creation of customer-focused groups and events.

- **Choosing the Right Customers to Sell to**
  A detailed buyer persona may help you discover and target the most probable customers of your product or service, making your sales and marketing efforts more successful in the long run.

  Other ways to boost ARPA may be lost if your major focus is on low-revenue prospects (those who join up for a low price point and never upgrade).

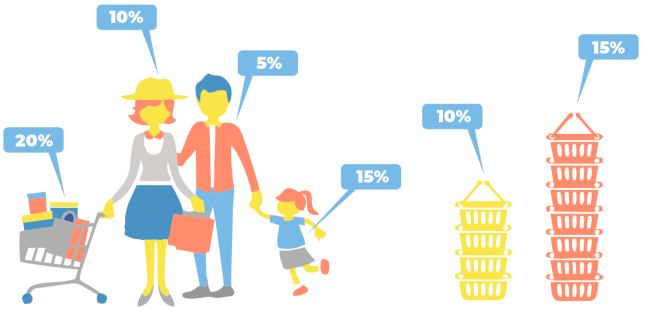
Customer Acquisition Cost (CAC)

The Customer Acquisition Cost (CAC) is the cost of obtaining new customers (CAC). When it comes to selling a product or service, CAC includes the whole cost of sales and marketing, including property and equipment.

When CAC is compared to Lifetime Value or Monthly Recurring Revenue, it is possible to determine whether a company is running efficiently.

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CUSTOMER ACQUISITION COST



How to Calculate Customer Acquisition Costs

To calculate CAC, just divide your total marketing budget by the number of customers obtained over that period.

$$\text{Customer Acquisition Cost} = \frac{\text{Sales and Marketing Expense}}{\text{Number of New Customers}}$$

Why is Customer acquisition cost (CAC) important

CAC is used by investors to assess your company's scalability and profitability. Examining your clients' purchasing habits may identify profit potential as well as the associated expenses. Investors in this atmosphere are more concerned with the now than with the future. They'll be interested in any

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future modifications to the statistics as long as they can back up their claims.

CAC is used by your company's marketing staff, including marketing managers and other marketing-related experts, as well as operational specialists, to optimize advertising expenditures. Collaboration with these individuals may result in cheaper expenses and larger profit margins.

Everyone in your company is invested in its success and wants to see it expand. In the meantime, your company wants to increase its profit margins so that it can pass the savings on to its customers and get a stronger market position. CAC can be a useful tool for monitoring progress toward these objectives.

Who is Customer Acquisition Cost Metric Important to?

There are two primary categories of people worried about the cost of obtaining new customers: investors and businesses.

Investors seeking a respectable internet technology company to work with are included in this category. The profitability of a firm is sometimes assessed by comparing the amount of money that can be extracted from customers with the amount of money that was spent on the extraction process.

Even though many investors are concerned about the present situation, they aren't interested in future promises until they can be shown.

A company's internal operations or marketing department may also benefit from the client acquisition cost metric. The company's financial specialists utilize it to make sure its money gets the highest possible return. In this case, the less money a company spends on customer acquisition, the more profit it will make.

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While investors are more concerned with providing the company with the required resources, a company's partners are more concerned with its growth and the capacity to pass on the company's value to its customers to obtain a more prominent market position.

How You Can Improve Your Customer Acquisition Cost

- **Evaluate your current statistics.**
  Before trying to enhance your CAC, you should evaluate your present CAC, ROI, and CLV.

  Many firms simply consider the return on investment when evaluating the effectiveness of their inside sales force (ROI). However, a good ROI does not rule out the possibility of improving your renewal strategy and marketing efforts.

  A better grasp of ROI, CAC, and CLV will allow you to make more educated choices about how to spend your marketing money in the future. Use all three of these figures in your inside sales plan for long-term success.

- **To lower CAC, marketing and sales tactics should be synchronized.**
  To reduce your CAC, you should concentrate on refining your sales and marketing strategies. This might have a big impact on the quality of leads that reach your sales funnel.

  Consider utilizing internal sales and business development representatives to better understand your customers' requirements. To attract leads who are already aware of the value of your product or service, you need to appropriately address customer problems.

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Schedule regular meetings to keep your sales, business development, and content teams on the same page. You can then use A/B testing to fine-tune your approach.

Make sure that any modifications you make to your CAC are regularly monitored. A change in content, for example, may encourage more individuals to arrange a call, but it may also attract consumers who cannot afford your services.

Cheap marketing strategies do not appear out of anywhere. A little adjustment in CAC is a step forward, so keep experimenting to optimize your strategy, widen your funnel, and acquire more consumers at a lower cost.

- **Make Use of Sales Instruments.**
  Customer relationship management (CRM) and sales enablement systems will not instantly reduce CAC. They may, however, assist you and your team in identifying a plethora of development opportunities. You may improve cross-team communication, automate laborious tasks, streamline current processes, and swiftly qualify new leads by using these technologies.

  You can better discover gaps in your sales funnel and manage customer interactions with the aid of technologies such as Salesforce and Gainsight. Enhanced efficacy and efficiency in the sales and marketing divisions are also positive side effects of these tools.

  While they may seem expensive, the long-term benefits of these tools considerably surpass their initial

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costs. To lower CAC and increase ROI, make sure you're using best practices that complement your sales process.

- **Increase Customer Retention.**
  To realize the advantages of strong client relations, it is necessary to promote exceptional customer service across the sales funnel. Because you have invested in bringing them to the door, keeping them is the greatest method to enhance CLV and ROI over time. Using customer success strategies may assist you in maintaining a solid connection with your customers. Some of these marketing strategies are feedback loops, contracts that last for more than one year, and loyalty or referral programs.

  Client retention programs are another technique to boost customer loyalty. Referrals from pleased customers may help you attract new customers at a lower cost of acquisition (CAC). In addition to profit-generating enterprises, you should investigate all the ways in which your present clients might deliver a greater return on investment.

Monthly Recurring Revenue (MRR)

Knowing how much money you can anticipate generating from your clients each month is critical for businesses. MRR is used to determine a company's monthly cash flow.

An MRR is merely a rough estimate of a company's monthly recurring revenue. Subscription-based businesses, such as SaaS providers, often concentrate on this statistic as their customer base grows.

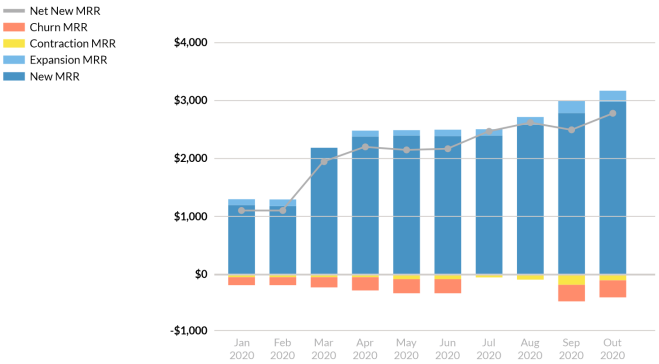
MRR is a popular number among investors, even though major accounting standards like GAAP and IASB don't take it into account. Investors can quickly judge how well a company

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is doing by looking at how MRR changes from month to month. As a consequence, the vast majority of publicly-traded SaaS firms disclose this figure.

By integrating your many price plans and payment periods into a single figure, you will be able to track any changes across them all simultaneously.

With several pricing alternatives for their products or services, businesses must maintain constant income. A company's MRR is a metric that measures the monthly normalized revenue (earnings that have been revised to eliminate seasonality and abnormal sales and expenditures).



Why is MRR important?

Even though monthly recurring revenue (MRR) seems like a high-level signal that only companies would care about, it is taken into account by both management and individual sales staff.

MRR is the best way to measure a subscription company's financial performance. Because of this, a predetermined MRR is often used as a way to measure how well a company,

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division, team, or even an individual is doing. Because MRR measures customers' willingness to pay a recurring monthly fee, it is much more important than other metrics like growth rate, customer retention, or average selling price.

Businesses can benefit greatly from using the MRR metric in business operations. First and foremost, businesses can use the metric to generate estimates about their finances. Because the MRR is stable and consistent, companies can more easily predict how much money they will make in the future. With this information, it's easy to predict how profitable the company will be in the future, as long as its monthly sales stay the same.

When analyzing the growth trends of a firm, monthly recurring revenue is a useful metric to employ. The MRR provides a revenue picture that is more consistent and standardized. As a direct consequence of this, a company may be able to recognize patterns in its expansion that are stable and similar.

How to calculate MRR?

For the MRR calculation, just two numbers are required: The ARPA and the total number of customer accounts for the month. Multiply the two numbers to find your MRR.

Assume your average revenue per account is $270, and you have 2,000 customers in a month. Using this formula, your monthly recurring revenue would then be $540,000.

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How To Improve Your MRR?

- **Raise your rates.**
  Pricing hikes are a simple method to boost your recurring income. Before you decide to raise your prices, make sure you first enhance your product or service. This sort of improvement may include new features, improved customer service, and product upgrades.

  Some consumers will be upset if you inform them that you will be raising your monthly fee. However, they will stick around if the price hike is explained to them if the product or service satisfies their needs.

- **Have multiple price tiers.**
  When selecting how much to charge, consider a variety of price options. A lot of companies employ this method to deliver free items that are subsequently enhanced by different paid plans that feature a slew of extra perks.

  Customers may choose the package that best matches their requirements if you provide many options. To entice them to buy, provide your most

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important features in the premium plan.

- **Increase the number of prospects.**
  Examine your marketing strategy and discover where you can make changes. Your marketing plan will be different when you initially start, since your business may have grown, and you may now have a larger budget.

  Marketing tactics such as

  - Pay-per-click advertisements
  - Search engine optimization
  - Discounts and promotions
  - Content Promotion
  - Making use of social media for marketing objectives

  Using any these marketing tactics to get your firm in front of new clients might be beneficial.

- **Increase your upsell options.**
  You have more opportunities to upsell your consumers if you provide a variety of price options. If your clients need a function that you do not provide, there is a chance to upsell them to a more expensive plan.

  Say you offer an email marketing software and the free plan has a restriction on the number of email addresses users may add. You may be able to provide a paid service with more slots to your clients. This gives them a reason to pay for your software.

- **Make sure you're giving your customers what they want.**

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Giving your customers what they want is a smart way to increase your recurring revenue. At the price point, you've set, your product or service should outperform the competition.

You should start paying attention to what consumers are saying through feedback gathering. By doing so, you may get a good idea of what your present and prior consumers think about your product or service. A clear image of what your customers want may assist you in deciding what modifications to adopt.

- **Put client retention initiatives in place.**
  Maintaining your current clients is an important issue for you to address. Increasing repeat business is impossible if you're losing customers.

  Implementing a customer retention strategy has the dual advantage of increasing recurring revenue and broadening your client base.

  To improve customer retention, you should adopt methods, such as:

  - Customer Relationship Management (CRM);
  - Creation of a reward system;
  - Long-term customer satisfaction strategies;
  - Commitment to customer service;
  - Providing extra incentives to your consumers to increase the value of your goods.

Number of Support Tickets Created

This key performance indicator monitors the number of customers who have contacted you through your support channel to request assistance and are now awaiting a

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response from you.

How to calculate the number of New Support Tickets?

This metric doesn't need much calculation since it assumes you already have a mechanism in place for recording the dates on which support tickets were created, this mechanism can be a web server database.

However, to calculate the number of new tickets, first choose a period from which you will make your calculation, and then, from your database, check how many tickets were created daily.

This means, therefore, that:

New Support Tickets = Total Tickets Created For A Certain Period = Ticket Volume

HOW TO CALCULATE THE TICKET VOLUME



Average First Response Time

In the context of customer service, "first response time" refers to the length of time it takes for an agent working in a contact center to answer a client's question. Average response time measures how quickly your customer service representatives respond to assistance requests.

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Why is Average First Response Time important?

Client happiness is highly related to how soon a company responds to a customer query. Responding to inquiries as soon as possible promotes customer satisfaction. Businesses can profit from developing relationships with their customers because it may lead to more income in the future.

SLAs, service-level agreements, can be established by organizations for a variety of situations. That way, agents who deal with customers are held accountable for late responses to requests. Managers can also keep a close check on the performance of individual agents thanks to the usage of SLAs.

Businesses need to keep a close eye on the average first response time to determine whether it is getting higher or lower. If the organization's first response time continues to rise, it may be in jeopardy.

How to Calculate Average First Response Time?

Average First Response Time is calculated by dividing the total amount of time elapsed before the first responses are sent in a chosen period by the number of customer requests whose first responses were sent in that same chosen time frame.

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$$\text{Average 1st response time} = \frac{\text{Total time taken to send the first response during the selected time period}}{\text{The number of tickets whose first responses were sent in the selected time period}}$$

How do you reduce the first response time?

- **Make Sure Your Agents Are Well-Trained**
  The quality of your customer service agent's training is strongly related to FRT success. This implies that if your agents are well-versed in your product and business procedures, they will spend less time looking for solutions. This is an excellent indicator that your personnel is doing an excellent job, and it also implies that they are responding to consumer inquiries much more quickly.

  Setting SLAs or time limitations for different scenarios is a smart idea. As a result, personnel in charge of delivering customer service are required to do it swiftly. Managers may use SLAs to monitor how well their customer service agents are doing against the standards defined by the firm, and tailor training sessions or live demonstrations to help them meet or exceed those requirements.

  Only hiring experienced customer service representatives may be beneficial. However, a well-organized onboarding procedure and a constantly updated knowledge base should make it simpler to

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hire a "newbie" in customer care.

- **Decrease multitasking and improve agent focus and performance.**
  In today's multichannel social media market, it's tempting to place too much pressure on your agents, but this is a poor idea. A more systematic strategy, on the other hand, may assist even the worst agents. Try putting all of your agents on the same channel for a few hours at a time to see what happens. Improved quality and accuracy may ensue, perhaps speeding up the problem-solving process.

  Always keep in mind that overworked agents may exhibit poor performance and possibly quit.

- **Create an extensive knowledge base.**
  Customer service agents should have complete access to all the information required to service consumers. When it comes to your company's goods and services, having a comprehensive knowledge base that is simple to use and comprehend is critical. To save time and confusion, it should be able to answer the most frequently asked questions.

  To build service plans and anticipate their customers' demands, agents may profit from doing comprehensive research on purchasing behaviors and current market trends. A CRM should also provide access to a customer's history.

  A FAQ section may be a lifesaver for your customer support agents when it comes to basic issues like product price. However, more sophisticated information, such as product compatibility, may require a bigger commitment of time from your agents. However, you should have a knowledge base article

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that can address any expected questions.

And because some inquiries will be fresh and unexpected, keep your workers motivated to add to the knowledge base.

- **The fastest channels should be used to their full potential, while slow ones should be improved upon.** Prioritize the use of real-time communication technologies such as live chat and instant messaging. Help desk service providers like Zendesk and Help Scout offer a broad variety of capabilities and simplicity of use. Clients who want prompt responses are increasingly turning to text services. According to a survey by Microsoft, 66% of consumers have contacted customer service through three or more channels.

  Even though comment sections on websites and blogs are often neglected, this should not be the case. If possible, automate as much of the process as possible and ensure that all comments are promptly replied. Your agents, who should be trained to reply to these inquiries as soon as they are posted, should do so exactly as rapidly as they do on other channels. Instead of depending only on chatbots, give your real customer service representatives the chance to respond.

  Consider utilizing Discord or WhatsApp to engage with customers to increase your FRT. Search the internet for previously untapped resources to get a competitive advantage and to find support channels that huge corporations have not identified.

- **Make it easier for agents to serve clients.** The usual customer service technology stack provides

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a significant difficulty for customer care agents: Determining how to deal with all of the various systems and APIs. You should look at support solutions that make it simpler for your agents to do their jobs by removing the need for them to switch between numerous tools and systems.

Your agents' pleasure is as equally important as your customers' satisfaction. You will spend more money training new agents than you would save by listening to your current agents and responding to their needs and recommendations for increasing efficiency. Because your agents interact with consumers daily, you can be certain that they understand what it takes to keep them satisfied better than you do.

- **Avoiding burnout is crucial.**
  Even though customer service representatives are often exceptional performers, they may lose enthusiasm if they are overworked and weary. Your agents' burnout may be lessened if you express your appreciation for their efforts. Thank-you cards and other expressions of appreciation may significantly increase agent morale. It may be feasible to utilize FRTs to identify and reward high performers.

  Choose your customer service employees properly, since they will engage with both current and new consumers. And because worker weariness may be increased by poor CRM navigation, keep an eye on your representative's performance and do whatever you can to keep the workplace pleasant and the workload reasonable.

Average Resolution Time (ART)

The Average Resolution Time calculates how long it takes your customer care representatives on average to resolve all

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open tickets during a certain period. A careful review of each agent may identify the agents who are taking the longest to resolve issues. Consider the severity of the problem affecting customer service as well as the number of agents available to queued issues during the period being evaluated when calculating your company's "Average Resolution Time".

Why is ART important?

Because your time is precious to you, and your customer's time is valuable to them, the average resolution time is significant. Answering a customer's question is not enough. Customer satisfaction is nearly always greater among those who ask a question and immediately get a suitable response than among those who must wait days for an answer.
In line with that, responding quickly and effectively to client complaints boosts customer satisfaction and loyalty.

ART is beneficial for the customer experience since it measures the average time it takes to get an acceptable resolution (rather than just the amount of time it takes to receive a response).

While wait durations and early responses may be measured, a quick but incorrect or incomplete response might still result in a negative customer experience.

When you monitor your ART, you may have a deeper understanding of the diverse experiences your customers are experiencing. It might, for example:

- Assist in locating interactions that are taking longer than expected, that have been forgotten about, or have been lost;
- Assist in recognizing more challenging tasks that will need further work from others;

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- Make a note of any internal processes that require an extended period to resolve.

A customer service team may have several ART values generated depending on distinct teams, locations, client categories, or product types. Observing and comparing how those indicators change might help you better understand your customers' experiences.

How to calculate ART?

Divide the overall resolution time for all tickets resolved in a particular period by the total number of tickets resolved in the same timeframe to determine your Average Resolution Time.

In reality, the average might be skewed by differences in customer service software, making it difficult to make meaningful comparisons. Should you term a chat "resolved" if it has been closed without the consumer receiving a response? Also, what if the customer has not responded for days or weeks?

$$\left(\frac{\text{Total Resolution Time}}{\text{Total Number of Resolved Requests}}\right)$$

What Is a Good ART?

The average time to resolution across all sectors is about 8:30 minutes. Recent benchmarking data varies per industry, and these differences are listed below:

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- All industries: under 8:30 minutes;
- Under 6 minutes for retail and eCommerce;
- Below 9 minutes for services;
- Under 4 minutes for shipping and logistics;
- Below 9 minutes for telecommunications;
- Under 5 minutes for financial services and banking.

How To Improve Your ART?

It is important to discover more efficient means of addressing client problems to better serve them. Before pursuing any of the following alternatives, consider the following: Is your current ART a problem for you or your customers? If you're already surpassing the average response time expectations of your clients, you may want to focus on other aspects of your customer experience.

If you are going to take action, you must first establish where your time is being spent. Gaining a few additional minutes on a quick first response won't make a difference in the overall quality of the experience for the customer if it takes a while to transfer conversations to other departments.

Determining where time is wasted will probably require some actual labor. Individual interactions that were addressed quickly, in an acceptable length of time, and those that took a long time to resolve should be thoroughly explored in the records you keep.

Using the time stamps offered by most help desk systems, you may generate a timeline of the conversation's development. Even if you think you know where your time goes, real data may be surprising.

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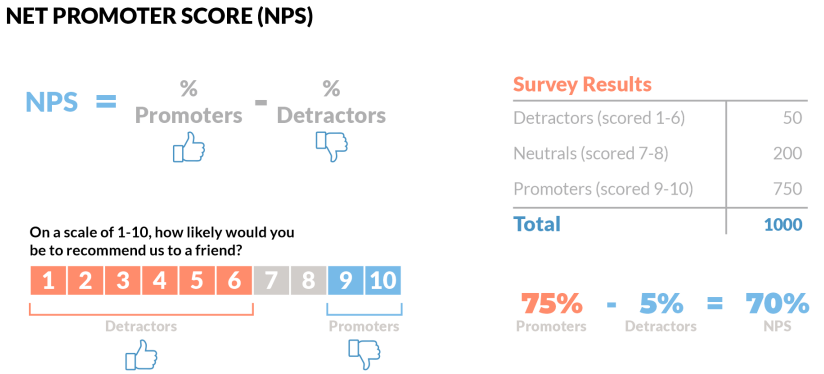
If you don't have a lot of data, 20 to 30 interactions should be enough to give you a decent notion of how much time is spent in a typical conversation. Determine where time is being spent, and then prioritize it based on how much time is being lost and how easy it is to save time.

While there are more ways to optimize Average Response Time, they have been fully explained under Average First Response Time. The methods of improving AFRT can be used to improve ART.

Net Promoter Score (NPS)

The Net Promoter Score (NPS) is a scale that varies from -100 to 100 and assesses how likely consumers are to recommend your company's product or service. If the product or service gets more good reviews than negative ratings, this suggests that the product or service is helpful to customers.

A survey in which customers are asked, "On a scale of 0 to 10, how likely are you to recommend Company A to a friend or colleague?" is an illustration of a Net Promoter Score (NPS).



How to Calculate the Net Promoter Score

The formula for calculating a company's Net Promoter Score (NPS) is as follows:

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NPS = % of promoters - % of detractors

On a scale of 1 to 10, detractors are considered to be from 1 to 6, while promoters are customers who choose 9 and 10. Those who choose 7 and 8 are considered neutrals.

A more comprehensive formula is as follows:

NPS = Number of promoters - number of detractors / number of total respondents X 100

How to Improve Your Net Promoter Score

- **Interact with detractors.**
  It is not enough to just follow up on a bad meeting to rebuild your connection with critics or detractors. The core reason for consumer dissatisfaction must be addressed as a top priority. If you effectively resolve their problem, customers may see your service in a whole new light. In order to eliminate any recurrent unfavorable encounters, your employees should not only seek out client feedback, but also aid in resolving individual concerns and building connections with clients on a larger scale.

- **Utilize promoters**
  With the help of your most loyal customers, you can quickly and effectively recruit new customers and raise your customer satisfaction rating. It is vital to get specific feedback from your promoters in order to understand more about how your company differs from the competition and how you can better serve your clients.

  While promoters may be satisfied, they must be remembered while seeking to persuade detractors.

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Rather than attempting to win over consumers who are unsatisfied with your service, a more cost-effective approach is to maintain current customers who are already enthusiasts.

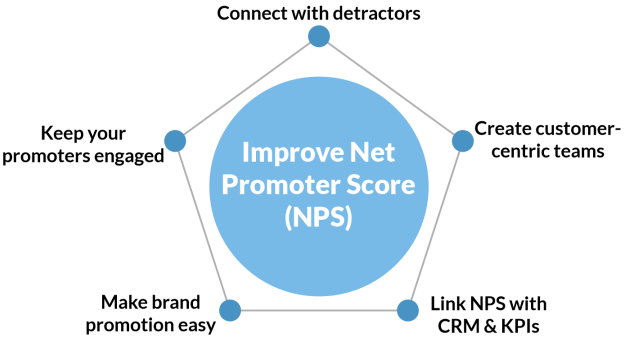
- **It is vital to form groups dedicated to meeting the demands of consumers.**
  From purchasing and production to customer support, every member of the company's staff should place a major emphasis on ensuring that the company's clients are happy with the services they get. When consumers have a favorable experience with a company, it has a beneficial effect not only on the Net Promoter Score, but also on the overall image of the brand that is associated with the business.

- **Make it simple for consumers to promote your brand.**
  It's common for individuals to open up about negative experiences, but not so much about positive ones. Provide a user-friendly platform so that customers may simply share their good experiences on social media with their friends and family. Incorporate social media share buttons into your surveys, and consider rewarding respondents with gift cards or other incentives. Customers who are involved are more likely to share the word about what they've learned. You must organize competitions, perform surveys, and reply to your customers' queries in order to stay in contact with them.

- **Incorporate NPS with CRM and other key performance metrics for your business.**
  Even a small improvement in NPS may have a substantial effect on the amount of money a firm spends and makes. Find out what KPI variables lead to a better Net Promoter Score by doing an analysis of the results of your NPS survey as well as the activities of your CRM clients.

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YOUTUBE REVENUE



Number of Active Users

Active users refer to someone who often utilizes an app or website. The daily, weekly, and monthly use of an app is tracked for each user over this period to give the developer an accurate view of how many people use the app.

Why Should You Measure Your Active Users?

Companies must reach as many individuals as possible who suit their buyer profiles if they want to grow a strong user base, establish their brand as an authority, and nurture loyal customer relationships.

However, how can they tell whether their marketing efforts are effective and how pleased their clients are with your product or service? Knowing how many people are currently logged in at the same moment might help them determine that.

You won't be able to assess your customers' lifetime value

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until you have a thorough grasp of their retention rates. This is because retention rates are determined by whether your users remain active after a particular period or not.

When attempting to assess the market position of your company, knowing the number of individuals who actively use your product or service is a fantastic place to start.

How to measure Active Users

To accurately measure active users for a SaaS product, you can use analytics systems like Google Analytics, Heap Analytics, other third-party systems, or in-house analytics systems.

Calculating the number of active users may seem to be a simple task, but the definition of "active" can make things more complicated than necessary. For instance, how do you determine whether a user is active or not? To answer this question, you would have to set up criteria that users must meet to be considered active. Here are a few things you should do to track active users:

- Determining what it takes to be an active user;
- Determining the timeframe you want to analyze (e.g., daily, weekly, or monthly);
- Making a list of all the users who meet your active user criteria within a certain period.

According to the above, to calculate how many active users there are in a given time frame, one of three approaches may be used:

Daily Active Users [DAU]

DAU is used to describe the total number of unique visitors

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that interact with your website or mobile app on a particular day.

If you run a calendar software that is used for scheduling meetings and your long-term goal is to have more than 5,000 customers using your website to schedule meetings, the following is how your DAU would work:

- The number of unique users that make use of your application on a certain day in order to schedule a meeting for themselves;
- An individual will be regarded as an inactive user if they log in but do not make any bookings for themselves during their session;
- On the other hand, if you want to increase the number of people who see your website, the number of active users would be the number of unique people who merely visit your website;
- If the same individual visits your website or uses your app many times in the course of a single day, they will be counted only once when you compute your DAU, since that measure takes into account the total number of unique users that visit or do some other activity.

Using DAU as a way of measuring growth may be deceptive. This is because you won't be able to correctly analyze your retention rate or determine if the unique visitors are customers or even prospects.

The number of individuals using your product or service (recurring users) towards the end of the month may be significantly fewer than the number of unique visitors to your site in a single day, which can be disappointing. However, your DAU is still important to measure.

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Weekly Active Users [WAU]

The number of users that have visited or used your app or website within the past seven days, beginning on a specific day, is referred to as the Weekly Active Users (WAU) metric.

If you had 100 unique visitors from Sunday through Friday, and you lost 30 on Saturday, but the other 70 returned, you'd have a WAU of 100. They are considered active users for the week because they visited or engaged with the site at least once during that period.

Monthly Active Users [MAU]

This metric gives the total number of unique individuals who have visited, logged into, or interacted with your website or mobile app at least once in the preceding thirty days.

Examining the MAU metric is the best way to find out whether your company is moving in the right direction towards success or not. It gives an overview of the number of returning customers as well as new customers for your organization.

An additional application for a company's MAU is to analyze the effectiveness of a marketing campaign, as well as to determine how present and potential customers perceive the company's products and services. Since they might affect a company's stock price, many in the social media industry keep tabs on monthly active users (MAUs).

Customer Retention Rate (CRR)

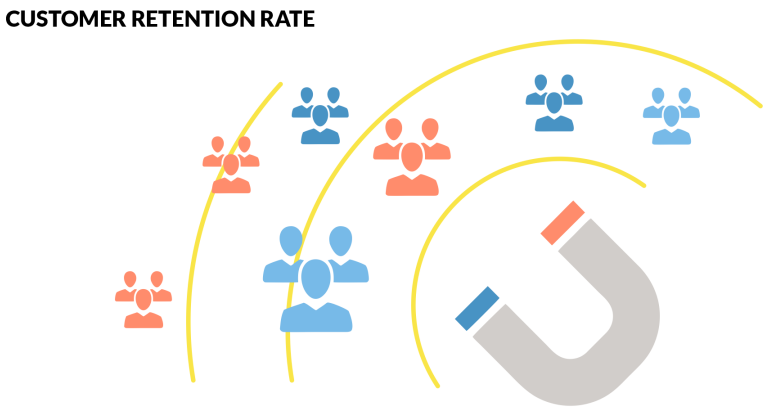
The customer retention rate of a company indicates how long it can keep its present clients before losing them. Customers who have been loyal to a company for an extended period are calculated by customer retention rate. If your firm starts

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the year with 100 customers and loses 30 at the end, your retention rate is 70%.

Measuring customer retention is critical if a business wants to establish a client's lifetime value and the efficiency of its marketing and customer service operations.

But there's more to customer retention than that. You must account for new customers as well so that your data is not tainted. If you start with 100 customers and lose 30 before adding 50 more, you shouldn't consider it a 120% retention rate. In reality, believing that you can simply balance attrition by acquiring new customers is a mistake.



Retention rate vs. churn rate

As the name indicates, your customer churn rate is directly proportional to how long your current clients remain with you. A retention rate of 70%, for example, indicates your churn rate is 30%. Simply divide the number of customers who left during a certain period by the number at the start of that period and multiply by 100 to get an accurate picture of your company's churn rate for that period.

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Say there were a thousand customers at the beginning of a certain period, and you lost 400 customers. The formula for that would be:

(400 / 1000) x 100, which equals a 40% churn rate and a 60% retention rate.

Because the word "churn" may mean various things in different scenarios, determining how many of your customers have left your business can be tricky.

Businesses, on the other hand, must pick and choose which clients they deem 'churned'. Certain clients may choose to terminate their memberships after a free trial period for a company's service has expired. Should the corporation count these consumers as churned even if they did not affect the corporation's earnings? Because of all this, using multiple customer retention indicators might help you discover more about why certain customers stay while others go.

Why is Customer Retention Rate important?

The capacity of a firm to retain customers is strongly tied to its ability to gain new ones, as well as to satisfy those it currently has. It also improves client loyalty, boosts ROI, and draws new customers. Maintaining a loyal customer base may save you money in the long term since they spend more, buy more often, and recommend your firm to others.

Client retention is one of the many elements that contribute to a company's growth and success. This is because:

- The cost of obtaining a new customer is six to seven times that of retaining an existing one;
- Customers that stay loyal buy more often and spend more money than those who are new to the

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organization. They've learned to recognize the value of a product or service and will return to it again and again;

- An increase in customer retention of 5% has the potential to raise revenue by 25% to 95%;
- Customers who are satisfied and loyal are more likely to sing a company's praises and suggest it to their friends and family, bringing in new customers at no expense to the company.

While it may seem obvious that a company's main objective is to retain existing clients, during rapid growth, it is easy to forget the necessity of delivering proactive customer service to those who have already acquired.

How to calculate Customer Retention Rate?

To calculate CRR, you will need three numbers: 1) The number of customers at the start of the chosen period; 2) The number of customers at the end of that period; and 3) The number of customers that you acquired during that period.

Let's represent the three numbers as SCN (starting customer number), ECN (ending customer number), and ACN (acquired customer number). Now, subtract ACN from SCN, then divide whatever is the result by SCN, then multiply by 100 to make it a percentage. Say you started with 500 customers and ended up with 412 while gaining 100 new customers. The calculation is as follows:

(412 - 100) / 500, then multiply by 100. The result will be 62.4, meaning that your customer retention rate is 62.4%.

A client retention rate of 99% shows that you barely lost your customers. If your retention rate is zero, you've lost them all.

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CUSTOMER RETENTION FORMULA

$$\text{Retention Rate (\%)} = \frac{\left(\text{\# Customers at End of Period} - \text{\# Customer acquired During Period}\right)}{\text{\# Customers at Start of Period}} \times 100$$

What is a good CRR?

There is no obvious answer to this question, as CRR varies according to industry. An accounting firm that does 90% of its business in a single month has a far worse customer retention rate than a SaaS company that charges customers monthly. As an accountant, if your work is well received, you may be able to earn a high CRR. However, repeat consumers may not be as common in the retail industry as they are in other sectors.

The CRR in most sectors is less than 20%. However, consumer retention is typically around 25% in the media and financial sectors, while customer retention rates for eCommerce and SaaS businesses are typically about 35%.

Remember that these are broad averages, which might change substantially if additional specific data from each category's subcategories are taken into account. You should not rely on this comparison too much, even though it's tempting to do so. Focus exclusively on enhancing your current level of success.

If you can, calculate your CRR as far back as possible, and then see what the results are. Has there been a change in direction, or are they staying the same? Are your quarters

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stable? Have any of the financials from last year come to your attention? If the rate has been progressively declining for some time, it's crucial to keep an eye on it and make some business adjustments.

How To Improve Your Customer Retention Rate?

- **Are your customers able to reach you?**
  Consider the last time you had a bad experience with a firm. It's possible that it was because you couldn't reach a live person on the phone. Poor customer service is one of the most prominent reasons for customer dissatisfaction.

  The goal here is to make it as easy as possible for customers to contact you. A decent business phone system with simple call routing may make it simpler for your customers to contact you.

- **Take a look at your online presence.**
  Are your website and social media accounts up to date? Are they comprehensive and informative? Your website is usually the first place consumers go for information or assistance. You want to make it as easy for your customers to find and use as possible — and to provide them with a choice of ways to contact you.

  It is not enough to just set up social accounts on a variety of platforms. It is also vital that you respond to these conversations as soon as possible so that your customers do not have to wait. Even though delivering online customer service is not easy, it is doable with the correct tools.

- **Can customers expect a timely response from you?**
  Ignoring your phone, email, or social media messages

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is as inconvenient as not being able to reach someone. Set targets for responding to voicemails.

Set aside time each day to check your email or respond to comments on your social media postings. All of these actions work together to help you answer customer questions quickly, solve their problems, and keep them as customers for long periods.

- **How is the acquainting process going?**
  How steep is your product's or service's learning curve? Is there anything you can do to simplify things for a new customer? The first few contacts with your product have a significant impact on whether consumers will continue to use it or not. Make it easy for your consumers to utilize your product by providing them with the necessary tools and information.

- **Is the price you're asking reasonable?**
  Every human being is wired to want to get anything for the least amount of money possible. It is often the factor that receives the most attention when making a purchase. Do you feel you are charging a reasonable price for your products and services? Is this cost comparable to what other businesses in your sector charge for similar services? How much more value do buyers receive for their money when prices rise? Is it clear how this value's importance is being conveyed to the audience? You may want to do a price sensitivity test to discover what the acceptable price should be.

- **Consider implementing a consumer loyalty program.**
  Due to the fact that they are effective, loyalty programs have been around for a very long time. Is there anything more you can do to increase the number of customers that remain loyal to your brand and your customer retention rate? This kind of bargain may take

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many forms, but some common examples are "buy one, get two free" programs or discounted annual membership fees. You can also maintain happy relationships with your customers and foster a sense of reciprocity with them by surprising them with rewards every once in a while (in the form of continued business).

- **Examine your main competitors' products.**
  Preventing customers from migrating to a competitor is an important part of running a successful business. A good place to start is by identifying and working on your strengths. It's as crucial, however, to know how your rivals are luring customers away from you in the first place. Is the quality of their goods better? Is it more affordable? Is it less complicated to use? You should look into this from every perspective possible. Study their products. Contact their customer service department. Subscribe to their mailing list. Through this, you might learn a great deal that you can apply to your own business.

- **What do your consumers have to say about your product?**
  Having a few bad reviews from customers isn't a big deal. However, they are worth looking into if they are a lot more. The question may have a logical response. Be on the lookout for any patterns in the positive and negative comments that customers have for you. Inquire about the experiences of previous customers and the reasons they quit being customers.

- **Applying what you've learned**
  Your customer retention rate may be lower than it should be owing to a variety of issues you've identified. Now is the time to plan a strategy for coping with these challenges. Concentrate on quick wins,

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such as updating your company's Google Maps location and hours, and creating a FAQ page so that customers can self-service their concerns.

Even small modifications may have a significant impact on churn reduction, especially when implemented on a wide scale. Following that, you may start working on the more ambitious challenges. Set a timeline and follow through on your promises. If you're not confident you can do it on your own, an expert could be a better option. You should also conduct audits on a regular basis.

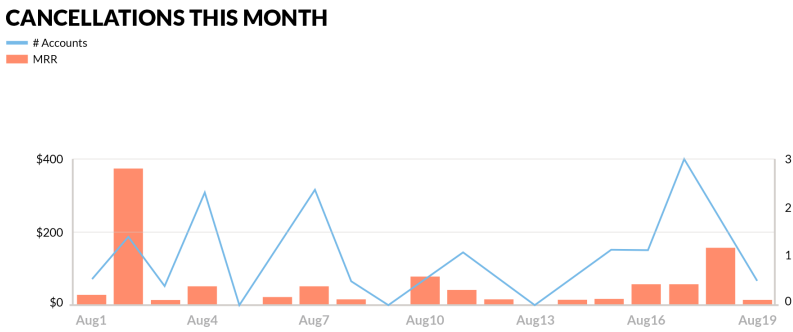
It is also vital to approach any changes with caution. Avoid making rash decisions and instead focus on long-term success and optimization.

Churn Rate

Churn rate, also known as customer turnover or attrition, is a business term that describes how rapidly customers abandon a product over time. Because high customer turnover leads to high revenue churn and so negatively impacts your company's bottom line, it's vital to understand how healthy and sticky your client base is.

For instance, your customer turnover rate would be 40% if you had a total of 100, and 40 of them abandoned their subscriptions.

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How to Calculate the Churn Rate

To determine the churn rate, divide the number of customers who left or canceled by the total number of customers at the beginning of a period. Then, multiply your result by 100.

Say you had 2,000 customers at the beginning of a month and by the end of the month, 400 left your business. The calculation would be as follows:

(400 / 2000) x 100. Here, your churn rate would be 20%.

Customer Lifetime Value (CLTV)

Customer lifetime value, also known as CLTV, refers to the entire amount of money that an organization may reasonably expect to receive from a single customer account.

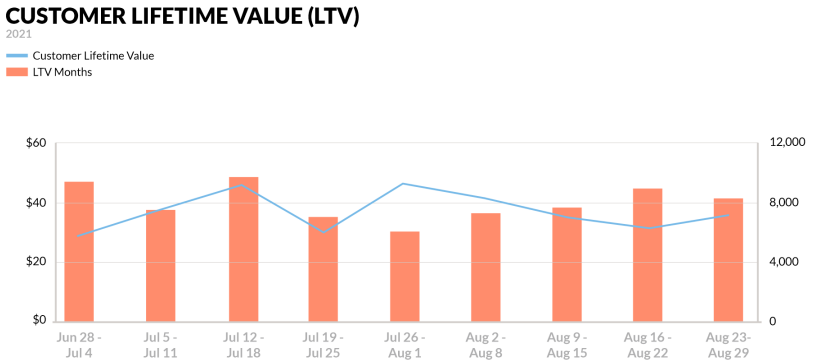
The indicator compares the revenue value of a client to the business's expected customer lifetime. This means that a customer that stays with a firm over an extended period becomes more valuable to the company.

Customer care and success teams can play a direct role in improving this key performance indicator by influencing all aspects of the customer's journey. Customer service

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representatives and customer success managers must collaborate to solve problems and provide suggestions to enhance relationships with current customers and attract new ones.

It is also possible to utilize it to make strategic judgments. For example, the customer lifetime value is a helpful indicator for assessing which customer groups are the most important to a firm and concentrating marketing efforts on them.



Why is Customer Lifetime Value important?

- Customer lifetime value (CLV) is a good method to assess the worth of long-term consumers. Examples of these types of customers are mobile phone subscribers and music subscription customers. It is also helpful for spotting early symptoms of churn, such as when a customer's spending starts to fall after years of membership.
- The duration of a customer's relationship with a business and the value that they offer throughout that relationship has a direct bearing on the amount of

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money the business makes. Monitoring and enhancing CLV will ultimately result in increased income as a direct consequence of these actions.

- CLV may be used to determine which customers are more valuable to your business because of the revenue they generate. For instance, you may be able to increase the amount of money your most valuable customers spend with your company if you provide them with access to goods and services that they find appealing.

- Calculating the "lifetime value" of a single customer allows you to easily predict how much revenue a single client will bring in for your company over many years. With this information, you'll be able to devise a client acquisition plan that focuses on acquiring consumers who are most likely to make significant payments to your company.

- It is important for your company's success to evaluate which of your customers provides the most value and to work on improving your relationships with those clients. If you do this, you will see an increase in your clients' lifetime value, an improvement in your profit margins, and a decrease in the expenditures associated with acquiring new customers.

How to calculate Customer Lifetime Value?

To calculate CLTV, you will need to know your business's churn rate and ARPU. Average Revenue Per User, or ARPU, is the average revenue you get per user and can be calculated by dividing MRR by the total number of current users.

You can either calculate CLTV by multiplying ARPU (customer value) and average customer lifespan or dividing ARPU by the churn rate.

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CUSTOMER LIFETIME VALUE



How To Increase Your Customer Lifetime Value?

- **Improve your company's initial client experience.** The process of educating new customers about your company, including what you do, why it's essential, and why they should remain around, is referred to as "customer onboarding". Consumers are often "onboarded" during the first few days after their initial purchase. Returning to your website to look at other things or contacting you through email educates them about your organization and the products and services it provides.

  This is a chance for you to distinguish yourself through a simple approach: Send them an email after they've purchased anything from your firm to check whether they're pleased with their purchase and if you can assist them in any other way.

  Long-term client connections are developed as a result of excellent onboarding processes, which leads to a rise in customer lifetime value (CLV).

- **Customers' suggestions should be accepted.**

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You may increase your customers' lifetime value by paying attention to what they have to say about ways in which you might better fulfill their needs.

By putting up a poll on your website, you may solicit the feedback of your clients and find out what they think of potential new products and services. Instead of trying to force them to conform to your preconceived views, consider allowing them the autonomy to devise their solution to the problem at hand. Even though not all consumers will take part in the survey, the respondents who do participate have the potential to become some of your most loyal clients as a result of the helpful suggestions they provide.

This is efficient because it displays a willingness to pay attention to what the other person is saying. If you believe that you have a greater understanding of what your customers want than they do, you are going to have a low customer lifetime value. You may cultivate long-term customer loyalty and boost customer lifetime value (CLV) by taking the time to listen to and respond to your customers' feedback, even if the feedback isn't exactly what you were hoping to hear.

- **Make it easy for customers to contact you.**
  It's unlikely that customers will stick with your brand if you don't meet their expectations of service and support on time. Survey results show that 88% of consumers want an email response within an hour or less of when they pose a query via email. When firms are unable to respond quickly and encourage smooth connections, they can adopt technologies that speed up their responses.

  One strategy, among many, is to be proactive in your

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use of social media. With the right tools and technology, a customer success team equipped to monitor and react to consumer comments or complaints made via the use of social media might help customers feel as if they have been heard.

There must be an ongoing exchange of information and communication for today's CLV to thrive. Customers are more likely to return and spend more money if you make it easy for them to get in touch with you. Even if you can't react to consumer emails within an hour, this is still true.

- **Spend time creating solid relationships with your customers.**
  Customers will continue to patronize your firm as long as you provide the most competitive price for the products and services that satisfy their needs. As a result of this, consumers are looking for partnerships that do more than simply improve a company's return on investment (ROI), such as cultivating a sense of community and belonging. This is particularly relevant in the modern-day when one considers the significance of social media in marketing and branding.

  As a result of this, you must provide content for your social network accounts that are comprised of more than simply advertisements. So, for instance, you may begin a discussion with your target customers, or you might do some social digging to learn more about them, and after that, you might provide them with gifts related to the things that they are interested in. This is a fantastic approach for connecting with your customers and getting them excited about what you have to offer them in terms of your business.

  To be successful, you need to set yourself apart from

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the other people in your field. It is typical for an eCommerce platform to be fast and easy to use, but if you can establish a true connection with your customers, you will increase the value of your customer throughout their lifetime (CLV).

- **Increase the average amount spent on each order.** If you increase the average order value of your customers' purchases, your customer lifetime value (CLV) may improve.

  When a customer is about to complete their purchase, you have the option of suggesting relevant supplemental items that complement the ones they have already agreed to buy.

  Amazon and McDonald's, for example, have had great success with this method of upselling and cross-selling. Amazon often recommends items that are compatible with one another and offers a discount if the user purchases all of the suggested products together.

  If your company offers subscription-based services, you may be able to increase your average purchase size as well as the lifetime value of your clients if you can persuade them to switch to an annual payment cycle.

Customer Health Score

The lack of a customer health score represents a gulf between customer service and the end-user. Although indirect, it is no less significant. A customer health score is a way of assessing and anticipating the activities of your customers over time.

One of the most appealing characteristics of the health score

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is that it may be computed in several different ways. The customer health score of a business is determined by several parameters, all of which are determined by the company itself.

Why the customer health score is important

- **Power users can be revealed by customer health scores.**
  "Power users" are your "healthy" customers who continuously engage with your product. If you give them the opportunity, power users are more willing to leave reviews about your organization on websites like G2 or Capterra. This will enable you to get further feedback from them, allowing you to further develop your product.

- **Customer health score identifies growth potential.**
  It is possible to utilize customer health ratings as a driver for your customer growth activities. Customers who are satisfied with their purchases are more likely to make more purchases in the future.

  In addition, you have the option of generating a score to monitor the general state of all of your freemium accounts. Keeping this in mind might assist you in determining the optimal time for customer success teams to get in touch with customers and suggest that they upgrade their plans.

- **Customer health ratings can forecast turnover.**
  Customers are more likely to leave your organization when their Customer Health Score is poor. If you keep track of a customer's health score, you'll be able to help individuals with poor scores by reaching out to them and fixing any issues they may be experiencing.

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This has the potential to help you reduce the proportion of customers that churn.

- **The customer health rating system helps to detect patterns of success and failure.**
  You may be able to identify patterns of successful and failed interactions with customers if you compare the data of healthy consumers who made purchases against that of unhealthy consumers who also made purchases. Because of this, obtaining the same degree of success for potential customers in the future will be considerably easier. You may also improve the quality of your product by lowering the friction that eventually results in failure.

How to measure customer health scores

The customer health rating system is highly tailored to the specifics of the company, organization, and even the consumer. As a consequence, no one strategy can be used to achieve this goal, nor is there any widely acknowledged measurement.

- **Define the goal that you want to attain by using the customer health score.**
  The "health score" assigned to a customer reflects the possibility that the customer will continue to utilize the firm's services, renew their membership, or make additional purchases. Looking at a client's total score, for example, you should be able to tell whether the consumer is likely to cancel their membership in your service or not.

  But first and foremost, you must identify the result you want to track. Then and only then may you go to the next stage. This is dependent on your company's requirements. If you're searching for ways to increase

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your income but aren't sure what to do, one option to explore is upselling existing items or services to current customers. If, on the other hand, you want to know why you're losing consumers, you should investigate the potential that they may cease using your service soon.

- **Determine which customers the health score is meant to apply to.**
  When it comes to assuring the reliability of your customer score system, grouping customers can be incredibly effective. This is because software as a service (SaaS) companies may provide different price levels, with the enterprise, or most costly plan, granting full access to the program's functions.

  In these situations, it is appropriate to split consumers into groups and provide a health rating to each of those clients. If you do not take the appropriate measures, you may wind up granting a "health score" to some of your product's features, even though a sizable percentage of your clientele may not even be able to access such functions in the first place.

  As a result, you should make it a habit to use the approach of customer health rating that matches the appropriate segment at all times. It allows you to concentrate your attention while attending to the demands of the consumer.

- **Find out what customers are doing that impacts their health score.**
  Both the customer group and the intended objective of the score have a role in determining the customer actions that influence the customer health score. There is no set of activities that have the same value for everyone.

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However, you should keep the following factors in mind:

- The degree to which a product is used, as assessed by the number of vital functionalities used by customers;
- The number of users that have signed up for the service and are using the product;
- How often do consumers use your product?
- Are there currently open support tickets?
- Participation in polls and surveys inside the app;
- The total number of paid-for add-ons;
- Do they upgrade?
- Usage of in-app chat functionality;
- Use of the in-app resource center.

- **You should assign a score to each action depending on its impact, and then sum the scores.**
  After you have identified the activities and actions, the next step is to assign a point value, or score, to each of these actions depending on the degree to which they are relevant to your product and the user persona that you have developed.

  Take into consideration the processes of testing hashtags and scheduling posts with an Instagram scheduling service. In this context, the importance of trying out a variety of hashtags is far lower than the significance of planning posts in advance. As a result of this, a higher impact score has to be assigned to it.

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After you have completed giving a score of impact to each action, the next step is to monitor the number of times a user performs the action over a given period.

- **Create a system for rating your customers' overall health.**
  With the scores that were determined in the previous step, build a customer health scale. Your score scale can look similar to the following:
    - A negative rating indicates a serious case of an unhealthy customer (at risk of churning);
    - A score of 1 to 40 indicates customers are unhealthy;
    - A score of 41 to 70 shows that one is in the healthy range;
    - A score of 71 to 100 implies that the person is in excellent health;
    - A score of more than 100 shows success (persistent, committed users).

How can you improve your customer health score?

- **From the predetermined categories above, consider what measures you'll take to improve customer health in each of the scale's categories.**
  If you haven't already determined what action to take, identifying which group each user belongs to won't help you much.

  Keep in mind that you built the score with a certain outcome in mind. It is there to help you know which particular actions to take after you have assessed the

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possibility that a person will make a decision.

Using the score as a trigger, you might, for example, take the following steps to decrease customer turnover:

- Get in touch with unhealthy customers;
- Increase engagement via in-app channels.

- **Talk to your customers.**
  You need to ask your customers what is causing their dissatisfaction. If they need more instructions on how to use the products, it is important that you supply them with those. The first step in assisting them is to determine what caused their present situation.

- **Discover your product's use trend among customers.**
  Is it rare for your app to have such a low number of visitors, or is this normal? If the second scenario seems to be more probable, it may be time to include in-app support in your product so that larger groups of people have a better chance of success. Alternatively, the customer success team would need to develop a new onboarding sequence that allows them to expose customers to the features that bring the greatest value.

  Also, the product and customer success teams may be able to better understand where they should concentrate their efforts if they see certain patterns of usage and behavior.

Lead-to-Customer Rate

The percentage of qualified leads that ultimately turn into completed sales transactions is referred to as a company's lead-to-customer rate. It is also called the lead conversion rate or sales conversion rate. This metric is important for understanding how efficient a company's sales funnel is to

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make informed business decisions.

It is important to remember that the rate at which leads are turned into customers is calculated using only qualified leads, not just normal leads.

A qualified lead is a potential consumer who has shown an interest in acquiring a product from a certain firm in the past and meets a specific set of requirements.

Your business strategy has a big impact on how you define "conversion" and "qualified lead". As a result, the method you employ to compute the lead-to-customer ratio is determined by the definitions you attach to these two terms.

If, for example, a publisher wishes to boost readership or circulation, which would raise ad revenue, they could consider a person to be a "converted lead" if that person registers for the publisher's website or newsletter. This would imply that the individual is interested in the publisher's material. Some businesses will not consider a lead converted until they have the prospective customer's credit card details or a signed contract.

It is necessary to take into consideration qualified leads when evaluating the lead-to-customer conversion rate. This is because qualified leads are at the last stage of the lead lifecycle, which comes before real sales. Taking it into consideration ensures your calculations are accurate because genuine sales are preceded by qualified lead generation.

Why is Lead to Customer Rate important?

The Lead to Customer Rate is a metric that is relevant to both business-to-business (B2B) and business-to-consumer (B2C) enterprises, independent of the firm or sales strategy, and it

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should be on the dashboard of every marketing executive.

If you analyze your lead-to-customer rate carefully, you might potentially learn a lot about the state of your company. It reveals information such as how proficient you are at moving offers through the sales funnel, how well you are completing deals, which sales channels earn the most money, and whether some of your salespeople need any help or not.

You may use it to work your way down your sales funnel to determine the number of extra demonstrations or free trials, as well as subscribers, visits, or advertisements, that are required to reach your target revenue increase. After that, you'll be in a better position to choose where you should concentrate the majority of your marketing efforts moving forward.

How to Calculate Lead-To-Customer Conversion Rate?

When calculating the lead-to-customer conversion rate, simply divide the number of qualified leads that turned into actual sales in a specific period by the total number of qualified leads in that period, then multiply by 100. This will give you the percentage of qualified leads that turned into actual customers.

(No. of QL that led to sales / Total No. of QL) x 100 = Lead-to-Customer Rate

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$$\text{Lead-to-Customer Conversion Rate} = \frac{\text{\# of Qualified Leads that Resulted in Sales}}{\text{Total \# of Qualified Leads}} \times 100$$

It is important to keep in mind that calculating the rate at which leads are turned into consumers is not always as straightforward as it may at first seem to be. The concept may likely need to be modified to work in a variety of different contexts and settings.

For instance, one definition of conversion that some companies employ is the fulfillment of a predetermined activity, such as spending a specific amount of time on a website or registering for the publication's newsletter. Another meaning of conversion could be the acquisition of new customers.

Because of this, a company must first expressly define its description of conversion before ever making an effort to compute the statistic. This will not only ensure that the company keeps track of the happenings that it wishes to monitor, but will also make it possible for other parties, such as investors, to understand the relevance of the calculations.

Leads by Lifecycle Stage

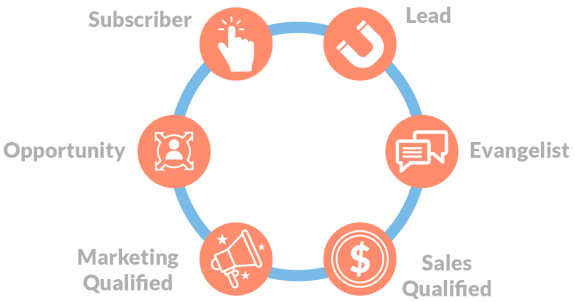
Different phases in the lead lifecycle are referred to as lifecycle stages. The lead lifecycle is a term used to describe the journey a potential customer takes with your firm, starting with their initial contact and ending with their eventual

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financial transaction.

Every person who interacts with your brand has the potential to become a new customer or lead. However, only a small proportion of those individuals will ultimately become paying customers. Depending on the items for sale, going from a potential customer to a paying customer might be a short or time-consuming process. If the cost of the items or services you provide is on the higher end of the range, the process of moving customers through the stages of your lead lifecycle will most likely take longer. Furthermore, the rate at which each prospective lead develops through the phases may vary quite a bit.

LIFECYCLE STAGES



The following is an example of a lifecycle that has been split down into its six individual phases. This lifecycle may be relevant to your company, or it may give you a starting point for designing your lead lifecycle.

1. **Subscriber**
   When a potential customer or client expresses an interest in your company for the first time, it marks the start of their journey. They could, for example, sign up for your newsletter or follow your blog.

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You may add social media followers in this section. However, some firms do not include social media followers in this statistic. This is because you have not yet stored their information in your CRM database. Whether you should include them or not is determined by how you track leads and use social media in relation to your target audience.

Maintaining a long-term relationship with your subscribers and providing them with useful content increases your chances of converting them into paying customers.

2. **Leads**

Leads are the level that comes after subscribers in the hierarchy of lead lifecycle. They are taking a more active role in the relationship they have with your company. They have done something beyond just reading the material that you have supplied for them, which indicates that they may be interested in the products or services that you provide.

A person who has filled out a form on your website with more information than just their email address, often in return for some type of content-based incentive, might be considered a lead for your company. Businesses often employ the lead lifecycle stage for top-of-the-funnel offerings. These are products or services that are quite general and appeal to a large number of people.

When a prospective buyer or client exhibits a higher degree of sales willingness and meets your requirements for potential customers, they will advance farther in the lifecycle.

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3. **Marketing Qualified Lead**
   A marketing-qualified lead, or MQL, is a potential customer who has been assessed by the marketing team and found to be of sufficient relevance to be passed on to the sales team.

   There is no universal set of principles for determining if someone qualifies as an MQL. Rather, the factors you employ to make that choice will be specific to your company. You will need to examine the data obtained from previous customer lifecycles to determine who should be included in this category.

   A lead who has been visiting your products page frequently or one who has watched one of your product demos are examples of lead behaviors that can qualify them to be sent to the sales team.

4. **Sales Qualified Lead**
   Leads that have been evaluated and found to be appropriate for direct follow-up by sales representatives are referred to as sales qualified leads. These leads have been validated by your sales team. If you use this stage, you will be able to ensure that both your sales and marketing teams are following the same playbook regarding the quality and quantity of leads that will be sent to your sales team. This will allow you to maximize the efficiency with which your sales team can convert prospects into customers.

   After making first contact with your sales team, they will evaluate the lead to determine whether it satisfies the requirements to be classified as a sales-qualified lead or not. The requirements they will use to determine this will depend on your company.

   At this stage of the process, it is quite probable that

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there will be some kind of engagement with your sales personnel. This could be a sales call/breakthrough session, but it might also be a request for a demo or an inquiry about price.

5. **Opportunity**
   If the first conversation with your sales team goes well and the contact is likely to convert into a customer, the contact proceeds farther along the lead lifecycle and is considered an opportunity. If the contact does not have a positive experience with your sales team, there is a strong chance that they will not progress further in the lead lifecycle.

   At this stage, they are really close to playing for your service, and although they may still have some questions or reservations, the process is moving smoothly. A member of your sales staff will establish contact with the customer to persuade them to make the purchase.

6. **Customer and Evangelist**
   While the stages “customer” and “evangelist” aren’t usually considered one, a lead will have to become a customer before they become a product evangelist. We will therefore discuss "evangelist" as a subset of "customer".

   When a lead reaches the stage of a customer in the lead lifecycle, it is the point at which your "opportunity" eventually makes a purchase.

   If consumers discover that your product completely satisfies all of their requirements, they are far more likely to become advocates (evangelists) for your brand or product. On the other hand, if your product does not live up to their expectations, there is a strong

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probability that you have lost them as repeat customers (depending on the type of your company) or as evangelists.

Why Is the Lead Lifecycle Important?

The lead lifecycle should be monitored for a variety of reasons, one of which is that it provides a way of deciding when potential clients should be handed from the marketing team to the sales team. This is a significant part of the company's operations. This ensures that no one will be able to sneak through the cracks.

In addition to that, it makes it possible to assess the effectiveness of this method. You will be able to monitor how well your criteria are functioning if you evaluate their performance in finding relevant leads by examining what percentage of your MQLs advance to become SQLs.

By having a lead lifecycle, you will be in a better position to make improvements to your workflows so that your sales force is only notified about the prospects that have the highest chance for success. This frees up their time, which enables them to concentrate on marketing to leads who have a high probability of becoming customers, rather than wasting their time on those who are very unlikely to ever become customers.

In addition to this, the lead lifecycle is helpful for structuring marketing-related content and activities. Once you have segmented your audiences according to where they are in the customer lifecycle, you will be able to build targeted advertisements that are specifically oriented toward getting your audiences to the next stage of the lifecycle.

You will also be able to calculate your rate of success for each subsequent phase of the procedure as you continue to

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gather new data. Because of this, you will have the ability to fine-tune and increase the efficacy of your B2C interactions in order to achieve the best possible rates of conversion.

Customer Engagement Score (CES)

The customer engagement score (CES), sometimes known as the engagement score, is a single quantitative indicator used to evaluate the level of engagement shown by paying customers and free trial prospects. The Customer Engagement Score is an important indicator for online businesses, particularly software-as-a-service (SaaS) companies.

The Customer Engagement Score (CES) is an indicator that may be used to assess how engaged a company's consumers are with its products and services. This is achieved by analyzing the consumers' online activity as well as their other interactions with the products under consideration.

Why is the Customer Engagement Score important?

With the information created by your customer engagement score, you can create more meaningful relationships with your customers and encourage them to have a stronger sense of brand loyalty.

It also aids you in making comparisons across different segments, such as demographics, customer personas, and product owners, as well as analyzing and comparing these segments' performance in terms of customer engagement. Furthermore, it may assist you in identifying areas where consumers are having trouble. Plus, because each individual client's unique score can be computed and tracked, you will be able to implement targeted measures to improve customer loyalty and retention rates.

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In addition, the score may be able to help you determine whether your customers intend to either upgrade their products or make further purchases in the future. If your product comes with a free trial, you will find that this is of much greater use to you, since it will provide you with an accurate image of prospective purchases that may be made by customers.

How to Calculate the Customer Engagement Score?

Calculating the score for the quantity of consumer engagement can be time-consuming and challenging at times. When calculating the CES, it is usually necessary to take into account a wide range of variables in order to arrive at the most precise conclusion possible. That being said, the CES computation process can be broken down into three stages:

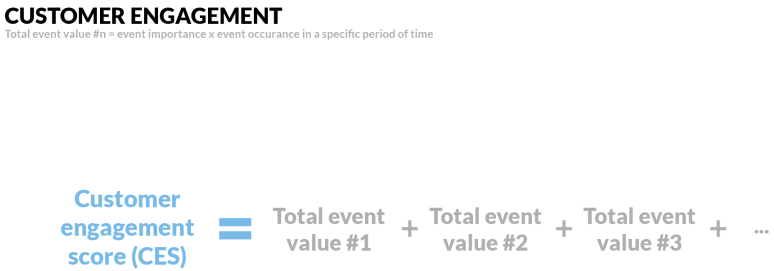
1. **Determine the factors that influence CES.**
   The very first phase of this process is likewise regarded as the most important to accomplish. In this case, the corporation must do a thorough research of the benefits and advantages that the customer enjoys from the product that the firm sells. If a company has a thorough understanding of the benefits provided by its product as well as the precise events that allow tracking of those benefits, the company will be able to zero in on the precise events that allow tracking of those benefits.

2. **Assign the appropriate weight/score to each event.**
   After a company has compiled a list of all of the benefits that a product delivers and all of the events that allow those benefits to be measured or actions that lead to these benefits, the company is required to assign a weight to each individual event in the chain of events. An event that leads to a greater benefit should

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always carry a high engagement score.

3. **Lastly, determine the CES.**
   To calculate the CES, sum all of the events' respective weights and scores. To get the scores of an event that occurs several times, multiply its frequency by the weight/score the event was assigned. That should give you a good understanding of that user's or group's engagement with your product.



There are a lot of customer success tools available that can perform this calculation automatically. These systems enable you to determine how engaged your clients are. They can also help determine whether further product improvement or customer-product training is required, as well as identify consumers who are on the verge of leaving.

What is a good Customer Engagement Score?

Just like the customer health score, different scores indicate how engaged a user is with your product. Below, there is an example of how you can classify user engagement:

- A negative score indicates a significant likelihood of

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customer churn;

- A score of 1-40 means they are extremely disengaged;
- A score of 41-70 shows that they are moderately engaged;
- A score of 71-100 shows they are very engaged;
- A score of 100 or higher indicates that they are power users and are most likely willing to recommend your product to others.

How to Increase Your Customer Engagement Score

- **Provide a customized and unique experience.** Your users that have a low score will necessitate a strategy that is more targeted, in addition to greater time and attention being devoted to them.

  You can boost your engagement score and develop a fully personalized user experience by doing things like utilizing a personalized orientation process, adding specific key activities, and making checklists. These are just a few of the many methods that you can use to increase the engagement score of your audience.

- **Incorporate game-like elements into the app.** After you've examined your users' activities and determined which ones have lower ratings, you can try using an engagement strategy that includes in-app gamification as an option to try and increase their ratings.

  The addition of interactive components such as badges, discount coupons, and leaderboards in the gamification process can improve the experience of a product. Your product engagement score will increase

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over time as a result of this method's strong relationship to the human desire to respond to competition and act if there is a reward associated with it.

All this means is that you should employ strategies that encourage greater participation, which in turn is rewarded.

- **Gather feedback and take appropriate action based on it.**
  Giving your users the option to reply to brief surveys is an excellent way to acquire vital data and feedback. NPS surveys are widely used in market research to assess customer satisfaction.

  These questionnaires will aid your product teams, sales teams, and customer care teams by acting as customer satisfaction surveys and allowing them to better understand how their products help customers.

  Low scores from these surveys will urge you to look into the issues that are causing your customers' dissatisfaction and find strategies to address those factors.

- **Concentrate on users who are highly engaged.**
  Using the scores you've obtained, you'll be able to determine which customers have a high level of engagement with your service. After that, you can create a roadmap of the journeys that these clients take to have a better understanding of how they make use of your product.

  What exactly are they getting right? How does your product address their concerns and needs? What are the most noticeable traits that distinguish users with

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low scores from those with high scores?

The answers to these questions will guide you through the process of developing successful methods for improving your poor scores.

- **Engage users whose engagement is waning and offer them assistance.**
  At this juncture, it is of the utmost importance to have a solid understanding of the factors that are causing dissatisfaction among your customers. In order to respond promptly and effectively if something goes wrong, you need to keep a close eye on the actions that your customers take and pay close attention to the scores that you receive from them.

  By completing an assessment of engagement data and making yourself available to assist customers as soon as their scores begin to decline, you may improve both your customer retention rate as well as your average customer lifetime.

Customer Churn

Customer churn describes the process in which an existing customer chooses to stop making use of the products or services offered by an organization. It refers to the time at which a customer is no longer regarded as a customer and the relationship between the business and the customer is severed.

The percentage of a company's total active customers that decide to stop doing business with that organization is referred to as the customer churn rate. That is the number of people that stopped being customers throughout the course of a certain period of time, such as a year, a month, or a quarter. This might be a positive or negative figure.

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Because gaining a new client may cost approximately six times as much as keeping a current one, this metric is an essential part of any business. It is important to devise a customer retention plan in order to forestall a growth in the percentage of lost customers and prevent churn from becoming a bottleneck for a business that is experiencing rapid expansion.

Why Is Customer Churn Rate Important?

- **Unhappy customers will weaken your brand.**
  In addition to the revenue that you will lose from those clients, you may also face the effects of adverse word-of-mouth, poor reviews, and a general decrease in the value of your brand as a result of this situation. It makes perfect sense to try to mend broken relationships with customers who are on the verge of defecting to a competitor just to avoid these consequences.

  It is a widely held opinion that retaining an existing customer at their current price generates greater value for the organization than acquiring a new customer. There is no one figure or metric that can conclusively

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prove this. Yet, some analysts believe that a client's lifetime value is more important than new acquisitions.

- **Customer loss costs you money as well as already developed relationships.**
  It is generally preferable to retain an existing relationship rather than end it and begin the process of getting to know another person all over again. This is true regardless of the viewpoint from which the issue is seen. If a significant portion of your current customers decides to stop doing business with you, it may have a detrimental influence on both your sales and profitability. As a result, it is critical that you take steps to reduce the number of customers that opt not to do business with you.

- **Churn can slow future growth.**
  Your rate of customer attrition is a significant indicator of future potential growth — or the lack thereof — and should be examined carefully to make sure it doesn't get out of hand.

  If you already have a dedicated customer base that is familiar with your brand, then those customers are likely to be the ideal audience for any new offerings of goods and services that you put on the market in the future. If you already have loyal customers, then they are likely to be familiar with your brand. If, on the other hand, the value that your customers provide over the course of their lifetime is minimal, your new company may suffer. If you want to be successful in the future, you will need to take steps to reduce the proportion of customers that leave your company, since this is harmful to future growth.

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How to Calculate Customer Churn?

A company's customer churn rate for a certain period may be calculated by taking the number of customers that left the company at the end of that period and dividing it by the total number of customers the company had at the beginning of that period. To make the result a percentage, then multiply by 100, as was discussed under churn rate and retention rate vs. churn rate.

$$\text{Customer Churn Rate} = \frac{\text{(Customers Beginning of Month - Customers End of Month)}}{\text{Customers Beginning of Month}}$$

$$\frac{(500-450)}{500} = 10\%$$

How to Reduce Customer Churn?

- One of the most effective ways for a company to draw in new customers and keep the ones it already has is to provide them with a positive experience that exceeds their expectations. Customers are more likely to continue doing business with a firm if they are provided with a good experience, regardless of whether they are new to the company or have been customers for a number of years.
- Delivering consumers with the information and assistance they need to get the most out of the goods and services you provide is a critical component of

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providing excellent service. This may include providing how-to manuals and explainers on your website, responding quickly through a live agent or chatbot function on your website, or being active on social networking sites when consumers share feedback and queries about your goods and services.

- Customers of a certain business who take part in a customer loyalty program at that company and are rewarded with discounts on future purchases from that company are more likely to make future purchases from that particular company. In addition to this, loyalty programs help you acquire an advantage over other businesses operating in the same market.

- When compared to the value supplied by other customers over the course of business, the lifetime value generated by certain clients is much more than that provided by others. If you acknowledge and value the contributions that your most important customers make to your company, you may decrease the likelihood that they will defect to a competitor and take their business with them.

Revenue Churn Rate

The percentage of a company's subscription revenue that is slated to expire but is not renewed by consumers within a given period of time is referred to as the "revenue churn rate". By examining both the customer churn rate and the revenue churn rate, you may better assess the overall health of a company's client base.

Why is revenue churn important?

- The fact that utilizing the churn rate of revenue makes it simple to monitor the churn rate of both high-paying and low-paying clients is the most important

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advantage of using this method of analysis. The revenue churn rate is especially useful in identifying which segments of customers are causing the most revenue churn when the company provides a variety of pricing alternatives.

- Similar to other key performance indicators, churn in revenue can be thought of as a kind of customer feedback. This implies that you need to discover what is causing churn, and then attempt to remedy it when you have identified the cause.

How to calculate revenue churn?

To calculate revenue churn, choose a period of time and divide the revenue churned in that period by the revenue at the beginning of that period, to find out the percentage of revenue churn, then multiply by 100.

$$\text{Revenue Churn Rate} = \frac{\text{Revenue Churned in a Period}}{\text{Revenue at the Beginning of a Period}} \times 100$$

What is a Good Revenue Churn Rate?

It is not possible to provide a simple answer here because a good revenue churn is contingent on a variety of factors, such as the kind of your company, the size of your organization, and the pricing strategy that you use, among other considerations.

However, in the vast majority of circumstances, the lower the percentage churn, the better. If you are a SaaS provider that

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caters mainly to small or local enterprises, a revenue churn rate of 2-5% often indicates that you are on the right side of revenue churn and on the road to sustainability.

Annual Contract Value (ACV)

The term "Annual Contract Value" (ACV) refers to the average yearly revenue that is received from each customer contract, excluding one-time fees.

Why is annual contract value important?

- ACV is important because it can help you determine which account has the potential to generate the most revenue and should be focused on;
- By using ACV, you can provide excellent service to those consumers who have the potential to continue to use the business's products and services for an extended length of time, which results in an increased lifetime value;
- When you use ACV, you can evaluate and compare your company's various contracts in order to determine which ones have the most potential and are worth your efforts;
- It can also help you boost the efficiency of the marketing plan by enhancing the strategy that underlies it, which in turn will increase your chances of attracting your target customers.

How To Calculate ACV?

The value of the annual contract may be determined by dividing the total contract value by the number of years in the contract. For example, if a customer signs a contract with you for a total of $25,000 (excluding fees) over the course of five years, the value of the annual contract can be calculated as

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follows:

$25,000 / 5, which would equal $5,000

If the total value of the contract is $26,000, you would have to remove one-time fees before calculating the Annual Contract Value. In our example above, removing a one-time fee of $1,000 would leave us with $25,000 to work with.

ACV ANNUAL CONTRACT VALUE

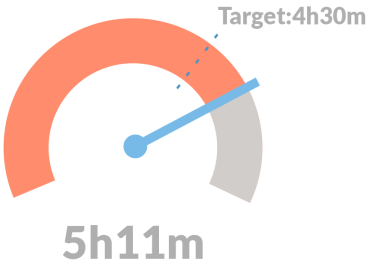
$$acv = \frac{\text{Full Contract Value - 1 Time Fees}}{\text{\# of Years in Contract}}$$

Average Sales Cycle Length

The term "sales cycle length" refers to the number of days or months that, on average, pass before a sale is finalized. The length of time that elapses during this period, which is often measured in months, is referred to as the "Average Deal Cycle". This statistic can prove to be helpful when it comes to generating forecasts about sales, measuring the efficiency of sales, and having discussions with investors.

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SALES CYCLE DURATION



How to Calculate the Sales Cycle Length

To calculate your sales cycle length, you must first determine the total number of days or hours it takes to close each transaction, then take that number and divide it by the total number of sales. This will give you an estimate of the length of time it takes to make a sale.

Let's say you made five sales, each of which took 2, 4, 4, 5, and 6 days to complete. You'd have to add up all the days it took to complete the sale; this would give you 21 days. Divide by 5, and you will get 4.2 days.

Taking into account the information provided by this statistic, you are now able to formulate a prediction about the length of time required to complete the closing process for future agreements that are analogous to the one being discussed here. That means, for similar sales, you will need around 4.2 days to close the deal.

If we substitute the days for hours, that would also mean it would take you, on average, around 4.2 hours to make a sale.

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HOW TO CALCULATE SACLE CYCLE

$$\text{Sales Cycle} = \frac{\text{Total Number of Days}}{\text{Deals Won}}$$

Why Is Sales Cycle Length Important?

- After you have broken down the many aspects of your sales process into components that are simple to examine, you will be ready to get right into the process of data collection and analysis.

  If you utilize the right customer relationship management (CRM) tool, you will be able to automate this process and acquire data without having to do any further labor than is absolutely necessary.

  You'll be able to identify, for instance, the stage in the cycle at which sales often start to decrease or perhaps come to a complete halt altogether. If you can determine which stages of your sales cycle typically result in closed deals and which do not, you will be able to improve your conversion rates and make more sales. This is because doing so will enable you to polish your strategies and more effectively assign members of your team and resources.

- You will be able to make more accurate forecasts of

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your company's future sales using the relevant information from your sales cycle. For example, based on the duration of your typical sales cycle, you may use the data to predict the number of sales that each salesperson can make in a given month. You may also utilize the data to understand which sales are more likely to succeed when a prospective customer is at a certain stage of the customer lifecycle.

- A preset sales cycle will make the training process more efficient and productive by giving a clearly defined course of action or model for each new sales representative to follow. If new sales reps follow a sales cycle, they may have a better grasp of the selling process and identify the important phases where they require further training. This enables them to begin making more successful sales.

Net MRR Churn Rate

Net Monthly Recurring Revenue Churn Rate is the assessment of the amount of income that is lost from one month to the next as a result of account cancellations and account downgrades. This is determined after taking into account any income from current clients (such as upgrades or expansion). It does so by presenting the rate of revenue churn as a proportion of growth after growth has been subtracted from the total.

You may report the MRR Churn Rate indicator as an actual cash value (-$37,374 MRR) or as a percentage (-2.45%), which is a lot more informative and a realistic indicator to monitor over time.

Why is the net churn rate important?

- Every month, the churn rate for monthly recurring

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revenue (MRR) should be the major focus of the product team's efforts. The rate of customer churn is an important indicator of the value of a product as well as the benefits it gives to consumers that purchase it. As a result, if a product is successful in addressing the need for which it was created, the monthly rate of cancellations should approach zero.

- The MRR Churn metric is one that your finance and operations teams need to be familiar with in order to make an accurate assessment of the amount of MRR that is being lost. As a result of this, they are able to provide estimates and predictions about a variety of areas of your finances, such as your profit and loss, as well as your burn rate. When their customer acquisition rate increases drastically, monitoring the churn rate of their monthly recurring revenue (MRR) over time will provide them with invaluable information about how to recruit new personnel and expand your business.

How to calculate Net MRR Churn Rate?

To get the Net MRR Churn Rate, deduct the expansion MRR from the churn MRR. When you get the value, divide it by the total MRR at the start of the month and multiply by 100 to obtain the percentage.

Say a business's total monthly recurring revenue (MRR) for the month is $20,000, there is $4,000 in churn and $1,900 in account growth. The percentage net MRR churn for that month would be 10.5%.

10.5% = ($4000 - $1900) / $20,000 X 100

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$$\text{Net MRR Churn} = \frac{\text{Churned MRR - Expansion MRR}}{\text{Beginning MRR}}$$

MRR - Monthly Recurring Revenue
Expansion MRR - Upselling, Cross-Selling, Price Increases
Churned MRR - Cancellations, Non-Renewals, Account Downgrades

What is a good Net MRR Churn Rate benchmark?

The most successful companies have what is referred to as a "negative" net churn rate. This means that the amount of new business or expansion MRR generated exceeds the amount of business that is lost (churned MRR) as a result of downgrades and cancellations.

Continuing with our previous example, if the business instead of $1,900 in expansion MRR got $7,000, then their net MRR churn rate would be -15%.

How to reduce MRR Churn?

- It is estimated that between 20-40%of the total monthly recurring revenue (MRR) in the SaaS business is lost due to failed credit card transactions. Given that the only problem here could be an expired customer's credit card, this is a very simple and straightforward opportunity to reclaim lost net MRR. It is impossible to exaggerate how valuable it is to have a system in place to remind clients to keep their credit card information up to date.

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- People who don't get addicted to your service and use it on a regular basis are more likely to terminate their subscriptions than those who do. This is especially true for paid services. When customers are billed for a service or product that they are not currently making use of, there is a significantly increased likelihood that they may terminate their subscription.

- Increasing the number of your active users is one strategy to cut down on the amount of lost net MRR. Nevertheless, it may be challenging to implement improvements that would guarantee an increase in the number of active users.

- Because incorrect pricing is one of the factors that contribute to a rise in net MRR turnover, adjusting your price so that it more accurately reflects the value you provide to consumers is one of the most effective strategies to reduce churn. When you are attempting to determine the prices that should be applied to your items, you have many options available to you in the form of several strategic pricing models;

- People are most likely churning for a variety of reasons, which could include a lack of important features and dissatisfactory encounters with customer service. You must implement a product development process, with a part of that process concerned with determining why customers are leaving. Customer attrition surveys have been proven to be beneficial for many software as a service (SaaS) organizations. Customers are given the chance to choose the factors that led to their decision to churn in these surveys. These are very beneficial since they allow you to zero in on the elements of your business that have the greatest opportunities for improvement.

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MRR Retention Rate

The percentage of recurring monthly revenue (MRR) that is present in the current period because it was also present in the prior period is what is measured by the MRR retention rate.

For example, if a customer subscribes to your service in March and continues to use it in April, the amount of money the customer spends during April contributes to your retained revenue for the month.

How to Calculate MRR Retention Rate

From our example above, your subscriber renewed their subscription in April. If 100 subscribers renewed their subscription while we had 110 subscribers in the previous month, our calculations would go like this:

Let's say the 100 subscribers we retained were worth $100,000 in MRR, and the ten we lost were worth $10,000. Then, we would divide $100,000 by $110,000 and multiply by 100. This would give us an MRR Retention Rate of 90.91%.

($100,000 / $110,000) x 100 = 90.91%

$$\text{MRR Retention} = \frac{\text{Total MRR from renewing customers}}{\text{Total MRR from customers of the previous period}} \times 100$$

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How to Improve Retention

Ways of improving retention have been extensively discussed in these sections: How to improve your customer retention rate, How to reduce customer churn, and How to improve your MRR.

Average Selling Price (ASP)

A product or service's "average selling price" is the price at which it is typically offered for sale. In addition to the kind of product, the stage of the product's life cycle may have an impact on its average selling price.

Why is ASP important?

- **Create a strategy for entering the market.**
  If you are going to offer your services or sell your products in a new market, you need to have a strategy in place for how you are going to price those items. This process is reduced to a much more manageable level by using the average selling price.

  After you have completed the calculation for this metric, your company has the option of using the information to identify itself as either a high-end or budget-friendly producer or retailer, depending on the path you choose to take. If you raise your prices over the average selling price (ASP), it may give the appearance that your company provides higher-quality things; yet, the added cost may hinder sales. Alternatively, if you set your expenses lower than the ASP, your company may wind upselling more items. Nevertheless, you will have to make do with lower profit margins.

- **Adopting it boosts a company's trend recognition.**

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The use of an average selling price might, perhaps, increase your company's capacity to spot trends in the market. Let's imagine that a year ago, a company like Nike introduced a new pair of shoes that retailed for $450 each and that they sold 150,000 pairs of the product. This year saw the debut of their newest pair, which had a suggested retail price of $200 and ultimately resulted in the sale of 450,000 units. Even though the company decreased the price of their goods, the lower price encouraged more customers to make a purchase, which resulted in a gain of $22.5 million in revenue for the company.

Recognizing this trend may be of assistance to a new or existing company in this sector that is getting ready to launch a new product. This would be a beneficial event for the company since it would help the company decide on a market price more quickly.

- **Assists in making product decisions.**
  The average selling price of an item is one factor that your company may examine when deciding whether to continue manufacturing a certain product or not. If you increased your selling price according to the average selling price and then saw a drop in sales, this should have been expected. If, on the other hand, cutting your pricing leads to a decline in sales, you need to pay close attention to what is going on and figure out why. The recommendations offered by ASP will serve as a guide for your final decision on the product, which is whether to keep producing it and design a strategy for it or not.

How to calculate ASP?

To get an item's average selling price (ASP), take the entire income generated by the product and divide it by the total

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number of units sold. For example, if a corporation sells millions of a product each year at various prices, the calculation for determining the ASP is as follows:

Say company X sells 100,000 mahogany chairs in a year and their revenue for all the chairs sold is $5,000,000. To get the chair's ASP, divide $5,000,000 by 100,000. This would give you an average selling price of $50 per unit.

Now, if they sold their chairs at different price points, say 50,000 were sold at $60, 20,000 chairs at $50, and 30,000 at $45. Adding the three price points and their revenue would result in a total of $5,350,000.

50,000 x $60 = $3,000,000
20,000 x $50 = $1,000,000
30,000 x $45 = $1,350,000

$3,000,000 + $1,000,000 + $1,350,000 = $5,350,000

Dividing this total by 100,000 would result in an Average Selling Price of $53.50 per unit.

What Is a Good ASP?

You run the danger of adopting a pricing strategy for your company that does not result in a profit for your company if the price is not established by the amount that a customer is willing to pay or by the degree of competition that exists in the market. If the price at which your firm offers its goods is suitable, not only does it have the ability to earn a profit, but it also has the potential to win the loyalty of customers.

In essence, a good ASP is a price that customers are willing to buy the product at and that takes market competition into consideration.

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Annual Run Rate (ARR)

Annual Run Rate (also known as ARR), is a type of financial performance indicator that determines the annual performance of a company's current revenue by converting the revenue from a specific period (such as a week, month, or quarter) to an annual amount.

Why is Annual Run Rate important?

By calculating ARR, you can use the data you already have in order to estimate the future performance of your revenue. Businesses that are just starting out, businesses that are experiencing rapid growth, and those that are dependent on recurring revenue streams can all benefit from estimating future financial standings. The following advantages may accrue to your business should you choose to make use of it as a financial performance indicator:

- When attempting to secure financing for their operations, start-up enterprises can utilize indicators like their Annual Run Rate. By leveraging its ARR, a company that does not have a significant credit history or an established credit history may be able to receive financial support.
- If a company is new and has been in business for a relatively short period of time, the Annual Run Rate can be an extremely helpful indicator of the company's overall financial health and performance. If management can be relatively assured that the external financial environment will not experience any major alterations in the near future, then the ARR may be an immensely helpful tool for a company.
- ARR can also be useful to a company even when it makes significant changes to the organizational structure of its operations and business management. The Annual Run Rate can be used as a benchmark to

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examine whether the company's modifications have resulted or not in an improvement in the business's financial performance. This may be accomplished by analyzing whether the changes resulted in a higher Annual Run Rate.

How to calculate Annual Run Rate?

To calculate ARR, choose a specific period to derive your base revenue from, then divide the revenue from that period by the number of days in that period, then multiply your result by 365.

Revenue in Period / Number of Days in that Period x 365 = ARR

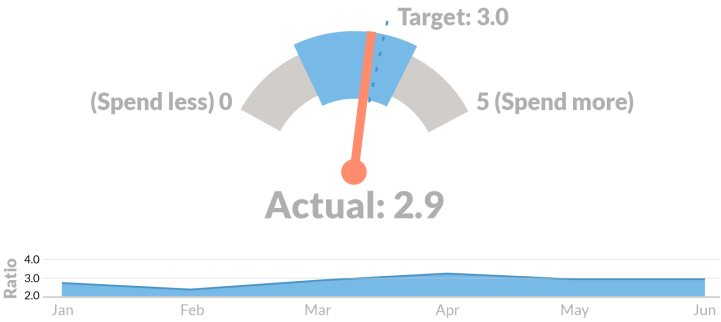
Lifetime Value: Customer Acquisition Cost (LTV: CAC) Ratio

This is the ratio of the customer's lifetime value to the cost of acquiring that client. (LTV/CAC ratio). This comparison evaluates how valuable a customer is over the course of their whole lifetime. By monitoring the total worth of a specific customer and comparing it to the cost of getting that customer, you can gather useful information on the efficacy of your customer acquisition expenditures.

Maintaining this ratio at 3:1 or greater is a solid benchmark for determining whether a SaaS business is profitable or not.

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LTV TO CAC RATIO (SAMPLE DATA)



Why is LTV: CAC important?

- **LTV: CAC helps you decide how much to spend on customer acquisition.**
  Customer acquisition is an important element of every growing business, and although you may have discovered other methods to save costs, without a healthy LTV: CAC ratio, you may still be losing money. By integrating this ratio into your customer acquisition plan, you can better estimate how much you should be spending on new customer acquisitions. For instance, if the lifetime value of a customer is $1,000, and you want to achieve an LTV/CAC ratio of 10:1, you will need to spend roughly $100 on acquisition.

- **Securing Investments.**
  If investors are of the opinion that the value of your customers is about four times the cost of the acquisition, then they will be quite interested in hearing from you. The purpose of presenting this figure to investors is to demonstrate to them that your company has a large market demand and that the high LTV: CAC ratios it now has been likely to stay at such levels in the future.

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- **Determine the kind of customers you want to attract.** The LTV: CAC metric can be beneficial to your company since it enables you to determine the kind of customers you should target. By analyzing your existing clientele and noting the traits shared by those of your clients that have a high LTV, you will be able to direct your marketing efforts more effectively toward the audience of your preference.

What is the formula for LTV: CAC Ratio?

To calculate your LTV: CAC ratio, you must already have your customer lifetime value and customer acquisition cost. To calculate their ratio, divide LTV by your CAC. If your LTV is $1,600 and your CAC is $800, then their ratio is 2:1, or 2.0x.

CALCULATE LTV:CAC RATIO

$$\text{LTV:CAC RATIO} = \frac{\text{Customer Lifetime Value (LTV)}}{\text{Customer Acquisition Cost (CAC)}}$$

Example	
LTV	$ 800
CAC	$ 400
LTV:CAC Ratio	2.0x

How to Improve your LTV/CAC Ratio?

- **Pay attention to the appropriate channels.** Investing in channels that make inbound marketing easy to deploy is a good idea, since the marketing channels that bring in the most customers are not always the ones that deliver the best results. And because more than 75% of consumers research different products before making a purchase, it is

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critical to have a strategy that creates valuable, targeted, and personalized content. This provides you with consumers of a higher caliber while also lowering your overall expenditure.

- **Generate revenue from a broad variety of customers.** Because the price of acquiring each individual consumer varies, you need to consider the state of the market: are there any obvious opportunities that you have missed? You may want to consider upgrading the tools you use for generating leads.

- **Try out different price points.** Experimenting with your price plan might provide you with the opportunity to learn more about the factors that could contribute to an increase in the number of paying customers. It might be a pricing tier that varies in price, a pricing scheme that is based on features, pricing that is based on seats, or perhaps something completely different. If you have a greater rate of lead conversion, your customer acquisition cost (CAC) will be lower than it otherwise would be.

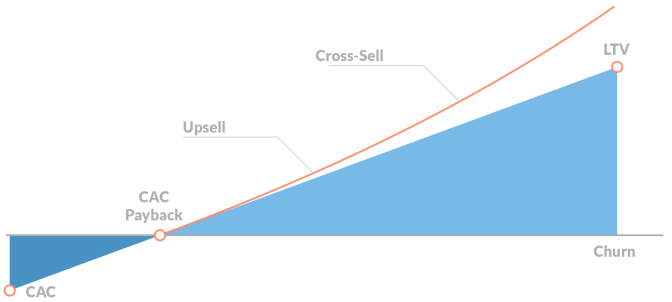
- **Make your sales cycle shorter.** A rise in the CAC is inevitable in the event that your sales cycle is either complex or takes significantly more time. You need to make sure that you develop a short sales funnel and ensure that each level of the funnel is simple to traverse. By shortening the length of your sales cycle, you can secure more consumers.

CAC Payback Period

This refers to the amount of time it takes a business to recoup the cost of acquiring one new customer. For instance, the payback period for a customer that costs $100 and pays $12 per month is 8.3 months. When a customer has been with a firm for a longer time, they will have recouped a larger

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amount of their customer acquisition cost via subscription payments, upsells, cross-sells, or add-ons.



How is the payback period useful to other SaaS metrics?

It is important to consider the payback period when looking at these metrics:

- **ARPU:** If your CAC remains consistent, a rise in ARPU will increase your MRR, resulting in a reduction in the payback period;
- **MRR:** When you increase the rate at which you build your MRR, your payback period will decrease, which in turn will speed up the rate at which your revenue grows;
- **MRR Churn:** A high rate of MRR churn may prolong the CAC payback period;
- **LTV:** Your long-term goal should be to enhance your LTV while simultaneously reducing your payback period;
- **LTV: CAC Ratio:** A LTV: CAC ratio of 3:1 is generally considered favorable, but, even with such a favorable

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LTV: CAC ratio, a long payback period will make quick expansion difficult for your business.

How to Calculate the Payback Period?

To calculate your CAC payback period, divide CAC by your customer's MMR minus the Average Cost of Service.

CAC / (MRR - ACS) = Payback Period

$$\text{CAC Payback Period} = \frac{\text{CAC}}{\text{(MRR - ACS)}}$$

You can also calculate it using the following formula:

CAC / (ARPA x Gross Margin Percent) = CAC Payback Period

However, with the above formula, you have to know your Gross Margin Percent, ARPA, and ARPA.

How do you reduce the payback period?

- **Increase the Average Order Value.**
  By increasing what a customer spends on average, you can reduce their CAC payback period. You can do

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this by upselling, and cross-selling your customers.

- **Reduce customer churn.**
  The most successful technique for lowering customer turnover is to work toward making customers feel as if they have no reason to leave in the first place. If they eventually leave, you have the opportunity to persuade them to continue being your customers by either pointing out the benefits of your product to them or offering them incentives to continue doing business with you.

Other ways to reduce the payback period can be found under ways of improving the LTV: CAC ratio.

SaaS Quick Ratio (QR)

The SaaS quick ratio measures a firm's ability to increase recurring revenue amidst attrition or churn. It essentially examines a company's ability to maintain revenue growth while accounting for the rate at which it is currently losing customers. This is accomplished by contrasting a company's revenue inflows and outflows.

Why is SaaS Quick Ratio Important?

The SaaS quick ratio is perhaps the single most crucial metric when it comes to analyzing a company's capacity for growth. This is because it takes into consideration both the increase in revenue from new and existing customers (upgrades and cross-sells) as well as decreases in revenue from customers who have left the company as well as those who have stayed with the business (downgrades).

Businesses that have a quick ratio that is low are more likely to be having trouble keeping up with the increase in their sales. Because of customer attrition or service downgrades, the company's additional income just makes up for the money that was lost.

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High quick ratios imply that a company's revenue is increasing swiftly and steadily, indicating that the business is doing well. It means that an organization's increased sales have more than offset any revenue reductions; in other words, a high quick ratio implies both increased sales and revenue growth.

To be in excellent growth health, a corporation must be able to maintain its growth rate and a quick ratio of over 4 (this quick ratio is not generally accepted because of business peculiarities). According to this data, the company is able to generate new income at a rate four times greater than the rate at which it suffers new financial losses.

How to Calculate SaaS Quick Ratio?

To accurately calculate the SaaS quick ratio, you must have previously ascertained your New MRR (MRR from new customers), Expansion MRR (from cross-sells and upsells), Churn MRR (MRR lost because of lost customers), and Contraction MRR (downgrades).

Let’s say a company has a new MRR of $2,000 and an expansion MRR of $700, with a churn MRR of $400 and a contraction MRR of $350, the formula for finding its SaaS quick ratio would be:

$2000 + $700 / $400 + $350 = 3.6

Based on some opinions, a company with this SaaS quick ratio can be considered to be growing slowly.

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$$\text{SaaS Quick Ratio} = \frac{\text{New MRR + Expansion MRR}}{\text{Downgrade MRR + Churn MRR}}$$

What is a Good SaaS Quick Ratio?

- SaaS Quick Ratios under one indicates failure. It's possible to maintain your quick ratio below one for a couple of months if you already have a substantial customer base, but if you do so for too long, your churn rate will be too high and your firm will collapse.

- If your quick ratio is less than four but greater than one, it means your business is growing. While this may seem to be a favorable development on the surface, the fact is that you will find it difficult to sustain your current high level of client acquisition in order to restore lost revenue and clients. You will continue to grow, but at a slower and less efficient rate.

- If your quick ratio is more than 4, you are rapidly and successfully growing. This means that for every $1 you lost, you made $4 in revenue.

Trial conversion rate

Trial Conversion Rate is a metric that indicates the percentage of customers who have upgraded to a paid account after first signing up for a free trial. It compares the

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number of users who upgraded from a free trial to the total number of users who signed up for the free trial.

2. FRANCHISE MODEL METRICS & KPIS

Same-store sales
Comparable same-store sales or same-store sales is a metric that analyzes the revenue earned by a retail company in the last fiscal period as compared to the revenue generated in the previous comparable fiscal period. This period can be a fiscal year, fiscal quarter, calendar year, or quarter.

It is a monetary statistic that is used in the process of assessing the level of success experienced by retail stores that are already in operation.

This comparison is done so that the previous accounting/fiscal period may be utilized as a reference point for the current fiscal period.

Why is Comparable Store Sales important?

- The management of a retail chain, as well as the investors who are studying the chain's present and predicted future performance, place a high value on same-store sales data as an important point of study. This is because same-store sales are strongly tied to the chain's overall success. By looking at its same-store sales, the evaluation of a retail chain's management in terms of its capacity to increase revenue while making use of its current assets can be carried out with accuracy.

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- As far as investors and market analysts are concerned, they want to see substantial growth in same-store sales. That's because high same-store sales indicate growth. When a company's revenue increase is mostly due to the establishment of new stores, its growth may have peaked. As a result, it's more realistic to expect revenue growth to remain minimal once the company has a certain number of retail locations under its belt.

- A retail chain's management may benefit from utilizing sales data from existing shops when making decisions regarding existing locations as well as prospective future expansions. This is because they can now make educated decisions about their future plans after understanding what causes revenue fluctuations in their other locations.

How to calculate Comparable Store Sales?

To calculate comparable-store sales, you need to know your store's total sales in the current period (Total SalesT+1) and its sales in the previous period (Total Sales).

From the image below, say a store's preceding total sales were $30,000 and its current total sales were $40,000. This would be the formula for finding its same-store sales.

($40000 / $30000 - 1) x 100 = Same-store sales.

(1.33 - 1) x 100 = 33%

With a same-store sale of 0.33 and a percentage same-store sale of 33, that would mean that the store's total revenue increased by 33%.

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$$\text{Same-store Sales} = \left(\frac{\text{Total Sales}_{T+1}}{\text{Total Sales}} - 1 \right) \times 100$$

A gain in same-store sales of more than 0% is regarded as positive, while a decrease in same-store sales of less than 0% is considered negative.

Net Promoter Score (NPS)
NPS has been properly fleshed out under Net Promoter Score.

Average Sales Ticket
Average Sales Ticket is a metric that gives insight into the average amount of revenue/sales generated from each individual customer. In its most basic form, it is a statistic that examines the total monetary value of sales provided by each individual consumer.

How to Increase Your Average Ticket Sale

- **Offer discount coupons.**
  This can be done by providing discount coupons with specific criteria tied to them. Giving your most loyal customers discount coupons for orders above a specific dollar amount or that are only valid while supplies last is basically what this is all about, rather than wide promotions or price cuts.

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- **Change the terms of free delivery.**
  Due to its effective results, this method is frequently utilized. Depending on your logistical situation and business objectives, you may provide free shipping to clients who spend a particular amount. To avoid having to pay for shipping, customers who are within a few dollars of qualifying for free shipping will prefer to purchase extra things. However, if you want to provide free delivery, you shouldn't make the barrier too high; else, your brand's reputation might be damaged.

- **Open the door to cross-selling opportunities.**
  Your product pages and checkout pages might feature a sequence of related items that have a greater possibility of attracting your consumers' attention in order to increase your average sales ticket. This would be beneficial to your business. Users will be more interested in results that have been tailored based on their prior search behavior.

- **Start adopting upselling strategies.**
  When businesses use this strategy, they are able to justify charging a higher price for a product that is of higher quality or has a larger number of features than their other products on the market. When a client is close to being ready to make a purchase, the assisted selling approach, which is the most typical way of putting this plan into action, produces the greatest results. Because the vendor is already aware of the consumer's unfulfilled needs, the efficacy of this service may be attributed, in part, to this fact.

- **Make product bundles.**
  If you aren't able to generate enough revenue via cross-selling, you might consider bundling together items that are complementary to one another and

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selling the bundle at a price that is cheaper than what the individual items would cost if purchased separately. These bundles will also pique the interests of purchasers who haven't given a lot of thought to what else they may want, such as a camera bag (if the customer bought a camera or camera lens), which is something that might be included in one of the bundles. As a result of the ease with which these packs may be sold, the company is also given the opportunity to sell items that either have a large quantity in stock or that are low-quality products..

- **Create loyalty programs.**
  Because customers will make more expensive purchases in order to accumulate the points necessary to get the reward, loyalty programs are an ideal method for increasing the average ticket price. But customers will only do so if the incentive is desirable enough. It is crucial to choose great rewards for the customers who have gotten the most loyalty points. However, this should not result in a loss for your business.

- **Create landing pages that are dynamic.**
  You don't have to be kicking off a new campaign or presenting a brand-new product in order to make use of a landing page. Increasing the exposure of products that are in high demand, such as seasonal goods, may require the creation of new landing pages or the modification of current ones. By using dynamic landing pages, you can also start selling products that customers might not have been aware of.

- **Target new customers.**
  You may experiment with numerous approaches to reach a larger audience, but you must avoid deviating from your goals in the process. You may be able to

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achieve this aim if you combine outstanding user classification with digital advertising with a strong viral component.

Sales per Square Foot

Sales per square foot (also written as "sales per sq. ft.") is a statistic that retail businesses sometimes use to assess the revenue earned for every square foot of retail space in their establishments. The sales efficiency of retail establishments may be measured in terms of the sales generated per square foot of space.

Why are Sales per Square Foot important?

Sales per square foot is one metric that can be used to assess the efficiency of a company's retail outlet. When it comes to levels of productivity and efficiency, a retail shop is considered to be operating at a high level when it has a high sales volume per square foot. A retail company that, for example, earned $50 per square foot of space would be judged to be operating at a far higher efficiency level than one that generated $35 per square foot of space.

When considering sales per square foot, it is vital to make comparisons, just as it is important to make comparisons when using a variety of other financial figures. It is important to study this metric in conjunction with other indicators when comparing it to the sales per square foot of similar competitors. However, when attempting to determine how efficient a company really is in the present day, managers and analysts don't place as much emphasis on a company's revenue per square foot as they formerly did.

How to calculate Sales per Square Foot?

To determine a retail shop’s sales per square foot, you must first determine their revenue for the period of time you’d like to analyze and the amount of retail space used by the shop.

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$$\text{Sales per Square Foot} = \frac{\text{Revenues}}{\text{Retail Space}}$$

Say a retail chain wanted to know the sales per square foot of its seven stores in a month. With a revenue of $5,000,000 for the month and average footage of 120,000 for each of its stores, the formula for their sales per sq. ft. would be:

sales per sq. ft. = 5,000,000 / (120,000 x 7) = $9.52/ square foot.

How to Increase Sales per Square Foot?

- Shop space that isn't being used to its full capacity may be the cause of poor sales per square foot. The unnecessary extra equipment may be a hindrance to a retail establishment, for example. As a result, increasing revenue per square foot may be made possible by redesigning the store layout and removing items that aren't being utilized.

- Poor sales per square foot may be caused by customers' lack of interest in the items on offer. If a retail business offers products that are out of date with current technology trends, for example, its sales will decrease. A retail store may make more money by gathering information on the products that are most

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popular with customers and removing those that aren't.

- Workers at a retail shop have a direct influence on both customer satisfaction and sales, making them one of the most important elements in increasing revenue. Employees that are informed about the company's goods may cross-sell and up-sell the company's items more effectively. Thus, increasing staff training (including product knowledge, up-selling and cross-selling methods, and so on) has a considerable influence on sales per square foot.

Franchise Growth Rate

The franchise growth rate is a metric that measures the rate at which a franchise expands as new franchisees join and franchisor revenue and income rise.

When examining any organization that offers franchise opportunities, it is critical to analyze the system's pace of development and how it relates to possible risk concerns. You should also consider how your investment will affect the pace of development. You want to ensure that the franchise has the long-term sustainability that comes with dynamic growth, but you also want to ensure that it is not growing at such a rapid speed that you are unable to adequately handle the challenges that arise as a result of the brand's expansion.

Growth may be measured in a number of ways, some more essential than others. Some of these techniques are listed below.

- **The number of newly established franchisees.** This figure may be used to calculate the number of new franchisees who join the system each year. Because running a successful franchise demands a significant level of effort from each new franchisee,

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ensure that this amount is acceptable (as they work their way up the learning curve). Having too few franchisees may suggest that the system has an issue that prevents it from recruiting more. If the number of new franchisees is high, it may indicate that support personnel are overworked, which may result in a decrease in support services.

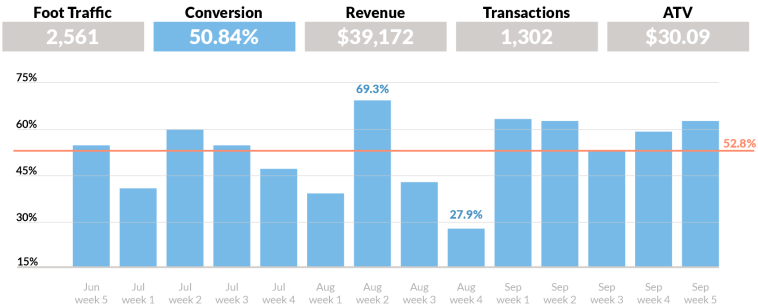
When assessing the expansion of a franchise organization, it is critical to analyze the growth rate as a proportion of the total number of franchisees added. If there are two hundred franchisees in the system rather than twenty, if ten new franchisees join, they will have more resources to help them. A reasonable aim for new franchisees is 10% to 35% of the total number of franchisees.

- **Revenue and Income of a Franchisor**
  This is the simplest way of calculating a growth rate, but it is also the least accurate. In terms of financial statements, you want to see a franchisor who is financially secure enough to be in business in the long run.

Retail Conversion Rate

The term "retail conversion rate" refers to the proportion of customers who make a purchase while at a retail establishment.

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How to calculate the retail conversion rate

To calculate the retail conversion rate, divide the number of sales by the total number of visitors, then multiply by 100. In essence:

Retail Conversion Rate = (Number of Sales / Total Number of Visitors) x 100

What is the average conversion rate for retailers?

According to many studies, the average conversion rate for traditional retailers is between 20 and 40%. That's a good reference point to use in contrast to your own.

However, it's vital to bear in mind that the retail conversion rate might change for a variety of reasons. A weekend flash sale, for example, may result in an increase in sales for your company. However, your retail conversion rate may also be reduced if one of your retail sales personnel becomes ill, resulting in you working with one fewer person than usual.

Why is retail conversion rate important?

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- **Improve your business decision-making with relevant data.**
  You will be able to make more informed decisions about the future of your business thanks to the useful information that the conversion rate gives on the performance of your retail locations.

- **A more accurate gauge of performance.**
  The conversion rate is a great indicator of how well a retail shop is operating in general because of its constancy from day to day. Foot traffic and gross income, for example, are subject to substantial variation based on the day of the week and adjacent activities.

  Such characteristics have less of an impact on retail conversion rates. Whatever the size of your sample, this KPI may help you better understand how your in-store customer experience affects their purchase choices.

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How to improve your retail store conversion rate?

- **Strategically positioning your products may help attract customers.**
  Increasing consumer traffic may be accomplished in a number of easy methods, one of which is by displaying your most alluring products at the store's entrance. If you own a clothing store, this involves having the current season's inventory up front and stock from previous years or things on sale at the rear. The vast majority of big corporations already do this, but the principle also applies to smaller businesses.

  You should also pay careful attention to any window displays in your store, if you have any. It is not enough to just make the display appealing to customers; the design must be changed on a regular basis to maintain its vibrancy. Use the window display to your advantage to attract the attention of prospective customers, regardless of the kind of goods you have for sale.

- **Consider training and staffing as an investment.**
  To enhance customer service at your shop and increase conversion rates, staff it with appropriately trained employees during peak hours.

  Having a member of your staff who is kind, professional, and goes as far as possible to satisfy a customer's needs increases the likelihood that the customer will buy from your firm and become a regular customer.

  Having your staff connect with clients is just as important as educating and scheduling them appropriately and engaging customers who may otherwise leave your company without making a purchase. By ensuring that all of your employees are

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able to assist clients without seeming pushy or intrusive, you may get a jump start on providing exceptional customer service.

- **Ensure that your stock and inventory levels are at their ideal levels.**
  Inventory management is a skill that needs a delicate touch. While having too little stuff on the floor of your retail store may turn off prospective shoppers since they won't have many selections, you don't want to stock up on too many things since it will clog your shop and devalue the products.

  For example, you may choose to show just one or two items of clothing per size for each design, while the remainder of your inventory is kept at the rear of the store.

  This strategy also gives your personnel the opportunity to speak with customers and determine if they need support.

- **Streamline the checkout process.**
  Nothing is more aggravating than a long wait at the checkout register, and for some, it might be the difference between purchasing something and giving up and going away. Streamlining the checkout process is critical for any shop that wishes to enhance conversion rates.

  Having checkout counters towards the rear of the business is a simple yet visually appealing option. Other options include distributing the cash registers across the store or eliminating the ground-level checkout area completely.

  Consumers can now pay for goods and services using

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mobile devices, including their own cell phones, thanks to the availability of mobile point-of-sale systems. These mobile payment methods are becoming commonplace at major shops with several outlets.

- **Adjust your marketing and advertising strategies.** If your company's conversion rates remain constant, a superb ad campaign may be all that is needed to bring in new consumers and improve revenue.

  You may discover that offering seasonal discounts to your customers is a big success, or you may discover that just publishing a new ad on the internet or in your local newspaper is enough to bring in new customers. The specifics of this will be determined by the kind of business you operate.

Gross sales

The term "gross sales" refers to the entire amount of sales/revenue a company generated in a certain time period. It is important to note, however, that gross revenues do not include any of the expenses associated with operating a company.

Why is Gross sales important?

- **Helps in assessing the break-even point.** First things first: if you want to have a healthy profit margin, you need to figure out how much money you earn in comparison to how much it costs you to produce the goods that you sell. The calculation of your gross sales will help you achieve this goal. This is especially crucial for newly established firms, as the bigger their gross revenues, the sooner they may be able to break even and begin generating profits from their most fundamental operations.

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- **It has an impact on cash flow.**
  The level of gross sales has a direct bearing on cash flow. When a company wants to sell a wider variety of products, they often invest money in expanding its inventory. If you have a big markup margin on the sales of your inventory, you may end up earning more money per item than you paid when you bought it.

  If you are able to swiftly turn your sales and inventory into a profit, it will be much simpler for you to make investments in the growth of your company. If you want to maximize your cash flow and improve your investment plan, you need to analyze your gross sales and the patterns in your sales.

- **Pricing strategies determined by gross sales.**
  Pricing strategies, which are usually dependent on the market's market rate of competition, are frequently in charge of determining gross sales.

  Your pricing will be generally similar and competitive with that of your main rivals. You will maintain your usual profit, but in order to increase sales, you will need to market your products.

  In other cases, you may be able to lower your prices and still generate more sales than normal, since your prices are the lowest on the market.

  If you want to increase your sales, you may charge a higher price than your competition. It is bizarre that this is an option when we expect that consumers would want to make less costly purchases.

  There is, however, a problem with this setup. It is common practice to have to make extra efforts to

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brand the product while utilizing this strategy. In this scenario, in order to optimize your financial advantage, you must actively market your brand in addition to the things that you make. It is possible to use this method in certain markets, but doing so exposes the company to the danger of selling to a market that is satisfied with purchasing at a lower price.

How to calculate Gross sales?

To calculate the overall amount of gross sales for a specific time period, add up all of the sales transactions for that time period. Remember to include the selling price before subtracting any discounts, refunds, modifications to the selling price, or perks of any type.

Gross Sales = the total sum of all transactions.

Rankings

Because it is based on gross sales, this often-used metric is only somewhat useful. You may need to know which franchisees are profitable, but you won't be able to assess how effectively they perform as a team until you also know their expenses. Your ability to judge their success based on individual sales may be hampered by the potential that such transactions are not evidently profitable.

If sales are increasing in high-ranking locations and the location of those shops is the key reason for this, the information will not give any useful insight for enhancing your sales. If the cause isn't their actual locations, you may be able to replicate their marketing strategy, upselling and cross-selling tactics, or any other component of their business. Take note of the most successful businesses and draw inspiration from their formula.

Net Profit (NP)

The amount of money that remains after subtracting all of a company's operating expenses from the sum of all of its sales

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is the company's net profit, which is often referred to as the bottom line or net income.

In addition to the cost of goods sold, a broad variety of other variables may have an effect on profits. These include things like payroll and other operating expenditures; taxes; interest payments on loans and other obligations; depreciation of fixed assets; and selling, general, and administration fees. When determining a company's net profit, total revenue consists of product sales in addition to other sources of revenue, like investments.

How to Calculate Net Profit?

To determine your company's net profit, add up all of your revenue over a certain time period and then subtract from that total all of your costs incurred during that same time period.

Total Revenue - Total Cost = Net Profit

3. SUBSCRIPTION BUSINESS MODEL METRICS & KPIS

Between 2012 and 2021, subscription-based business models increased in popularity by more than 435%, and this number is expected to grow. And just like other business models, a separate set of performance metrics and benchmarks for subscription services, is now being adopted industry-wide. These key performance indicators (KPIs) may help you keep tabs on the health of your company. The following is a list of some of the most essential key performance indicators for subscription companies:

Freemium conversion rate

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Freemium, often known as "free trial", is a customer acquisition technique that enables consumers to test out a restricted version of a product for free before being urged to subscribe to the full version. If you use this method to persuade customers that your product or service can resolve their issues, your customer acquisition costs may be lower than they otherwise would be.

Why is the Freemium conversion rate important?

- **Increase the number of customers who buy your product by guiding them to discover its value.** Following the COVID-19 pandemic, customers are increasingly searching for items that they can test for themselves in today's competitive environment. According to studies, most B2B customers prefer to learn about a product on their own rather than via a sales representative.

  In light of this, you should provide a freemium alternative to enable consumers to satisfy their needs while determining if your product is the best solution to their issues. This is because providing what your consumers need is one of the most effective strategies to improve conversions.

- **Reducing the cost of gaining new consumers** It's important to understand that freemium's primary goal is not to make more money right away, but rather to reduce the costs associated with acquiring new customers.

  When it comes to the expense of acquiring new consumers, it will save you money as well as time and energy, which are two of the most valuable resources.

- **Developing a loyal customer base for your business.**

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Using a freemium version of your product helps clients get acquainted with its features and functioning before making a purchase decision.

They will be more inclined to utilize your premium product in the future than other items that they are unfamiliar with.

One of the major advantages of establishing loyal consumers via freemiums is that your product will continue to be utilized and promoted by these customers.

- **Reaching a larger audience with your products.**
  The freemium model is very helpful for generating more awareness for your products. You can increase the number of long-term customers who pay you regular fees if you provide them with a free trial of the product or service they are interested in purchasing.

  If you provide a freemium alternative and customers are able to find what they are looking for in it, word of mouth will spread about how valuable your product is.

  In essence, if you are able to provide your customers with a pleasant experience when they first start using your product, you can be certain that they will want to promote it to their loved ones and colleagues.

- **Gather feedback and data from your target demographic.**
  A significant benefit of using a freemium company approach is the ability to gather user data and feedback.

  Data from your users, as well as any comments they offer, can assist you in properly categorizing your

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audience and developing buyer personas for each of your users. This will allow you to more directly reach your prospective consumers.

It will also assist you in improving your marketing and sales efforts, as well as how you onboard new users, allowing you to retain more of your customer base.

How to calculate the Freemium Conversion Rate?

To determine the rate of freemium users who become paying customers, divide the number of freemium users who converted to paying customers during a particular time period by the total number of freemium users during the same time period, then multiply that value by 100.

If just 60 of the 1,000 clients who started with the free version of your product converted during a given month, your conversion rate from free to paid is 6% for that month.

(60 / 1000) x 100 = 6%.

What is the ideal Freemium Conversion Rate?

Conversion rates for freemium models should be between 2-5%. The average conversion rate for freemium services is roughly 1%. While a high rate of freemium conversion may be desired, it is just as inconvenient as a low rate.

If your rate is high, it means that you made too many promises during your freemium period. Because of your freemium model, these consumers will convert into paying ones; yet, after they have paid for your product or service, they will leave promptly if they are unable to get what they were promised.

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How to Optimize Your Freemium Conversion Rate

- **Determine which product limits should be applied to your free account.**
  If you have a poor freemium conversion rate, one of the first things you should look at is your free plan. If your free plan fits all of the requirements of freemium users, they have no need to upgrade to a paying plan.

  You may utilize your rivals' free plans to determine how much to include in your own. Strong awareness of the competitive landscape can help you establish the right explanation in your advertising campaign, whether you match their features or not.

  Using product usage statistics, you may learn more about how your consumers are using your product and where they are getting the most bang for their buck. With the insight from this, your freemium conversion rate will improve. It all comes down to creating enough of a value gap for free consumers to entice them to upgrade.

- **Put customer success first.**
  When you adopt freemium, your product does the selling for you. As soon as they sign up for free, your customers should be able to see the value of your product. This is quite important. Optimizing for customer success is a great approach to achieving this goal. You must ensure that your product is of greater value to your clients at all times. Free users may be more likely to upgrade to a paid membership as a result of this.
  You may help consumers succeed by doing a number of things, such as

    - Send a welcome email or an email series to

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customers during the onboarding process to help them succeed;

- Highlight crucial features inside the app with prompts and notifications;
- To react to any potential questions, use a comprehensive product knowledge base;
- You can provide an additional layer of support if you have a dedicated customer service staff;
- Consider sending out a newsletter to assist new users in getting started.

- **Include a free trial period with all of the features.** By providing access to all of your product's features and capabilities, feature-rich free trial periods make it easier for prospective customers to evaluate the complete worth of your product before making a purchase decision.

  Customers should not be pressed to make a purchase choice at the end of a free trial period. As an alternative, you may restore them to a free-level plan with fewer features, which minimizes the number of people who stop their free trials early. The limitations of the free plan will become more obvious if customers return to it after the free trial time has expired, increasing their urge to subscribe to a premium membership.

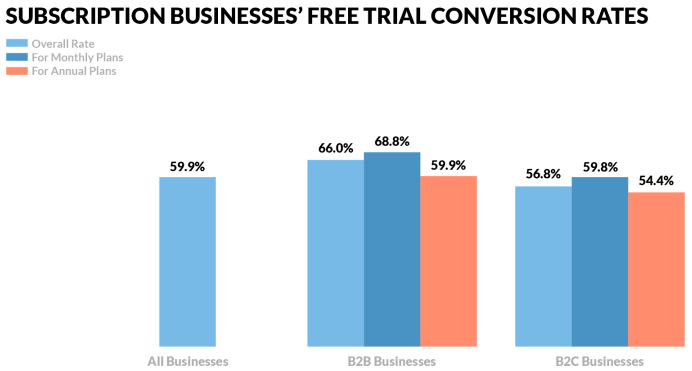
- **Remind users to upgrade as often as possible.** Remember that your users are actual people, and you can't expect them to notice subtle requests to upgrade their accounts. Make sure to remind customers that their free account has restrictions and that they may upgrade to a premium account with additional features whenever possible.

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Free customers who are on the fence about upgrading to a premium account might be persuaded by using these approaches. Finally, depending on their activity and email segmentation data, you may send a more targeted upgrade message to consumers who are most impacted by the free plan constraints you've placed.

Trial conversion rate

Trial Conversion Rate is a metric that indicates the percentage of customers who have upgraded to a paid account after first signing up for a free trial. It compares the number of users who upgraded from a free trial to the total number of users who signed up for the free trial.



Why is a free trial conversion rate important?

- Customers' willingness to pay is an important indicator in determining whether your product provides true value or not, and that's what this metric measures.

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- With a higher trial-to-paid conversion rate, you'll notice faster growth and lower client acquisition expenses.

- PQLs — Product Qualified Leads — are another reason why the free trial conversion rate is crucial. PQLs are essentially all of your current free trial customers, and converting them is significantly simpler than doing so with Marketing Qualified Leads (MQLs). They are more likely to purchase from you since they have had more personal interaction with your products than someone who hasn't used the free trial.

  However, if you want to convert them into clients, you'll need a product-focused sales strategy. If your free trial to paid conversion rate is low, you need to optimize your product-driven sales and user engagement strategy.

- The trial conversion rate also aids in the identification of product use cases and user personas. Using various user demographics, such as industry or area, may assist you in categorizing your trial conversion numbers. As a result, you'll be able to observe which free users are most likely to convert to paying clients, as well as the particular reasons they do so.

How to calculate Trial Conversion Rate?

To determine the rate of free trial users who become paying customers, divide the number of trial users who converted to paying customers during a particular time period by the total number of trial users that signed up during the same time period. To convert it to a percentage, multiply the figure by 100.

If just 200 of the 1,500 customers who started with the trial version of your product converted during a given month, your trial conversion rate from free to paid will be 13.3% for that

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month.

Trial Conversion Rate = (200 / 1500) x 100 = 13.3%.

$$\text{Trial Conversion Rate} = \frac{\text{Subscription trials started in month Z that convert to paying customers}}{\text{Subscription trials started in month Z}}$$

What is a good Trial Conversion Rate benchmark?

A conversion rate of 25% is considered to be a reasonable standard for opt-in (doesn't require payment information) free trials. A decent benchmark for the free trial conversion rate is 60%, and this applies to opt-out (requires payment information) free trials.

How to improve your free trial-to-paid conversion rate?

By utilizing Product-Led Growth (PLG) tactics, you can increase the proportion of customers who sign up for your premium services after taking advantage of your free trial. This technique depends on your product to boost annual income.

At the end of the day, it all comes down to providing clients with unique experiences and promoting a free trial to persuade them that your company is the best fit for their needs.

This, however, is not as straightforward as it seems. If, for

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instance, your conversion rate is 16%, you are losing revenue from 84% of potential clients. This low conversion rate can be attributed to a variety of factors, including high sign-up flow friction — despite the product's simplicity —, an overwhelming dashboard, a long and uninteresting product tour, a lack of a clear activation point, and a lack of a clear user journey that leads to conversion.

Here are some potential solutions to these problems:

- **Personal greetings and the start of the user onboarding process**
  You should have a personalized welcome screen to ensure that your product meets the customer's expectations from the moment they sign up.

  That does not just involve addressing the individual by name and expressing gratitude. It should be a place where you can classify users and gather data to help steer the rest of the onboarding process.



- **Offer interactive tutorials or walkthroughs**
  Your clients will have an easier time utilizing your

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product for the first time if you incorporate an interactive lesson into it. In contrast to a product tour, it focuses on the user's experience rather than providing a full overview of its features.

It is frequently displayed as an overlay on the user interface to assist customers in getting to their activation point and explain how they may begin using your product. If you don't know what defines activation for each individual user group, the onboarding process will be ineffective.

If a user, for instance, downloaded your software to edit a YouTube video, and instead of offering an interactive tutorial on how to edit long-form videos, you offered them a walkthrough on how to edit short-form portrait videos, that won't serve as a proper activation point for such a user.

- **Utilize checklists**
  It is crucial to make certain that your clients have completed the onboarding process, and you can encourage them to do so by presenting them with a checklist that is automatically checked off as they move through the process.

- **In-app surveys can be a useful tool.**
  Surveys are important because they provide you with the information you need to improve the user experience and increase trial-to-paid conversion rates. Customers will be able to make a decision about whether to buy your product or not, if you follow up with them before the trial period ends.

  Consider asking about the most common reasons respondents say they haven't upgraded, such as the cost, the need for management approval, or the fact

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that they're still evaluating the product.

Retention rate

The proportion of existing customers who stay after a particular amount of time is referred to as the retention rate. It's an important indicator for SaaS and subscription-based service providers to monitor.

Why is Retention Rate Important?

This has been thoroughly discussed under Why is customer retention rate important?

How to Calculate Retention Rate?

This has been thoroughly discussed under How to calculate customer retention rate.

How to Improve Retention Rate?

This has been thoroughly discussed under How to improve customer retention rate.

LTV: CAC ratio

This has been thoroughly discussed under Lifetime Value: Customer Acquisition Cost Ratio.

Payback Period

This has been thoroughly discussed under the Payback Period.

Why should you measure the Payback Period?

It is important to calculate the Payback Period since doing so helps you to create an accurate prediction about the amount of time it will take to recoup the money spent on the acquisition of each new customer based on the monthly recurring revenue (MRR).

How to Calculate Payback Period?

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the payback period.

$$\text{Payback Period} = \frac{\text{CAC}}{\text{ARPA x gross margin \%}}$$

Net Promoter Score
This has been thoroughly discussed under Net Promoter Score.

Average Order Value (AOV)
An average order value is a metric that may be used to monitor the average amount of money that a customer spends when they place an order online.

Lead velocity rate (LVR)
Lead velocity rate is a metric that may be used to evaluate how well your business is able to acquire new customers.

Annual recurring revenue (ARR)
While the Monthly Recurring Revenue (MRR) statistic is equivalent to it in some ways, the Annual Recurring Revenue indicator gives a more complete perspective of revenue over the upcoming year. As a result, it is a more accurate predictor of how much revenue will be earned over the succeeding twelve months.

Customer Lifetime Value (LTV)
This has been thoroughly discussed under Customer Lifetime

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Value.

Average Revenue per Customer (ARPC)

Average Revenue Per Customer refers to the average amount of money a company generates from each of its customers.

Why should you measure ARPC?

ARPC is an important indicator that offers insight into the performance of a business or company.

It offers a snapshot of the worth of your subscribers; therefore, when it indicates an increase, it may serve as a sign that your business as a whole is expanding, given that it demonstrates growth. It is crucial to keep in mind that a relatively small number of huge clients may have a significant influence on the average; hence, it is also helpful to look at the range of money produced by each individual customer. You can do so via customer segmentation.

How to Calculate ARPC?

To calculate ARPC, divide total revenue for a month by the number of customers that contributed to that monthly revenue.

Say a company has a monthly revenue of $2,000,000 and 120,000 subscribers contributed to that total. Then, the formula for calculating the company's ARPC would be:

ARPC = $2,000,000 / 120,000 = $16.6

That would mean that the average revenue per customer is $16.6.

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$$ARPC = \frac{\text{Total revenue for the month}}{\text{Subscribers contributing to that revenue}}$$

Quick Ratio

This has been thoroughly discussed under SaaS Quick Ratio.

Why should you measure the Quick Ratio?

- The quick ratio, an easy-to-use indicator, may be used to analyze your company's liquidity. This information is critical for both lenders since it helps them to determine whether a company is creditworthy and will be able to make timely debt payments or not.

- Because it solely considers short-term assets, the quick ratio is a strict approach to measuring your company's liquidity. It does not factor in assets such as inventories or prepaid expenditures that will not generate cash for some time and may lose value. A company that is experiencing low sales and, consequently, a buildup of inventory may, for instance, have a high current ratio, indicating that it is a liquid company even while it is facing a cash shortfall as a consequence of the low sales. The quick ratio ensures that information regarding an entity's liquidity is not distorted in any manner.

- Since investors want their money on time, a quick ratio

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close to the optimum value of 1:1 suggests that the firm can pay dividends on time, which is a big advantage to your company because this is an important factor that prospective investors consider when deciding whether to invest in a firm or not.

How to Calculate Quick Ratio?

This has been thoroughly discussed under How to calculate SaaS quick ratio.

Gross Margin Percentage

Gross margin percentage is the proportion of revenue that is kept by a firm after taking into account all of the direct expenses that are connected with the production of a product or the provision of a service.

How to Calculate Gross Margin Percentage?

To calculate the gross margin percentage, subtract the expenses associated with the production of a product or delivery of a service from the subscription revenue generated, then divide by the subscription revenue. After that, multiply by 100. This formula is as follows:

GMP = (Total Revenue From Subscription - Expenses) / Total Revenue x 100

If a company's cost is $100,000 and the revenue generated from its activities is $200,000. Then, to find its gross margin percentage, the formula would be:

Gross Margin Percentage = ($200,000 - $100,000) / $200,000 x 100 = 50%.

Customer Acquisition Cost (CAC)

This has been thoroughly discussed under Customer Acquisition Cost.

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Monthly Recurring Revenue (MRR)
This has been thoroughly discussed under Monthly Recurring Revenue.

Monthly Recurring Revenue (MRR) Growth
https://recurly.com/content/key-metrics-for-subscription-commerce/
The MRR Growth is calculated by comparing the current MRR to that of a preceding time period.

MRR Churn
The amount of monthly recurring revenue that is lost as a result of customers canceling their subscriptions are referred to as "Churn MRR". To read more on churn MRR, go to Net MRR Churn Rate.

Cohort Analysis
A cohort analysis is an evaluation of groups of subscribers over time to understand how their behavior develops. When it comes to subscriber retention, a cohort analysis would look at the retention rate as well as the churn rate over time for each group of paying subscribers that signed up in a specific month.

Subscriber Return on Investment (ROI)
The Subscription Return on Investment statistic calculates the amount of profit generated by each individual subscriber.

Subscriber Churn
The total number of subscribers whose memberships have lapsed within a certain time frame is referred to as "subscriber churn", and it can be measured in terms of percentage. It is common practice to classify these subscribers into one of two categories based on the manner in which their subscriptions came to an end: voluntarily or involuntarily.

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Why should you measure subscriber churn?

When you measure the churn of your subscribers, you may find out why they left, whether it was deliberately or unintentionally. This, in turn, gives you insight into where you can concentrate your efforts to retain your subscribers.

How to Calculate Subscriber Churn?

Say a new company had 10,000 subscribers at the beginning of a month and only 6,000 at the end. Their subscriber churn can be calculated thus:

Subscriber Churn = (6,000 / 10,000) x 100 = 60%.

While this calculation is hypothetical, a subscriber churn rate of this size in a real company should be properly investigated.

$$\text{Subscriber Churn Rate} = \frac{\text{Subscribers who have churned in the month}}{\text{Subscribers at the beginning of the month}} \times 100$$

4. OPEN-SOURCE BUSINESS MODEL METRICS & KPIS

Activity

The overall amount of activity that a community has, in

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addition to how that activity has changed over the course of time, is an important statistic that is beneficial for any open-source community to have.

Activity may be used to keep track of a wide range of different types of activity and provides a broad indication of how active the community is. For instance, the number of commits offers a preliminary glimpse into the extent of the amount of development effort that has been taking place. The number of tickets submitted may provide some insight into the number of issues that are reported or the number of new features that are made available. By examining the number of messages on mailing lists or posts in forums, one is able to gain an idea of the level of discussion that is taking place in the public sphere at any given time.

Size

The size of a community may be gauged by the number of individuals who participate in its activities. The number of participants, on the other hand, might vary significantly depending on the nature of their involvement in the community's tasks. The Author field in a git repository, for example, may tell you how many developers are consistently submitting new code for inclusion. And by looking at who has contributed to tickets, you can figure out how many individuals are attempting to address them.

Counting the number of people who participated in a significant portion of an activity is a standard approach to keeping tabs on its progress. For example, the majority of a project's code contributions often come from a tiny subset of the project's overall user base. The core group may be better understood if you identify that percentage.

Performance

You may also analyze the performance of both individuals in the community and the performance of the community's

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processes. For example, the time it takes to resolve or close tickets demonstrate how effectively a project adapts to new information that requires action, such as correcting a reported issue or building a requested new feature. The amount of time spent in code review, starting when a change to the code is submitted and ending when it is authorized, indicates how much time is needed to bring a proposed change up to the quality standards expected by the community.

Demographics
Communities continually evolve as a result of the entry and outflow of people. The age of a community, as determined by the length of time that has elapsed since its members first joined it, is subject to change based on the manner in which people join and leave it in its lifetime.

Diversity
The presence of different people greatly aids communities' capacity to rebound rapidly from setbacks. The larger the variety of individuals and organizations in a community, the better its capacity to withstand difficult circumstances. For example, if a corporation decides to quit a free and open-source software community, the issues that the departure may raise are far less likely to be significant if the company's employees did just 10% of the work rather than 70%.

Referral Traffic
Visitors to your website who come from other websites are known as "referral traffic". You can think of referral traffic as the visitors who come to your site from other sources, rather than through a Google search.

Using the Referral Traffic indicator, your team will be able to measure how much of their traffic originates from referrals and discover the source of the majority of these referrals.

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How to calculate Referral traffic?

Referral traffic is determined by dividing the amount of traffic from other websites, by the total amount of all your traffic. To make it a percentage, multiply by 100.

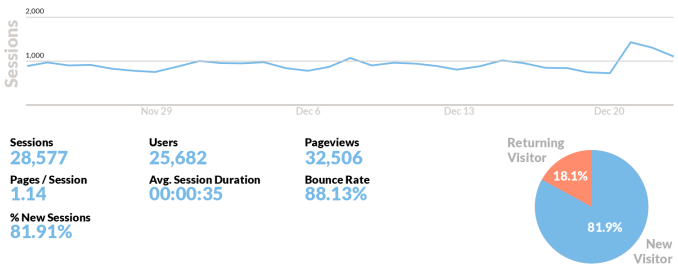
(Traffic from other websites / Total traffic) x 100

Total unique visitors

Total Unique Visitors refers to the total number of different people who went to a website over the course of a certain period of time. For instance, a single user who accesses the site many times during the course of the day is still only counted as a single unique visitor. This is because each visit to the site is associated with a certain IP address or cookie.

Unique visitors may be broken down into a few different groups, including those that come to the site on a daily, weekly, monthly, or annual basis.

AUDIENCE OVERVIEW



Why Is It Important to Measure Unique Visitors?

This has been explained under Why Is It Important to Measure Unique Visitors?

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How to Measure Unique Visitors?

This has been thoroughly explained under How to measure unique visitors.

Total page views

This KPI measures how many times a certain page on your website has been viewed or reloaded. This may be a good indicator of how well your material is received by site visitors. A comparison to other pages on your website, for example, might help you determine whether your blog posts are being viewed or not.

How to calculate the Number of Visitor Page Views?

Page views are a helpful metric, but they should be used in combination with other metrics since they are easily manipulated. When someone visits a certain page, page views are recorded. A new page refresh constitutes a new page view. It makes no difference how many times you reload that page; each one counts as an additional page view. And all this can be recorded and calculated by analytics platforms like Google Analytics, Yandex.Metrica, Heap Analytics, etc.

5. FREEMIUM BUSINESS MODEL METRICS & KPIS

Customer Acquisition Cost (CAC)

This has been extensively discussed under Customer Acquisition Cost.

Customer churn

This has been extensively discussed under Customer Churn.

Conversion Rate

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This has been extensively discussed under Customer Conversion Rate.

Active Users
This has been extensively discussed under Active Users.

Daily Active Users
This has been extensively discussed under Daily Active Users.

Monthly Active Users
This has been extensively discussed under Monthly Active Users.

6. PEER-TO-PEER BUSINESS MODEL METRICS & KPIS

Cost Per Invoice
The accounts payable department should definitely measure this KPI since it is one of the most important ones. In essence, it is a measurement of the typical and the overall average cost of processing an invoice for a company. It is important to keep in mind that this KPI might vary substantially across businesses since, in certain circumstances, many diverse elements are taken into consideration when assessing this KPI's value.

If you want to know how much each client's invoice costs, the key performance indicators you use must precisely reflect all of the components. For example, the labor and operational expenses include, but are not limited to, the following: personnel expenses, administration costs, information technology, printing and mailing, costs associated with

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mistakes and late payments, costs associated with missed discounts from suppliers, and any necessary audits.

Invoice Processing Times

Basic key performance indicators like cost per invoice may be categorized more accurately with the use of supplementary KPIs like invoice processing times. This is because they provide information on the efficiency of your purchase-to-pay operation or the handling of incoming invoices in your organization. In this context, a number of different cycle lengths could be considered:

- **The amount of time it takes for a billing cycle to be completed:** In general, how long does it take for an operation to complete a full cycle, from the receipt of an invoice to the verification and release of payment? Rather than merely focusing on the individual technological steps, this exercise should also evaluate the complete peer-to-peer (P2P) process. Your accounts payable department's efficiency and attention may be gauged by the amount of time it takes for a payment to be processed.

- The amount of time it takes to accomplish each step of the process. Single invoice processing times vary greatly. From the time an invoice is received to when it is issued and paid, there are a number of ways you can measure how long it takes. Even a cursory look at the technological effectiveness of your invoice processing may provide you with useful data. Through this, you'll understand how the digitalization of key processes impacts the speed at which invoices are processed.

Average Payment Period (AVP)

One further key performance indicator (KPI) for overseeing the peer-to-peer (P2P) process is the average payment period. Following receipt of an invoice, this is the average

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time it takes for a business to pay that vendor.

It is essential for the cash flow (cash conversion cycle) of a business to have an average payment term that is longer than the amount of time it takes for accounts receivable to complete its cycle. When the purchase-to-pay process is digitized, you have the option to possibly shorten the average amount of time it takes for payments to be processed. To do this, dynamically modify your supplier relationships in accordance with the payment terms of your suppliers as required.

How to calculate the Average Payment Period?

Calculate the average payment period by dividing the total credit purchases by the number of days in consideration, usually 360 days, then divide the average accounts payable (first, sum the company's initial and ending accounts payable balances, then divide by 2) by your result.

$$\text{Average Payment Period Ratio} = \frac{\text{Average Accounts Payable}}{\text{Total Credit Purchases / Days}}$$

First-Time Match Rate

If the purchase-to-pay process is designed to be as easy as possible, from the moment an order and invoice are received until they are posted, the payment cycle should only need a few technical actions. The proportion of first-time matches created by your company is a good indicator of how

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effectively this technique is working.

To figure out your company's FTMR, divide the total number of invoices (purchase orders) handled by the accounts payable department in a given time period by the percentage of invoices that matched the buy orders.

When the percentage value of a customer's invoice is higher, the P2P process is able to handle it in a more efficient manner. A lack of communication between the purchase order and the purchase order processing may be the reason for a low first-match rate. There are a number of potential reasons for this, including an excessive number of manual phases in the process of going from buying to paying (purchase-to-pay), low-quality digitalization, and poor internal communication between finance and procurement.

On-Time Payment Rate

The on-time payment rate is a metric that assesses if your vendors and suppliers are paid on time. When your business's accounts payable department can better manage invoice payment deadlines so that they are paid at the ideal time, your firm will profit from optimal cash flow while also maintaining amicable long-term relationships with its suppliers.

Contactless Invoice Processing Rate

Any transaction that may be completed without the participation of a human at any stage throughout the purchase-to-payment process is referred to as "contactless processing".

Contactless processing may seem to be akin to automated invoice processing, but they are not the same. The number of transactions completed successfully through the P2P process without the need for additional work, such as the labor required to match an invoice with a purchase order, contract,

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or master data, is what is being measured here. Accounting procedures that do not need human data entry are included in contactless invoice processing.

The percentage of contactless invoices that are processed can be regarded as a key performance indicator (KPI) for determining how successfully the procurement department of an organization is adapting to the digital transition.

Automatically Processed Invoices Rate
You are able to determine the percentage of bills that are fully automated by using this key performance indicator. This key performance indicator (KPI) may act as a measure of how far you and your suppliers have come toward implementing electronic billing. As a result, the "Automatically Processed Invoices Rate" is the key performance indicator (KPI) that provides the clearest picture of how far your firm has progressed in terms of digitizing procurement.

Supplier Rate Per 1,000 Invoices
This key performance indicator gives you an in-depth look at the components that make up your supply chain. A master database that contains just a select few service providers is one of the greatest indicators of a process that is well-structured from purchase to payment. This is due to the fact that a smaller pool of suppliers gives the impression that procurement is transparent in the contract negotiations it engages in, has minimal administrative costs, and has a comprehensive grasp of all of the products made by its suppliers.

It is of the utmost importance to take the necessary steps to ensure that the information relating to the suppliers is organized in such a way that it can be accessed at the “line item level". This information should be arranged in such a way that it can be accessed at any point in the purchasing process. It is very necessary to have a system that is entirely

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automated from the point of purchase to the point of payment, in which all relevant data is gathered in a single location and can be reviewed there.

Duplicate Payments Rate

This key performance indicator (KPI) serves as a gauge to determine whether your financial reporting is adequate or not.

It's possible that your accounting department or your supplier made a number of apparently small mistakes, which led to multiple payments. In the direst of circumstances, it is even possible that fraud is to blame. It makes no difference why duplicate payments occur; the fact remains that they are not only inconvenient, but they also have the potential to result in higher totals for lower amounts, as well as to use costly resources and annoy coworkers in the accounting department.

The number of payments that are considered to be duplicates may be cut down greatly with the use of digitalization, which makes this possibility much more attainable. It is possible to include safeguards in the digital purchase-to-pay process in order to protect the accounts payable department from making honest errors or falling victim to unscrupulous tampering.

Realized Cash Discount Rate

This metric is a gauge of how much you've been able to take advantage of the full scope of these cost reductions as a direct consequence of the discount negotiating efforts that your procurement department has made. This performance statistic is strongly connected to on-time payment delivery.

A recent peer-to-peer benchmark study indicated that just

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10% of all enterprises are able to effectively convert at least 80% of all reduced prices into profit. It is very necessary that you automate your processes in order to achieve seamless and instantaneous order matching with respect to invoices and receipts.

7. AFFILIATE MARKETING BUSINESS MODEL METRICS

Clicks

Clicks are the most important key performance indicator (KPI) in affiliate marketing. This number represents the amount of exposure that your product receives from various promotional channels. With the help of this indicator, you'll be able to evaluate the performance of your affiliate marketing in relation to the total number of sales you've generated. If high clicks only create a small portion of the revenue, there may be a problem. You can then find out what the problem is in order to make any required improvements to your approach.

The second most important indicator is the total number of people who actually make the switch. To put it another way, how many individuals really end up purchasing something or signing up for the service after clicking on the link? That being said, both are quite important. It's possible that the relevance will change depending on where a brand is in its lifespan. A website like Amazon, for instance, would be more interested in the actual number of consumers making purchases than in the number of potential customers (clicks).

Number of new affiliate partners

Keeping a record of the number of new affiliates who have signed up for your affiliate program can assist you in determining how popular the program is. In a similar vein, you want to be on the lookout for any potential affiliates who are

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already sending referral traffic and sales to your website, but who are not officially associated with your company as an affiliate.

It's possible that content authors and media that are sending a significant amount of traffic to your website have previously written about your products. So, maintaining a close eye on referral traffic and unusual UTM parameters (tiny snippets of code that may be added to links in order to trace the origins of traffic) values might help you identify inexplicable purchases. This may provide access to a wealth of opportunities for affiliate partnerships and connections.

This metric may be used to get an idea of how popular your program is among different types of content creators and publishers. Maintaining the demand for your affiliate program is crucial to you since, if you don't, your growth may eventually come to a standstill.

This key performance indicator for affiliate marketing will be impacted most significantly by two primary factors: how you are advertising your affiliate program and your product.

If you are marketing your affiliate network effectively and selling a product that improves people's lives, you should anticipate an increase in this KPI.

Customer lifetime value (LTV)
This has been extensively discussed under Customer Lifetime Value.

Return on ad spend (ROAS)
Return on advertising spend, also known as ROAS, is a metric that is used in marketing to evaluate the amount of profit that is produced for each dollar invested in advertising campaigns. It determines how successful a digital advertising campaign has been.

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It is essentially a measure of the ROI of ad dollars spent on digital advertising.

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Why is ROAS important?

- Companies are able to assess the performance of individual campaigns by using ROAS. By analyzing each campaign on its own, businesses may determine which types of advertising are the most successful for their company. Then, in order to acquire the greatest results possible, they might increase the size of those advertisements. You can run several ads in order to determine the ad campaign with the optimum ROAS. And by scaling advertising campaigns and ad packages that have a high return on investment, you can achieve a higher level of financial success (ROI).

- After you have a better idea of how each of your existing advertising methods is doing, you will be able to optimize the expenses of your campaign. There is no guarantee that adding a lot of money to the advertising budget will result in more cash in the bank. However, if you spend wisely on the advertising that has been most effective for you, you may be able to significantly boost both sales and profits. ROAS calculations may provide you with information that might help you decide if the prices of your advertising packages and campaigns are reasonable. If it isn't, you should cut your spending in order to protect your organization from incurring financial losses.

- A solid marketing plan should always begin with factual research. ROAS is like a right hand to the digital advertising industry. Utilizing it, you will be able to evaluate the effect that a certain campaign had on your business. You can use this metric as a guide to help you make educated decisions regarding the next round of marketing efforts you will be putting forward. When you find out which efforts work better than the others, you can then drive your marketing strategies in that direction to maximize your future profit potential

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while simultaneously optimizing your present revenue.

How do you calculate the return on ad spend?

To calculate ROAS, divide revenue from ads by the cost of those ads.

ROAS = Revenue from ads / Cost of ads

Your ROAS would be 3 if, for instance, you invested $100,000 in your advertising campaign and generated $300,000 from those adverts.



What is a good ROAS?

A good ROAS is one that not only increases profits, but also increases the market share held by the company. According to HubSpot, an ideal return on advertising investment may range from $4 to $11 for every dollar that is put into it, depending on the medium.

How to Increase ROAS?

In order to boost your return on advertising spend (ROAS), you can consider reviewing your advertising strategies and reducing your overall advertising budget. If you want the best results, you may need to reassess your approach to negative

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keywords or work on improving your landing pages.

ROAS is an essential indication that has to be monitored closely, but it shouldn't be examined by itself alone. It is essential to look at additional data and KPIs if you want to get a comprehensive perspective of your return on investment.

Cost per click and cost per sale

Cost-per-click gives you a better understanding of the amount of money you are spending as well as the amount of money you are receiving in return. It provides you with information on how much money you have spent on each click on your advertisement.

It is determined by taking the entire amount of money you have spent and dividing it by the total number of clicks.

You can use CPC to evaluate two different aspects of your ad campaign:

- It offers some insight into the effectiveness of the marketing efforts that you have been making. If your cost per click (CPC) is lower, it indicates that the placement and targeting of your advertisements are capturing the interest of prospective clients and resulting in clicks.
- The cost per click (CPC) allows you to see just how much you are spending on marketing. You leave ad campaigns that have a low CPC to run for a long time. If, on the other hand, your CPC ends up being unacceptably high, you should stop the advertising campaign immediately.

While the cost per click measures how much it costs to get a click on your advertisement, it doesn’t factor in scenarios where those clicks don’t result in sales. That's what cost per sale measures. Because the number of clicks rarely equals

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the number of sales, the cost of the two can vary drastically.

Calculating the cost of each sale in affiliate marketing and comparing that cost to the costs associated with other marketing platforms is the best way to decide whether your efforts in affiliate marketing are worth your time or not.

Click Traffic Rate

Your click-through rate is the amount of traffic that is driven to your website as a direct consequence of your participation in affiliate marketing over a certain period of time.

The click-through rate of your affiliate marketing program is a key performance indicator (KPI) that is essential to your success in the affiliate marketing business.

By monitoring this KPI, you can assess which websites are successful in attracting a large number of visitors and which are not. This is a great way to determine which aspects of your program will provide the most financial returns.

Incremental revenue

The Incremental Revenue metric gives you a clear picture of how much more money you bring in thanks to your affiliate program.

When all other variables are equal, this method reveals the true efficacy of advertising by contrasting the amount of revenue generated by a company when it advertises its products and services with the amount of revenue generated when it does not advertise.

Why is it important?

Incremental Revenue will assist you in determining whether your marketing efforts are profitable or not, which will provide you with essential information on whether to discontinue your affiliate program or not.

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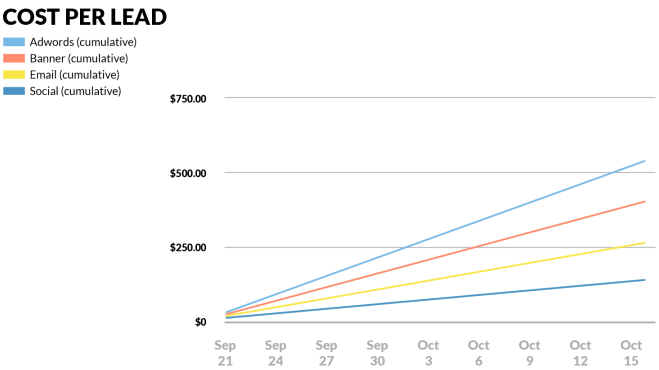
How to Measure Incremental Revenue?

To calculate the incremental revenue, you must first add your entire revenue for a certain time period where you haven't launched your affiliate network. After you have launched the affiliate campaign, you should compute your overall revenue, after which you should deduct the money you generated before launching the affiliate campaign.

Incremental Revenue = Revenue Before Marketing - Revenue After Marketing

Cost per sale Or Cost per lead

The amount of money that is spent in order to produce a new lead for the sales team of a company from an ongoing marketing campaign is referred to as the cost per lead, or CPL for short. This figure can be found by dividing the total amount of money spent on the marketing campaign by the number of leads produced.



Why is Cost Per Lead important?

The cost per lead may be used by sales and marketing teams to define sales objectives, evaluate return on investment

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(ROI), and plan advertising expenditures. The amount of money needed to get on board a single new client is among the most important factors to consider when developing a lead generation strategy. Monitoring metrics like cost per lead and conversion rate in real-time enables businesses to make more informed decisions.

How to calculate Cost Per Lead?

The method for calculating the cost per lead is customer acquisition expenditures per month divided by the number of leads generated each month.



How To Reduce Your Cost Per Lead?

- One of the ways of reducing the cost per lead is to reduce the amount that you are now offering as a bid. You will cut down on the amount of time you need to spend on your campaign if you maintain the same bid over and over again. On the other hand, because of the decision you've made, it's possible that your revenue may decrease.

  Experimentation is required in order to be successful in growth marketing, since it is only through trial and error that one can understand which methods and

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techniques are the most effective. You may discover, via a process of trial and error, that there is an ideal offer for your campaign. If you identify this optimal bid, you will be able to reduce the amount that you bid while still achieving results that are to your satisfaction.

- You might also seek ways to create leads organically that are more successful. Search Engine Optimization (also known as SEO), for instance, is one of the least expensive ways to generate leads. If you put in the effort to develop a high-ranking corporate blog, it has the potential to be a valuable source of revenue without requiring a significant financial outlay on your part.

  In a similar vein, the cost of generating a lead via social media is still a very small fraction of the cost of generating a lead through display advertising. To put it another way, if your company already has a big presence on social media, it could be used to your advantage.

- You should also be firm in your assessment of the facts that you have gathered from your internal investigation. It is likely that when you evaluate your performance by device, you will discover that you are spending a significant amount of money on mobile bids that do not give results that are up to par with what you had hoped for. This could lead you to reduce those CPLs while turning more of your emphasis to generating revenue through desktop bidding.

Affiliate Contribution margin

Customers that stay loyal to a brand throughout the course of a company's existence are the ones most responsible for the company's ongoing success. This is because committed consumers tend to make repeat purchases, increasing a

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brand's customer lifetime value (CLV). In the context of affiliate marketing, where the objective is to maximize revenue, the goal is to convert one-time sales affiliates into recurring purchase affiliates. While this may be profitable for B2C enterprises, it is more useful for B2B organizations. This is because the average selling price of a product on the B2B side is often greater than it is on the consumer side.

The Affiliate Contribution Margin is a statistic that evaluates the extra revenue that is made from affiliate sales after the cost of acquiring that affiliate has been subtracted. Because of this cost, it is essential to turn one-time affiliate marketers into recurring ones in order to maximize profit and cover the cost of acquisition.

How to calculate the Affiliate Contribution margin?

To determine how much of an affiliate contribution margin you have, take the average sales income from an affiliate and subtract the average cost of recruiting an affiliate from that number.



Active Affiliates Rate

With the aid of this key performance indicator, you will be able to assess the overall health of your affiliate network.

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Depending on the nature of your business, active affiliates may refer to individuals who generate money, clicks, or leads for you.

How to calculate Active Affiliates Rate?

Simply divide the total number of active affiliates by the number of affiliates, then multiply by 100 to determine your active affiliate rate. Say you have 240 affiliates and only 60 are active. Here is how you'll find your active affiliate rate:

(60 / 240) x 100 = 25%

If the percentage is more than 10%, then you may consider your search for the ideal affiliates and traffic for your program to have been a success. It is essential that inactive affiliates in your network be revived on a regular basis by means of activation campaigns if you want to see a rise in the proportion of active affiliates in your network.

Reversed sales rate

The percentage of customers who request a refund for products that they purchased from your website and then return those goods to you in order to get their money back after you have paid your affiliates is referred to as the "reversed sales rate".

Keeping an eye on this key performance indicator (KPI) might provide you with important information on the quality of the traffic that is being directed in your direction by your affiliate partners.

Return on Investment (ROI)

Return on investment (ROI) is a performance statistic that may be used to analyze the efficiency or profitability of investments. A direct appraisal of the value of the asset in contrast to the cost of the investment is what constitutes a return on investment.

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How to Calculate ROI?

To calculate your ROI, subtract the cost of your investment from the current value of the investment, then divide your answer by the cost of the investment.

In essence:

CVOI - COI / COI = ROI

CVOI = Current Value of Investment
COI = Cost of Investment

Affiliate engagement

Affiliate engagement is a statistic that evaluates the overall number of clicks generated by affiliates, the number of referrals produced by affiliates, and the total number of visits that originate from affiliate links.

In order to be successful in the field of affiliate marketing, it is not enough to just increase the number of affiliates you have working for you. It is critical to the achievement of your goals in the marketing of your goods and services that your affiliates be enthusiastic and interested in promoting your product.

In order to encourage participation from each of your affiliates, it is essential to build a solid connection with each of those affiliates. Keeping your affiliates informed and engaged by keeping the lines of communication open with them will encourage them to keep promoting the products that you offer.

How to Measure Affiliate Engagement?

There are three ways of measuring affiliate engagement, and these include:

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- **Consider the number of affiliate referrals.**
  This can be determined by the number of referral links your affiliates put up on their websites. While you shouldn't be expecting them to fill the entire length and breadth of their website with your links, you should be expecting a few, or at least some efforts at referring people to your website and products.
- **Consider the number of visits from their affiliate links.**
  The number of links from your affiliates' uniquely generated links should tell you how engaged they are. Based on the average number of visits from all your affiliates, you determine an average to use as a benchmark for affiliate engagement. However, a few affiliates with popular websites and many visitors may skew your average.

- **Consider the number of affiliate conversions.**
  This tells you the quality of visits from your affiliates' websites. It not only shows how effective your landing pages are, but it also shows how relevant your offerings are to the content of your affiliates. If your offers are not all that related to the content of an affiliate, then you shouldn't expect much conversion from visitors from their links. This way of measuring affiliate engagement can show you places where improvements to your product or landing pages can be made.

How to Improve Affiliate Engagement?

- You need to make sure that you interact with the affiliates you work with if you want them to be more engaged in the work they are doing for you. You might accomplish this objective by participating in live chat, sending customized emails, making phone calls,

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utilizing social media, or any other means that are relevant to you. One of the most important things you can do for your company is to work toward making your affiliates feel more like part of the team rather than simply a source of more revenue for you.

- Affiliates are going to have a lot of questions, complaints, and ideas on how the program may be improved, and they are going to share all of these things in their inquiries. People who aren't sure how to be a successful affiliate often seek advice when they are in this position. At all times, a response should be sent to your affiliates. Pay attention to what they have to say. If you are able to, assist them. If they are successful, so will you be. The more successful they are, the more successful you will be.

  You are free to initiate the discussion without waiting for them to make contact with you first. Inquire after their well-being and see if there is anything you can do to be of assistance to them. Let them know that you are prepared to assist them whenever they may want your assistance.

- You may want to think about doing something like sending out a weekly email to your affiliates with a few suggestions on how to boost sales. Provide affiliates with education on how to sell a product in a way that is more natural on their websites. Make a detailed tutorial regarding the process of constructing affiliate links to help them out.

- It could be worth the effort to provide a bonus to your affiliates who bring in the greatest results, in order to encourage those affiliates to continue their high level of productivity and bring in even more business. You may also increase the number of clients as well as

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your income when you organize a competition for your affiliates.

Conversion rate
This has been explained under Conversion rate.

While clicks and revenue are vital, you should also focus on conversion rate optimization. While attracting visitors is important, converting those visitors into paying customers is even more important.

There are several things that can be done to increase conversion rates, including upgrading the design of landing pages, the checkout experience, price, and segmentation, among other things. When a consumer sees something they want to buy, all of these factors come into play.

Affiliate marketers and brands that understand the importance of optimizing their traffic funnel in order to maximize the amount of work that they perform are the most effective.

Average order value (AOV)
Average Order Value is a metric that may be used to monitor the average amount of money that a customer spends when they place an order online.

Why is Average order value important?
There is a strong correlation between an increase in the average order value and a rise in the profits made by online retailers. When a business is able to sell more things with each online purchase, it has the potential to increase its overall profit. As a result of this, eCommerce websites that are successful in increasing their AOV enjoy higher levels of profitability.

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How to Calculate the Average Order Value?

Simply dividing the entire amount of revenue for a certain time period by the total number of orders that were placed during that time period is all that is required to calculate the average order value.

$$\text{Average Order Value} = \frac{\text{Revenue}}{\text{No. of Orders}}$$

How to Improve Average Order Value

- **Increase your prices.**
  A simple strategy for an online shop to increase the average order value is to increase the prices of the things they sell. According to the hypothesis, if you raise the prices of your products, you should see a rise in both your income and your average order value. There is a possibility, however, that a rise in prices will dissuade customers from making purchases, which will result in a fall in sales. Because of this, it is very necessary to conduct an exhaustive assessment of the strategy's viability prior to putting it into action.

- **Upselling and cross-selling.**
  When a vendor makes an effort to persuade consumers to purchase more costly items, add additional features or upgrades to their existing purchases, or all of these things, this is known as an

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upsell. This may be done in a few different ways. The purpose of this practice is to increase the total amount of money that may be generated from each individual transaction.

Instead of asking customers to buy more costly items or upgrade their current purchase, you can suggest products that are complementary to, or related to, what they have in their carts. If the product they bought needs another product to work properly, you can increase your average order value by cross-selling it to them.

- **Offering free delivery.**
  You might consider offering free delivery after a certain purchase amount as an alternative to offering discounts on your wares. You can, for instance, require customers to spend more than $75 to qualify for free delivery.

- **Discount**
  You may provide customers with a discount when they spend a specific amount of money in your online shop. For instance, a client may get a 10% discount on their purchase if they place an order that is at least $75 in value.

Traffic quality

This metric measures how profitable the traffic you are getting from your affiliates is. High-quality traffic means the people they are sending like what's on your website and are ready to make purchases.

People who support a publisher and are interested in a certain issue are more likely to interact with and convert on the site. Furthermore, as they go down the funnel, customers are more inclined to acquire a range of related products and

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services.

Cohort analysis may assist you in better understanding how your viewers feel about what you're presenting. You're on the right track if you're witnessing greater email open rates and high retention rates on your website.

Growth

Growth is an indicator that measures your progress over certain periods of time, it's what other KPIs work together to monitor and achieve.

Even if growth is the most important key performance indicator (KPI) for affiliate marketing, it must be tracked in a relevant and controlled setting. Thus, comparing data with unrelated criteria is a waste of time and effort. Use the same or a similar time frame for comparisons to see how far you've come.

Comparing data from multiple levels is a bad idea, in other words. For instance, a week in June may not have had the same volume of sales as a holiday week, so don't make any comparisons between those two periods. Tracking your growth this way allows you to get a clear and detailed view of your progress over the week, month, quarter, or year.

Trigger links

Trigger links are links that customers click on your website that you've assigned an action. Some types of trigger links are email trigger links that send customers personalized or welcome emails after they have clicked these links.

This metric can be an important asset to you since it can give you an outlook on the current lifecycle stages of your customers based on the trigger links that you've set.

Organic traffic

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An essential statistic for gauging SEO success is the number of visitors that come from search engines directly.

The best way to determine the direct impact of your SEO strategy is to focus on organic traffic rather than the total volume of visitors to your site.
There's no doubt that if you're succeeding in SEO, you'll see an increase in the number of visitors that come to your site via search engine results over time.

Increasing the visibility of your website in search engine results for keywords and phrases that are relevant to your company and field is one of the primary objectives of any SEO campaign. Since this is the case, it makes sense to monitor the number of people who find your website from search engines with expectations of growth.

Sales per affiliate
Sales per affiliate is a simple KPI that monitors and keeps track of the number of sales each of your affiliates makes.

In order to see if your business is growing in the correct direction, it's crucial to track KPIs like year-over-year growth and gross sales.

However, in order to identify your best and somewhat average affiliates for these two primary reasons, you also need to track statistics like sales per affiliate.

- If you can identify your most successful affiliates, you'll be able to provide incentives for them and keep them interested in your program.

- It may assist you in identifying affiliates who have potential but who might benefit from further encouragement or training in order to perform to the best of their abilities for your business.

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Top 10 affiliate partners
You need to know who your top 10 partners are, since they account for a large portion of the money generated by your program.

It's important to know if any new affiliates joined your top 10 partners or if any of them left in a certain period of time, so you can figure out how to make your program even more successful in the future.

Effective earnings per click (eEPC)
Effective Earnings Per Click, often known as eEPC, is a metric that determines how many sales are generated by your affiliates for every one hundred clicks.

As a direct result of having this information, you are in a position to explore the extreme cases, including both the people who do the best and the people who do the worst. You need to figure out what the most successful affiliates are doing well so that you may imitate those qualities in your other affiliates who aren't performing as well, so you can increase your overall revenue.

It is a far easier process to convert affiliates who are already producing sales as opposed to recruiting new affiliates who may or may not have enough traffic to make any sales at all. Therefore, this key performance indicator is quite important to use.

Earnings per click (EPC)
Despite the fact that companies that operate affiliate programs might benefit from this metric, affiliates are more likely to utilize it to monitor their own progress.

An affiliate marketer may evaluate the Earnings Per Click when selecting where to concentrate their efforts. This

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indicates the earning potential of an affiliate program, as well as how effectively their affiliate offers convert.

Your effective cost per click (EPC) may be calculated by first totaling your revenue from an affiliate offer over time and then dividing that sum by the total number of clicks. This will provide you with an estimate of the amount of money that will be generated by each click on one of your affiliate links.



Why Tracking Earnings Per Click Is Important?

By analyzing the outcomes of prior clicks, you will be able to calculate the precise amount of money that you may expect to make from each click that you acquire. If an affiliate wants to be successful in their function as an affiliate, all they need to do is reduce their cost per click to the point where it is lower than their revenue per click.

How to Calculate Earnings Per Click?

To determine how much money you make per click, divide your total income for a certain time period by the number of clicks that you created during that time period.

Revenue for a certain period / Clicks from that period = EPC

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This gives you a general indication of how much money you may expect to gain off of each click that you produce in the future.

How to increase EPC?

- **Include affiliate program links in your blog posts.**
  It's a good decision to raise your EPC in this manner. Your CPC here is almost nothing since you're relying on organic visits from your content strategy, and you'll get 100% of the commission from any purchases made through your content or via the pop-up affiliate offer.

- **Improve your email content and then make further iterative improvements.**
  A/B testing is a crucial component of every successful marketing strategy. However, a significant number of marketers do not put in the effort required to successfully carry out A/B testing. You need to do A/B testing if you want to incorporate affiliate links in your opt-in campaigns or emails. This is due to the fact that it is quite rare that you will be successful with a landing page or email campaign on the very first attempt.

- **Monitor and analyze other metrics.**
  When it comes to business, information is everything. This is especially true in marketing. Since information is so critical, it's vital to keep a close eye on the following metrics at all times:

  Your revenues per click, your costs per click, and the outcomes of any A/B testing you've done on affiliate landing pages, email campaigns, or pay-per-click (PPC) advertising are all important things to keep track of.

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8. AGENCY-BASED BUSINESS MODEL METRICS & KPIS

If you want to run an organization as efficiently as possible, you need to be proficient at juggling many responsibilities at once. This includes the ability to present bids on behalf of clients, run campaigns on behalf of clients, report on outcomes, and fulfill a variety of additional tasks.

Monitoring your own internal metrics and key performance indicators is just as vital for the efficient operation of your company as providing reports on the statistical information of your customers.

When you keep track of the Key Performance Indicators (KPIs) for your agency, you can ensure that your financial situation is in order, maintain a current awareness of the level of customer satisfaction, and hold your personnel accountable for the sales and marketing efforts they make. All of these things are possible because keeping track of the KPIs enables you to hold your personnel accountable.

If you have a thorough grasp of your metrics and key performance indicators, you will be able to establish objectives and know precisely what you need to do in order to attain them. This will allow you to be more productive.

Qualified Leads: MQLs and SQLs

MQL is an abbreviation for "marketing qualified lead", and it is used to identify a potential customer who has shown an interest in your company. MQLs are identified by the fact that they have demonstrated interest.

A marketing qualified lead (MQL) evolves into a sales qualified lead (SQL) when it reaches the stage where it is

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ready to have a conversation with the sales team after having been nurtured by the marketing team.

Individuals who have been examined by the sales team of your company and considered to be a suitable match for future sales follow-up are referred to as sales-qualified leads. By using this phase, your sales and marketing teams will be on the same page about the quality and quantity of leads that are delivered to the sales team by the marketing team. This will allow for more effective communication between the two teams.

If you do not have a sufficient number of high-quality leads that you can hand over to your sales personnel on a monthly basis, expanding your business and maintaining your current level of profitability will remain a challenge for you to deal with.

How to calculate the MQL to SQL Conversion Rate?

The MQL to SQL conversion rate is calculated by dividing the number of Sales Qualified Leads by the number of Marketing Qualified Leads.

SQL / MQL = MQL to SQL Conversion Rate

Customer Acquisition Cost (CAC)

This has been explained under Customer Acquisition Cost.

Customer Lifetime Value (CLV)

This has been explained under Customer Lifetime Value.

Proposals Sent

The number of proposals that are sent on a monthly or quarterly basis is another key performance indicator that should be monitored. You should never make reaching this number your objective, since you should be more concerned with the quality of the leads you generate instead. However,

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being able to quickly access this KPI may give insight into the level of success achieved by the collaboration between your sales and marketing departments.

Win Rate

Another approach to keeping your sales force responsible is to monitor their win rate. This will also indicate areas in which you may want to make improvements to the strategy you are using. Divide the total number of completed transactions by the total number of proposals that were sent during the relevant time period in order to get the win rate.

Agency Profit Margin

Agency Profit Margin is a metric that measures your agency's profit in comparison to the total revenue generated. This is done by dividing the amount of money your business makes from customers (after subtracting operating costs) by the amount of money it makes from commissions, fees, incentives, and other sources.

The net profit margin for a marketing firm typically falls anywhere between 6-10%. However, digital marketing organizations claim considerably higher margins, often over 15-20 %. There are instances in which corporate advertising firms declare net profit margins that are as high as 40%.



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How to calculate the Agency Profit margins

This may be determined by dividing the amount of money that your company earns from its clients (after deducting the expenses of running the business) by the amount of money that it makes through commissions, fees, incentives, and other sources.

While this calculation might seem simple, it isn't uncommon for costs to skyrocket while working for a client, so in order to get a correct Agency Profit Margin calculator, you need a management system that will do the math for you so you can keep track of how profitable each client and project is. This system should take into account all of your expenses, overheads, and extra costs and give you real-time reports that will help you decide whether to take on a new project at a certain price or not, as well as which employees, based on their remuneration, should be assigned to certain projects.

Some management systems you can take a look at, include Monday.com, Screendragon, Wrike, Productive, Punchlist, VOGSY, etc.

How To Increase Agency Profit Margins?

Some ways of increasing your Agency Profit Margins include:

- You should consider introducing value-based pricing, recalculating utilization rates per worker, and reconsidering how your resource planning is presently being done.
- You should also include any time you are unable to charge for (your non-billable hours) as "overhead".

Cash Flow from Operations

The term "cash flow from operations" refers to how a company generates revenue through regular and continuous commercial activities, such as manufacturing and selling items or providing customer support. The agency-based

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business model metric “cash flow from operations” is an assessment of the revenues and expenses generated by key business operations through which cash is generated by the company's goods and services.

Why is Cash Flow from Operations important?

When evaluating a CFO, it is common practice to use the company's net income as a benchmark. If CFO is continuously greater than the net income, it is fair to conclude that the company's profits are of excellent quality. The CFO should always be more than the net income; otherwise, there may be a significant issue that may ruin the firm if not addressed. The most essential issue, in this case, is why the company's declared net income is not being converted into cash.

Profit generating for the company's shareholders should always be the main objective of a company. As a result, it is critical to determine whether the company has been effective in earning cash via its operations or not. And by keeping a watch on the CFO, a company can be able to detect when it isn't making money.

How to calculate Cash Flow from Operations?

Even though the specific formula for each company will be different, there is a general formula that can be used to calculate cash flow from operations, and it is as follows:

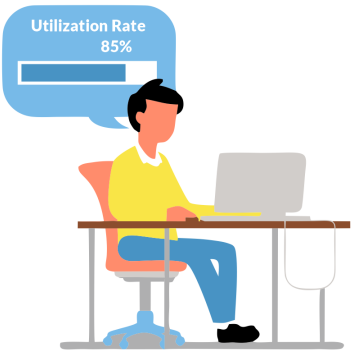
CFO = Net Income + Non-Cash Costs + Changes in Working Capital

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Operating Cash Flow = Net Income + Non Cash Expenses - Increase in Working Capital

Agency Utilization Rate

The utilization rate of an agency is an important metric. The phrase "agency utilization rate" refers to the ratio of the amount of time an employee spends on customer-related services to the total number of contractually agreed upon working hours. This helps you to determine how much time they really spend on work for which you get compensated. Without diligent inspection and monitoring, the amount of work your team does may be either too much or too little, which could hurt the overall performance and efficiency of your business.



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Why is Agency Utilization Rate Important?

Your agency's utilization rate is one of the most crucial KPIs you can monitor for the business as a whole. This is because it gives a clear picture of wasted time and money, as well as whether your employees are at risk of burnout or not. For example, if an employee's utilization rate is 65%, it indicates that you may take on a larger number of customers. When an employee's utilization rate hits 96%, quality challenges and burnout concerns may arise. These difficulties must be tackled as soon as possible.

How Do You Calculate Agency Utilization Rate?

Time monitoring is an absolute necessity if you want an accurate measurement of the utilization rate in your organization. The amount of time an employee spends on revenue-generating activities (utilization rate) may be calculated by comparing the total number of hours an employee is contracted to work with the number of hours an employee actually spends working directly with customers.

Utilization Rate = Total Hours an Employee Worked / Total Hours Hired to Work

The formula for calculating the agency utilization rate is the total utilization rate for all employees divided by the total number of employees.

Agency Utilization Rate = Total Utilization Rate for All Employee / Total Employee

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$$\text{Agency Utilization Rate} = \frac{\text{Total utilization rate for all employee}}{\text{Total employees}}$$

What is the Ideal Agency Utilization Rate?

Each firm or organization will have its own set of standards for finding the most profitable and effective utilization rate. However, you should be aiming for an 80-90% utilization rate. This implies that the bulk of your workers' time is spent on activities that generate revenue, but they are still able to fulfill their other company-related obligations.

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How to Increase Utilization Rate?

- **Keep track of the utilization rates for the whole agency.**
  When the utilization rate is monitored throughout the whole agency rather than just one department or office, it works best because if you need more expertise than your office or department can give, this may help you borrow it from another office or department.

- **Establish utilization rate requirements and ensure that resources are aware of them.**
  The utilization rate has consistently ranked among the top five parameters monitored by agencies (gross margin, projected sales, utilization rate, actual vs. budgeted hours, and total value of pipeline opportunities).

  Companies hardly ever specify a baseline utilization rate, despite the technology's widespread use. They usually use industry standards, which can sometimes be wrong, and don't take into account things that are unique to your business. Communicate this requirement to your employees. So, they'll have a better idea of where they stand, which will motivate them to reach the benchmark level.

- **Make use of more accurate timesheet software.**
  You can't effectively map your employees' utilization rates until you keep track of how they use their time. Consider this a worthwhile cost of doing business, even if it isn't pleasant or convenient.

  Time tracking may be made easier by integrating it into your regular routine. Employees are less likely to keep track of their time if they have to launch another program to do so. Higher compliance and more

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accurate data are more probable if it is integrated into the platform that workers are already using.

- **Try using more precise reporting.**
  Monitoring individual usage rates will not help you much on its own. You must link it to other key indicators. This will help you put the utilization rate into perspective with your organization's operations.

Client Retention Rate

This has been explained under Customer Retention Rate

Average Churn Rate

Average Churn Rate is the average rate at which your customers are leaving and can be determined by subtracting the number of users you had at the beginning of a period from the number at the end, and then divide your result with the number at the beginning of the period. Then multiply by 100.

To read more about this, go to Customer Churn

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9. CONTENT-BASED BUSINESS MODEL METRICS

Unsubscribe Rates

Simply put, it is a metric that shows how many people have unsubscribed from a mailing list. When a lot of people unsubscribe from an email list, it has a negative influence on email deliverability, which leads to negative consequences of email service providers like Gmail and Yahoo.

What Does Unsubscribe Mean?

In email marketing, to unsubscribe means to remove your email address from a company's mailing list so as not to receive any further emails or communications.

Why is the Email unsubscribe rate important?

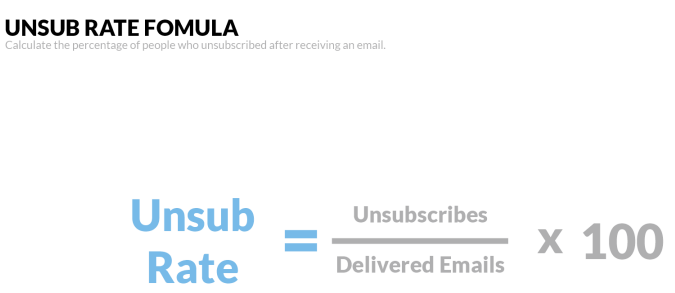
It is important for you to be aware of your unsubscribe rate. This is because unsubscribes work as a type of self-cleansing mechanism for your email list, which means that disengaged users just stop interacting with you. However, the more individuals who opt-out of receiving your emails, the more your sender's reputation suffers.

How to calculate the Email unsubscribe rate?

Two indicators are needed to calculate the unsubscribe rate: the number of sent emails and the number of unsubscribes.

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Unsubscribe rate = (number of unsubscribers / number of delivered emails) x 100



What is a Good Unsubscribe Rate?

If your unsubscribe rate is below 0.5%, you may consider it to be average; anything below 0.2% is considered to be exceptional. But it is not that simple sometimes, because consumers need some time to consider whether they want to continue having connections with your firm or not.

Unsubscribe rates in emails that are high may indicate a number of issues, such as an inability to offer content on mobile devices (such as smartphones and tablets) or an inability to target the appropriate audience. Any fluctuation or continual increase in the rate should be seen as an indication that something is wrong with your email list.

How To Reduce Your Email Unsubscribe Rate?

There are many ways to reduce your email unsubscribe rate, but these are the most efficient.

- Currently, mobile devices have been used to read more than half of all emails in the world, ensuring that

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emails are shown appropriately across all devices.

- Companies are required to get users' opt-in consent under the CAN-SPAM Act. The utilization of double opt-in ensures that you will be working with an engaged audience and that your mailing list will contain active email addresses for people who have shown an interest in receiving your emails.

- Segmentation allows you to get your messages across to the appropriate audience at the appropriate time and is essential to running a successful marketing campaign. Segmenting your email list means simply breaking it into several groups together by a characteristic such as age, gender, nationality, etc., with the goal of producing material that is more relevant to their interests.

- Personalization of emails is also another great way to reduce your unsubscribe rate and increase your transaction rate by 10%. Write your emails as if you are addressing just one person so that they have a more one-on-one feel to them.

- Try giving your subscribers exclusive deals or come up with entertaining material that's unique to them. Make them feel like they are very important to you and that you value them.

- Ask your subscribers for feedback. This will indirectly tell them that you care about the content you provide to them. Send out an email campaign that includes a questionnaire or invite respondents to provide feedback using Google Forms. The same should be done for those who cancel their subscriptions. Don't simply sit back and watch them go after clicking a button. Inquire about the reason they are unsubscribing. Also, ask them whether there is

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anything that may keep them there.

- Send a reactivation email to the user with an attention-grabbing subject line such as "We miss you!" or "We need to discuss..." if the user has not been active for the last three months. In the email, you should remind users of the value you provide and inquire whether the user would want contact to continue or not.

Repeat Purchase Rate

This is a sales statistic that will help you determine the number of sales generated as a consequence of repeat transactions. In other words, it will tell you how many times the same consumer has purchased your goods or services.

It is a common practice in eCommerce to express this KPI as a percentage. It not only gives you valuable information about your customers' habits, but also notifies you about the popularity of your products. The sales manager is often the one who performs the inquiry into the Repeat Purchase Rate and submits the data to the management team.



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How to Calculate the Repeat Purchase Rate

To figure out the repeat purchase rate, you divide the number of purchases made by people who have bought from the site before by the total number of purchases made on the website during a certain time period.

(Customers who have purchased before / Total number of Customers) x 100



Why Repeat Purchase Rate is important

Repeat purchase rate is a more relevant indicator for eCommerce enterprises than customer churn rate or customer retention rate. Both of these indicators are significant, but the repeat purchase rate is more so. It is also superior to monitoring changes in purchase frequency since it can be detected in less time, making it excellent for tracking retention.

According to some estimates, only 8% of your clients are responsible for up to 41% of your total revenue. Existing clients are worth seven times more than new prospects. This means shops must recruit a total of seven new consumers in order to earn the same amount as one returning customer.

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How to Increase the Repeat Purchase Rate

HOW TO INCREASE YOUR REPEAT PURCHASE RATE

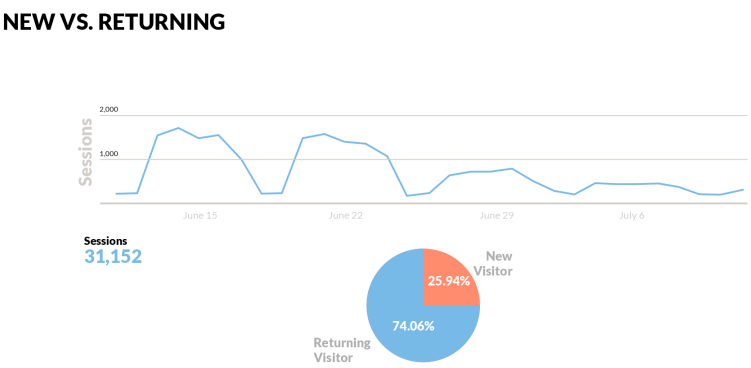


- Create an email marketing approach that steadily enhances a consumer's degree of participation and delight after they have made their initial purchase.
- Customers may be motivated to make more purchases if they are given incentives such as vouchers.
- Determine which ad methods are effective at attracting customers who go on to make a high proportion of repeat purchases, and devote additional resources to those campaigns.
- If you can figure out which of your products results in repeat orders from consumers, you may market those items to your current customers.
- Divide the individuals that make up your customer base into numerous categories based on their purchasing habits and individual preferences.
- Make the most of the opportunity to promote your post-transaction emails, especially those that have

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gotten high ratings.

Returning Visitors



The returning visitor metric helps you monitor your previous site visitors and see the behavior of those users when they revisit your website. The purpose of this statistic is to show how successful digital marketers are in expanding their audience and maintaining their engagement with that audience. This will serve as proof that the content marketing efforts that they put forward were successful.

How to calculate Returning Visitor Metric

To calculate returning visitors, divide the total number of unique visitors to your website over a certain time period by the number of repeat visitors.

Number of unique visitors / Number of repeat visitors = RV

How To Increase Your Rate Of Returning Visitors?

- Monitoring the components of the content on your website may provide you with adequate ideas for the creation of content for at least five months. The newly

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generated content has to be released consistently at frequent intervals, which is the most critical need. Please take into consideration that the purpose of this material is exclusively to strengthen the connection you have with your audience, and not to advertise your company.

- Send a broadcast email to all of your subscribers, informing them that you have just posted something of interest on your website, and asking them to spread the word. Spending a lot of money on traditional marketing efforts may not be as beneficial as using this strategy in order to generate leads.

- Remarketing is one more effective method that is rarely used, despite its potential to significantly boost the percentage of repeat visits to a website. Running advertisements on other social media sites or blogs is one of the most efficient ways to increase RVR, along with a few other methods.

- Developing a subscriber base for your email newsletter is yet another excellent strategy for retaining your visitors. You need to ensure that visitors to your website can simply reach the form that they will use to subscribe to your website. If your website visitors find the content to be helpful and informative, you may expect a high percentage of them to sign up for your mailing list.

Average Order Value (AOV)
This has been explained under Average Order Value

Organic Traffic
This metric measures the amount of website traffic that arrives at your content as a result of a search engine query. This excludes paid opportunities. Plus, this number may also include traffic from social media platforms and/or traffic from

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other external sources.

Reach

The total number of different people who have seen a post is referred to as its reach. It may also count the number of individuals who have viewed a certain profile or page, a campaign, a specific kind of post (such as a video or photo), or anything else.

Return on Ad Spend (ROAS)

This has been explained under Return on Ad Spend.

Return on investment (ROI)

Return on investment in content marketing is a metric used to assess the results of various content marketing strategies and campaigns.

Why Calculating Content Marketing ROI is Important?

- **Brings in more potential customers.**
  Content marketing is another way of increasing potential customers' interest. If your audience reads your content and notices that you have knowledge about the product or service that you are trying to sell to them, you will earn their trust and increase the likelihood that they will make a purchase from you in the future.

  You can also generate leads if your content addresses the problems or needs they currently have.

- **Improves retention.**
  Infographics, articles, and e-books, to name a few examples, are helpful in perpetuating a positive perception of the brand and have the potential to yield a positive experience for prospective customers. Other types of content, such as case studies and customer testimonials, also contribute to this effect. They will

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remember your brand and contact you if there is even the tiniest sign of interest.

- **Boosts your SEO efforts.**
  If you produce content that is tailored to the requirements of the target audience, search engines will recognize the value of your brand, which will in turn raise your performance and increase the exposure of your website. Search engines can see the worth of your content through the use of algorithms or cookies that assess the length of time spent viewing the content or the number of times it has been viewed.

  In order to accomplish this, it is essential to make appropriate use of keywords, provide users with flexibility and security when viewing your page, and present your audience with credible content.

- **It helps to build trust with your audience.**
  In order to build trust with an audience, you must give something of value to them without expecting anything in return. This leads the audience to take your advice and suggestions more seriously. As a result, they will walk away satisfied and with a positive impression of both the answers and your business.

- **It increases your online authority.**
  It takes time and effort to become an internet authority, but it can be done. In order to rise in search engine results, you need to be seen as a trustworthy source of information by your customers.

  With a little help from you, your audience can have better experiences, and you can show them that you're an authority on your subject by replying to their questions with meaningful information.

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How to calculate the Content Marketing ROI?

$$ROI = \left(\frac{\text{Net Profit}}{\text{Investment}}\right) \times 100$$

To calculate content marketing ROI, divide your net profit by the cost of your investment, then multiply by 100.

If it costs you $200 to attract a customer through your content marketing efforts, and they spend $500 on your website, then your ROI calculations would be:

ROI = (500 - 200) / 200 x 100 = 150%

Cost of acquisition (CAC) on Content Marketing
Because customer acquisition costs in content marketing can vary depending on what you consider to be conversion, you need to have an estimate of costs before going into content marketing.

While it might seem a good idea to have an in-house content marketing team, the costs of supporting such a team might eventually not be worth the efforts since you can't assess your content marketing ROI before heading in. For this reason, it is more advisable to hire a content marketing agency for the purpose of gaining customers through your website/blog content. An agency can cost you from $1 to $10,000 monthly depending on the results you are expecting

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while having an in-house team, which involves keeping many employees on your payroll, can gulp upwards of $200,000.

However, your decision on which team to use depends solely on your company size and the results you expect from your content marketing efforts.

Why Is CAC Important in Content Marketing?

When you have a good idea of your content marketing CAC, you can better determine your content marketing strategies. It also lets you know if your efforts are profitable, and if they currently aren't, it will help you know if there are adjustments to be made to your costs or product prices.

If, after evaluating your costs, they are manageable or the results are impressive, you can then decide if they are worth more investment.

How to calculate CAC?

$$\text{Content Marketing CAC} = \frac{\text{Technology Cost + Salary Cost+ Per Article Cost}}{\text{Traffic x Conv. Rate}}$$

1. The CAC of content marketing includes email software costs, opt-in software costs, or any other software or platform used for your content marketing. All these

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can be listed under **technology costs**;

2. Content writer costs, article image costs, etc., can all be listed under **per article costs**;

3. Personnel costs, any outsourcing costs, or off-page link building costs can be included under **salary costs**.

To calculate your CAC for content marketing, add up all your costs. Multiply your traffic by your conversion rate, then, with this as your denominator, divide your costs.

What is a Good CAC?

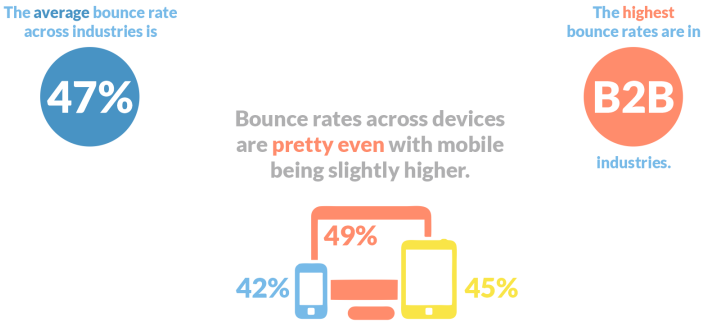
While there isn't an ideal CAC, there is an ideal payback period, and this is 6 to18 months. This means that whatever your costs, your pricing should be customized to it in such a way that the cost of acquisition will be recouped in 6 to18 months.

Bounce rate

The term "bounce rate" refers to the percentage of visitors who leave a website without taking any action, such as clicking on a link, filling out a form, or purchasing something. Similarly, in SEO, bounce rate means the percentage of visitors who leave your website after a short time without reading your content.

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BOUNCE RATE BENCHMARKS



Why is measuring Bounce Rate important?

People that leave your website without taking any action are considered to be uninterested in your offerings. Figuring out your site's bounce rate and putting strategies in place to lower it are the first steps toward raising your conversion rate.

Google may use the "Bounce Rate" as a ranking factor at its discretion. There is some evidence to suggest that a high bounce rate is directly linked to a high ranking on the first page of results on Google.

If your site has a high bounce rate, it means there are problems with the content, user experience, design, or copywriting on your entire site or on specific pages.

How to calculate Bounce Rate?

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BOUNCE RATE FORMULA

Calculate the percentage of a website's visitors that arrived, did nothing (measurable), and left.

$$\text{Bounce Rate} = \frac{\text{Total visitors to Webpage Who Left Without Any Interactions}}{\text{Total Visitors To A Webpage}} \times 100$$

To calculate your bounce rate, divide the number of people that leave your page without taking any action by the total number of people that visit your site, then multiply by 100.

In essence:

(No. of people that leave a page without taking any action / total No. of people that visit that page) x 100

What is a good bounce rate?

The typical bounce rate can range anywhere from 26-70%, but the ideal figure is somewhere in the range of 26-40%. If your data suggests that you've landed anyplace below 20%, you should probably recheck your data to ensure that it's accurate.

There is a correlation between the type of device a user is using to access content and the average bounce rate. However, this correlation is not always there. Mobile devices, for instance, have the highest bounce rate of all products throughout the sector, which is 51%. The average percentage of users who leave a website after only viewing it on a desktop computer is 43%, whereas the average percentage of tablet users who do so is 45%. Therefore, while

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determining the bounce rate of your website, it is important to take into account the visitor sources.

How to Reduce High Bounce Rates?

- **Examine the pages that have the highest bounce rates.**
  If you examine your web pages with the highest bounce rates in your website's analytics system, you will be able to tell which of those pages is where people leave your site constantly. This will also tell you which pages cause the highest bounce rate and how your users get to those pages. This will help you make modifications that will result in a reduced bounce rate for your website.

- **Check the length of time spent on site.**
  By comparing your bounce rate to other indicators, you may get a clearer picture of how your site is performing. For example, time on site should be compared across pages. This could help you figure out if your high bounce rate issue only affects a single page of the website or the whole thing. For instance, if your blog's bounce rate is high and the length of time users stay on your site is short, it's possible that your articles aren't accomplishing their job.

- **A/B testing should be used.**
  By using A/B testing, you may be able to determine which of the approaches you've used to increase the performance of your website is more successful. For instance, Pages A and B may each have their very own personalized product sales page, complete with their very own distinctive format and call-to-action buttons (CTAs).

  In the course of an A/B test, one page is presented to

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50% of your site's visitors, while the other page is shown to the other 50% of your site's visitors. It is vital, in order to optimize the other pages on your website, to establish which page on your website keeps visitors on the site for the greatest amount of time.

- **Optimize your site for mobile devices.**
  You need to optimize your website for mobile use if you want to benefit from the ever-increasing percentage of website traffic that comes from mobile devices, as well as from Google's emphasis on the matter. If a person is forced to wait an awful lot of time for a page to load on their mobile device, they are more likely to go somewhere else for the information they need.

- **Your pages should be simple to read.**
  In order to make the website more readable and attractive, you need to utilize more white space, a larger text size, headings to break up big blocks of content, and shorter paragraphs that are easier to read.

Content Engagement Rate

Customer engagement rate is a metric that can be used to measure the level of participation, engagement, or interaction generated by a brand campaign or published content. This means engagement rate is a measurement of the amount of interaction that your content generates with the people that follow you.

Why is Engagement Rate important?

If your audience isn't interested in the material that you provide on social media platforms, then it won't matter very much how many followers you have. However, follower growth is pretty essential when it comes to social media analytics. If you want to verify that the content you are

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sharing is having an effect on the audience that is seeing it, you need to have people comment on it, share it, give it a like, and engage in a variety of other behaviors.

How to calculate Engagement Rate?

To calculate your engagement rate, divide the total number of engagements by the total number of followers you have, then multiply by 100.

Total engagement can be determined by the number of likes, shares, reactions, retweets, clicks, replies, or saves your posts receive.

$$\text{Engagement Rate} = \frac{\text{Total Engagement}}{\text{Total Followers}} \times 100$$

In essence, if your post receives 10,000 engagements in the form of likes, retweets, and comments, and you have 500,000 followers, then your engagement rate would be 2%.

(10,000 / 500,000) x 100 = 2%

What Is a Good Engagement Rate?

The vast majority of industry experts in social media marketing are of the opinion that the ideal engagement rate falls somewhere in the range of 1-5% of followers. However,

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when you have a larger number of individuals following you, it becomes increasingly difficult to maintain such a rate.

Conversion rates

This has been explained under the Customer Conversion Rate.

Click-through rates

The click-through rate is the percentage of individuals who opened and then clicked on at least one of the links that were included in the email you sent to them. This can be used to measure the success of your email campaign.

Why is the Email Click-through rate important?

It is critical to assess the effectiveness of your email marketing efforts in order to identify areas for future improvement. When determining the effectiveness of their email marketing initiatives, many business owners are unsure whether they should prioritize the click-through rate or the open rate (OR).

Open rate and click-through rate are two metrics used by email marketers to determine not only how effective their emails are, but also how many recipients take action as a direct result of receiving those emails.

It's encouraging to see an increase in email openings. But what's the point of sending these emails if they're not driving revenue, generating leads, or building brand exposure? That is where CTR comes in. By evaluating your CTR, you can see how well your email is performing in your subscribers' inboxes.

How to calculate the Email Click-through rate?

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HOW TO CALCULATE EMAIL CTR

$$CTR = \frac{\text{Number of People Who Clicked A Link}}{\text{Numer of Emails Delivered}} \times 100$$

To calculate email CTR, divide the number of people who clicked a link in your email by the number of emails that were sent out and delivered, then multiply by 100.

If, for example, you sent 100,000 and 10,000 clicks on a link, then your email CTR is 10%.

Email CTR = (10,000 / 100,000) x 100 = 10%.

Difference between CTR and CTOR

CTR	**CTOR**
CTR can be used to measure click rates on anything (but is mostly used for ads);	CTOR measures people (i.e., people who clicked);
CTR measures actions (i.e., clicks);	CTOR is only used to measure email click rates;
CTR measures against impressions (which haven't even been seen);	CTOR measures against open (which means the audience has already expressed interest);

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CTR measures clicks on a single link;	CTOR measures people who click on any one of multiple links within an email;
CTR is a top-of-funnel metric.	CTOR is a middle-of-funnel metric.

What is a good click-through rate?

A click-through rate for an email that is greater than 3% is considered successful. A 1-5% click-through rate is considered to be the average for email CTR.

How To Improve Your Email Click-through rate?

- Reduce the number of call-to-action buttons that you utilize;
- Make use of visuals that are interesting;
- Ensure your texts are easy to read;
- Optimize for smartphones and tablets;
- Customize your emails;
- Maintain a steady focus on content testing and refinement for your emails.

Pages View Per Session

The Page Views per Session metric provides you with valuable insight into the effectiveness of the content on your website in terms of retaining visitors and keeping them engaged while they are there.

How to calculate Page Views per Session?

You can keep track of Page Views per Session in your analytics platform. Most analytics platforms show Page Views

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per Session since it's an important metric to track.

What is a good number of pages per session?

The average number of pages viewed in a single session is 2.6. However, this figure can change significantly based on the nature of the company, its industry, as well as other variables. On the other hand, anything that is better than that mark is deemed to be good.

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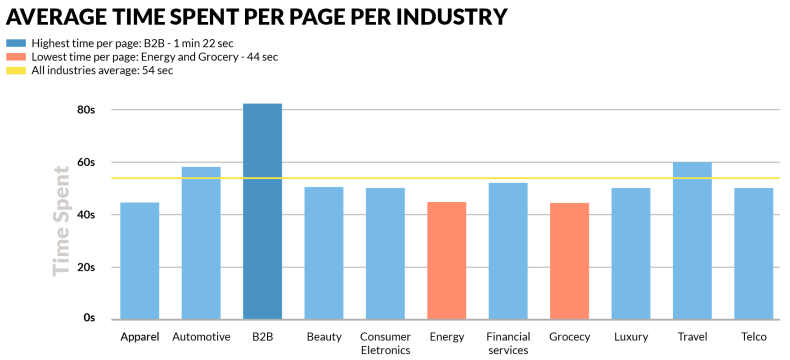
How to Improve Your Page View Per Session?

- **Enhance and improve the user experience.** Because the more time a customer spends on your website, the more information they acquire about your organization, it is critical that you encourage them to visit specific pages that drive conversion. To do this, you should focus on compelling content, prominent calls to action, and a design that is straightforward and easy to understand.

- **Make use of calls to action and internal linking.** You may be able to boost the average number of pages viewed in a session by making use of calls to action (CTAs) and internal links. It's important to prevent your site's users from being stuck on a page that leads nowhere if you don't want them to abandon your site and go elsewhere.

Average time on page

The amount of time that, on average, visitors spend during their visit viewing a particular page, or a group of pages, is referred to as the "average time on page". It just accounts for the amount of time that users spend on pages that do not lead to an exit.



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How to calculate Average Time on Page

$$\text{Average Time on Page} = \frac{\text{Total Time on Page}}{\text{Total Pageviews - Total Exits}}$$

While most analytics tools calculate this automatically, for a more precise and manual average, divide the total time on page by total page views minus total exits/bounces.

Average Time on Page = Total Time on Page / (Total Page Views - Total Exits)

What Is a Good Average Time on Page?

Regardless of the sector, research found that the average time people spend on a webpage is fifty-two seconds. You may use this metric as a baseline to determine how well your website is performing. However, you might just concentrate on increasing the statistics of your site over time.

How To Improve Your Average Time on Page?

- **Always make use of internal linking in your content.** You can improve the length of time visitors spend on your website by increasing the number of internal links throughout the site. This, in turn, may raise your site's rankings in search engines. They may, in the end, make it simpler for visitors to find other postings on the site that are of interest to them.

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- **Make your content readable.**
  Improving the readability of your website is yet another strategy you can employ to raise the stats of your website. If the text on your website is difficult to read, then people are less likely to remain on your website for an extended period of time, especially visitors using smartphones.

  You may make your text easier to read in a variety of different ways. To get started, select a typeface that is simple to read for everyone, even those who have issues with their vision, and then make it as large as you reasonably can.

- **Include videos**
  The incorporation of videos into your website may persuade visitors to spend more time there, which is beneficial to your business. This is because watching a video clip may often be more interesting or be completed in a shorter amount of time than reading a lengthy article. Therefore, providing visitors the option of choosing between the two will increase the possibility that they will choose the way they prefer to interact with your page and spend more time on it.

- **Make your website mobile-friendly.**
  You should ensure that your website is easily navigable and looks good on a variety of devices, such as desktop computers, tablets, and mobile phones.

- **Publish high-quality content.**
  If site visitors do not find the content that you are putting out to be interesting or helpful, it is likely that they will leave. When it comes to marketing, it is important to have a solid understanding of your target demographic. Your clients can have inquiries about the

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products and services that you provide. How you answer their inquiries matters.

When writing blog posts, specifically, you should make helping rather than selling your primary focus.

Average Time to New Content

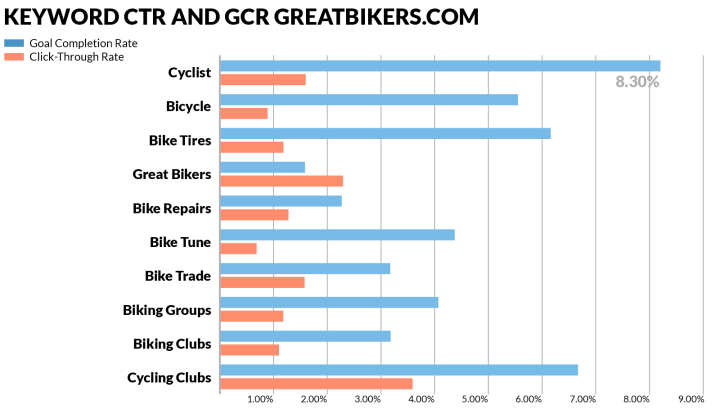
Average Time to New Content is a metric that measures the amount of time that elapses between the publication of the most recent piece of content and the publication of a new one.

Tracking the Average Time to New Content is an important strategy for measuring how effectively your marketing team is producing new content of high quality for your company. This can be done by looking at how long it takes on average for new material to be produced.

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Keyword Click-Through Rate

The Keyword Click-Through Rate indicator is used to calculate the ratio of the number of times your site or its offerings appear in the search results to the number of times it is clicked on by users.



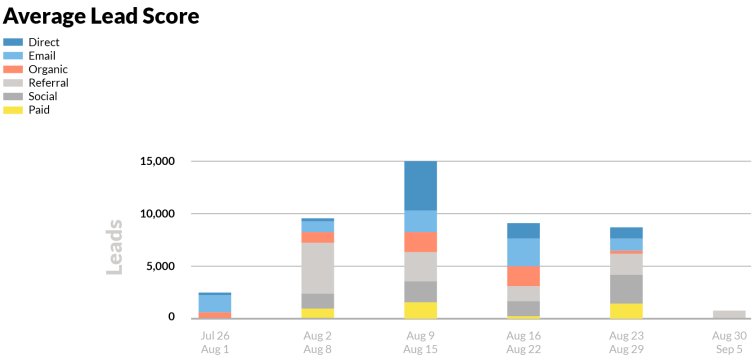
Average Lead Score

The process of evaluating potential customers and clients for a company based on preset standards and goals in order to improve the accuracy of the leads generated for marketing and sales is referred to as "lead scoring".

These parameters and objectives may include aspects like demographics, user activity, and customer profile. Often, they are formed by conducting an assessment of the characteristics of an organization's current customers in order to arrive at their conclusions.

Based on these preset requirements, an average lead score can then be calculated.

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Why is Average Lead Score important?

The failure to provide an accurate description of the potential of a lead will invariably result in your wasting time and money investigating an opportunity that is rarely rewarding.

To be more precise, if you want to be wise about where your money goes, one of the most important practices you can engage in is the calculation of distinct lead scores. In other words, you can be certain that the leads you generate will lead somewhere by evaluating the average lead score.

For instance, you might make use of your defined criteria to gauge the value that certain clients provide to your business. You may be able to attract clients who are more inclined to purchase from you as a result of this. This means that instead of just trying to increase sales, you should concentrate on establishing funnels and paths that provide the best average lead scores.

How to calculate Average Lead Score?

To calculate Average Lead Score, divide the total number of leads converted to customers by the number of leads generated. This can be calculated monthly, quarterly, or

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yearly.

$$\text{Average Lead Score} = \frac{\text{Customers Acquired}}{\text{Number of Leads Generated}}$$

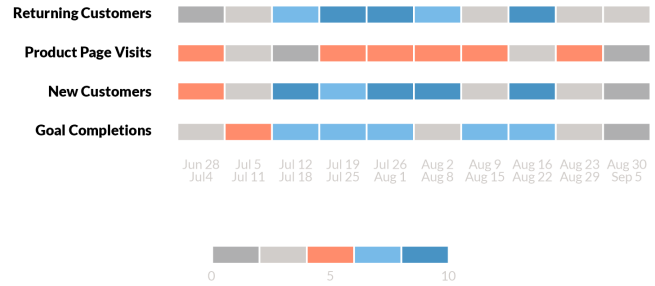
Online Conversions Metric

The success of your ability to convert your internet audience into paying clients is measured by the conversion metrics online. When a user clicks on your ad and subsequently performs an action that you judge to be useful, it is considered a conversion.

Depending on the kind of company you run, the conversion indicator will seem different to you. An eCommerce company, for example, may be interested in tracking the number of online transactions, while a SaaS company may be interested in assessing the number of demo sign-ups.

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ONLINE CONVERSIONS



How to calculate Online Conversions Metric

To calculate online conversions, divide the number of conversions by the total number of clicks, then multiply by 100.

(Number of conversions / Number of clicks) x 100 = Conversion Rate

For example, imagine that out of 300 impressions, you only had 50 people to convert:

The Conversion Rate = (50 /300) x 100 = 16.6%

Sessions by Device Type

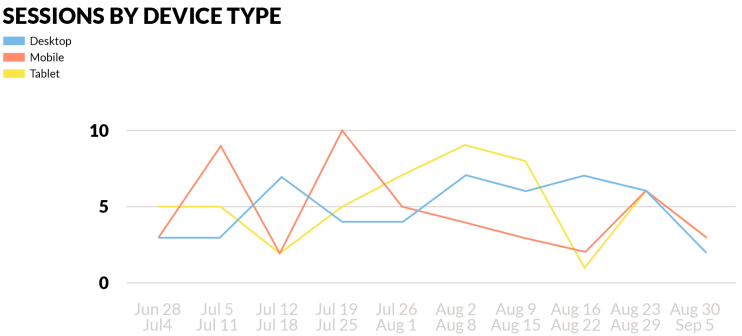
Sessions by Device Type metric provides information on the total user base, as well as the % of users that are accessing your website from each piece of hardware (device) within the time frame that you specify. This information can be useful for determining how many people are using different types of devices to view your website.

According to research conducted by Pew in 2015, mobile search has exceeded desktop search when it comes to looking for employment opportunities (44%), real estate (44%),

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online banking (57%), and health information (62%). It is crucial to have knowledge about the locations from which your users are visiting your website while you are constructing it in order to provide the greatest possible user experience for customers.

If you are aware of this information, it will be much easier for you to distribute your marketing budgets among the various devices, such as desktop computers, laptops, tablets, and smartphones.

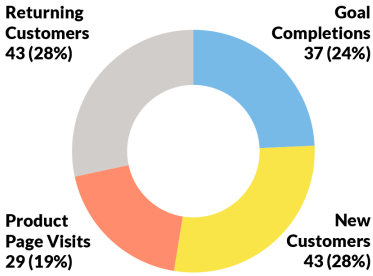


Website Traffic Lead Ratio

Website Traffic Lead Ratio shows what percentage of people who visit your site end up giving you their contact information and becoming real leads over a certain amount of time.

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WEB TRAFFIC LEAD RATIO



Why is Website Traffic Lead Ratio important?

It is the goal of the metric to assist the marketing team in avoiding being misled by the surge in popularity of the website, which may result in changes in earnings that are subject to abnormal fluctuations. By utilizing this metric, the marketing team will be equipped with the knowledge required to properly track the number of site visits that result in leads.

How to calculate Website Traffic Lead Ratio?

For this, divide the total number of leads by the number of visitors in the same amount of time. For example, if your website has 10,000 monthly visits but only generates 6,000 new leads, your website traffic to lead generation ratio is 60:1, or a 60% conversion rate.

Keyword Opportunity

By comparing current positions to Google's expected search traffic volume and competitiveness rating, the Keyword Opportunity (KPI) assesses the potential for improvement in search engine results. This determines whether there is space for growth or not. Using Google's Keyword Planner, you may identify possibilities, assess the amount of work

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necessary to rank for certain keywords, and get insight into how well your keywords are presently doing.

This KPI may also be used to calculate your traffic share. However, since Google's predictions of your visit volume may vary from your actual traffic level, you'll need to rely on other data sources, such as Google Search Console and impression data from Google Ads' campaigns.

KEYWORD OPPORTUNITY

Keyword	Rank	Search Volume	Competition	Share Traffic
Cyclist	3	36k	Medium	
Bicycle	11	45k	High	
Bike Tires	7	56k	Medium	
Great Bikers	1	76k	High	
Bike Repairs	2	125k	Medium	
Bike Tune	17	23k	High	
BikeTrade	23	27k	High	
Biking Groups	12	24k	Medium	

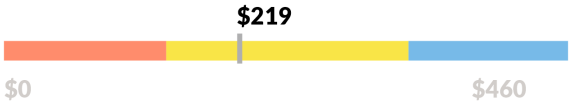
10. ECOMMERCE BUSINESS MODEL METRICS & KPIS

Sales Per Labor Hour

This is a KPI that assesses the productivity of a company's employees by calculating sales per hour. It is the number of sales made or accounted for by each salesperson in one hour, stated in terms of their monetary value. Companies may determine if an individual salesperson or sales team is performing at an acceptable level by comparing the data to the industry average. Furthermore, it may assist the company's upper management in creating sales targets and budgets.

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SALES REVENUE PER HOUR



Sales per hour vs. items per hour in retail

Items per hour is another KPI that you may monitor in the same manner as the one mentioned above. It represents the total number of items sold by a sales professional or team in a one-hour period. While sales per hour indicate how productive the team is, the number of items sold in an hour is a considerably better predictor of the retail business's profitability.

How to Calculate the Sales Revenue per Hour

To calculate sales revenue per hour, divide the total revenue from sales by the number of hours that were put in (worked).

Sales revenue per hour = amount of sales in revenue / number of hours worked

For a business with just one employee, calculating sales per hour is as easy as dividing the entire money earned by that employee by the total number of hours worked. If the business employs more than one salesperson or if management intends to assess the performance of an entire sales department, after the above calculation, the result is then divided by the total number of workers.

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Why Is Sales Per Man Hour Important?

The competency of your workforce has an influence on the profitability of your firm. As a consequence, utilizing this indication of worker efficiency may show the firm's degree of profitability. It may also influence managerial approaches. If the sales per hour data are low, store or department managers may be able to discover how to improve the team's performance.

Customer acquisition cost (CAC)

This has been explained under Customer Acquisition Costs.

Cost Per Acquisition (CPA)

Cost-per-acquisition (CPA) is a marketing metric that calculates how much money was spent to attract a consumer to do something. CPA, or cost-per-acquisition, is a number that shows how much it costs to move a single client through your sales funnel, from the moment of first contact to the point of conversion. Depending on your marketing objectives, this action may be referred to as a click, a buy, a lead, or any of a variety of other terms.

Why Does Cost Per Acquisition Matter?

Cost per acquisition is an essential marketing indicator since it helps companies assess their ROI. Regardless of how much money your firm makes, monitoring the results of your advertising from a Google Ad or a social media ad, will show if your income is generated effectively. If you calculate your CPA and find that it is higher than expected, it is a hint that your strategy needs to be revised.

Using relatively basic data, you can quickly compute an acceptable cost per acquisition by calculating the average order value (AOV) for each client and the customer lifetime value (CLV).

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A company's owner may quickly establish an acceptable cost per acquisition by utilizing basic data. This is performed by calculating the average order value (AOV) and customer lifetime value.

How to Calculate Cost Per Acquisition?

To calculate the average cost of acquiring a new customer via a certain channel or campaign, just multiply the total cost of gaining consumers by the total number of new customers obtained through that channel or campaign.

Campaign Cost / Total number of customers acquired = Cost per Acquisition

It is important to note that, although calculating your CPA may be more complicated if your company does not sell goods, it may still be done with relative ease. Conversions may be recorded in a number of ways, such as trial signups, page views, contact form submissions, and so on.

CALCULATING CPA

$$\text{CPA (cost per acquisition)} = \frac{\text{Channel Spend}}{\text{No. of Customers Acquired}}$$

Exemple	
Total Advertising spend	$2000.00
Facebook	$1,200.00
Google Ads	$800.00
New Customers	80
Facebook	40
Google Ads	40
Total Cost per Acquisition (CPA)	$25
Facebook CPA	$30
Google Ads CPA	$20

What is a 'Good' Cost Per Acquisition?

There is no set formula for calculating your intended cost per

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acquisition. Each online company will have its own set of goods and services, pricing, margins, and operating expenses, among other things. Furthermore, each product or service will provide different results based on the marketing campaigns you choose.

Understanding pay per click (PPC), social media, display marketing, affiliate marketing, and influencer marketing may be the most effective way to calculate an acceptable cost per acquisition (CPA). A deeper understanding of these numerous advertising tactics will assist you in determining how much you can afford to spend on attracting new customers.

To find the optimum CPA, small tests, like everything else in marketing, should be used.

Churn rate
This has been explained under Churn Rate.

Revenue per visitor (RPV)
Revenue per visitor (RPV) is a metric that estimates how much money each website visitor makes. This metric is significant for eCommerce websites since it shows how much value each website visitor contributes to the company. It is used in eCommerce to calculate the revenue generated by visits.

Revenue per visitor (RPV), as opposed to conversion rate, measures the genuine worth of each individual online consumer.

It is an important performance metric for eCommerce organizations since it helps them to examine the health of their marketing and its impact on their long-term business. You could rapidly raise conversion rates by offering a high discount on everything to every visitor, but your income per visitor and profitability would decrease as a consequence.

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Why is RPV important?

The Revenue Per Visitor metric solely considers unique visitors, but the conversion ratio may not always include the entire number of visitors, sessions, or leads. When used independently, conversion ratio and average order value (AOV) might provide erroneous findings that aren't as decisive as we would expect. When they are combined, however, they reveal how much money each individual visitor generates.

The best part about this statistic is that it considers the dual dimension of rising revenue. After attracting visits to your website, you may increase your return by either converting more users into paying customers or encouraging higher consumer spending for each conversion (increasing Average Order Value).

These two distinct metrics have now been combined to provide an assessment that identifies precisely where your website or eCommerce company is losing money. An RPV decrease can be explained by either a change in customer behavior or an increase in the number of visits that are made without any intention of making a purchase (both of which essentially signify a fall in conversion rate).

How to calculate RPV?

To calculate RPV, multiply the conversion rate by the average order value. In essence, if your conversion rate is 20% and your AOV is $45, your RPV will be:

RPV = 25% x $45 = $11.25

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	Conversion Rate		Average Order Value		Revenue per visitor
	15%	x	$25	=	$3.75
	5%	x	$1000	=	$50

How to increase RPV?

- **Make the process of buying from you easy.**
  There should be no substantial deviations from the standard method of making purchases or additional actions that must be made before placing an order. Remove unrequired fields from your forms to boost the probability that consumers will finish their purchases. Always remember to keep things as simple and basic as possible: Psychologists have discovered a psychological principle that drives us to finish the tasks we start, regardless of whether we get anything in return or not.

- **Provide Intent-Based Promotions**
  Intent-based promotions probe your customers' minds to discover what they want and what kind of promotion will push them to act. In contrast to generic promotions, such as offering a 20% discount to all new customers, intent-based promotions evaluate consumer behavior to identify the smallest amount of push necessary to improve sales.

  Using behavioral data like purchase patterns, content read, and buying habits, eCommerce companies may

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provide targeted promotions that promote retention, boosting your Revenue Per Visitor (RPV).

- **A/B testing may help you improve your promotional content and CTAs**
  Determine what works best for your intended audience.
  You may experiment with various text and header sizes, colors, and views using A/B testing, but adhere to the ones that work best.

- **Make use of scarcity marketing strategies.**
  People are more inclined to act decisively if they are aware that the offer is limited. Add countdowns to show prospects how much time they have before the offer expires. Consider displaying low-stock alerts next to your inventory's goods so that customers know when there are just a few left — this may help them select faster.

- **Reduce the number of abandoned carts.**
  Many customers abandon your website after adding many items to their shopping carts. Some of this is due to a lack of information regarding shipping charges, which may result in a price shock when they are shown during the checkout process. To combat this, shipping costs may be clearly stated throughout the purchase process, or they may be reduced as much as possible depending on the transaction value.

  One-on-one outreach and guest checkouts are excellent methods for preventing shoppers from abandoning their shopping carts before they've even begun. However, remember that cart abandonment isn't always avoidable, but retargeting may help you recapture these clients. To get the most out of your social media advertising, target those who have

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previously visited your website but haven't purchased anything.

Customer lifetime value (CLV)

This has been discussed under Customer Lifetime Value.

Net Profit

This has been discussed under Net Profit.

Difference Between Net Profit, Net Income, and Net Earnings

The words "net profit", "net income", and "net earnings" are synonymous. They all relate to a company's money left over after deducting all business expenditures from its total revenue.

Why is Net Profit important?

- **Investments:** When deciding whether to invest in a business, investors consider its net profit. A company with consistently high net profits assures investors that it will make a profit rather than a loss.
- **Revenue:** Small business owners must closely monitor their net earnings in order to completely grasp their net profit margin and determine how they may increase sales.
- **Losses:** Some business owners plan to operate at a loss, particularly in the early stages of a company. Determining net profit indicates that they may still have a good idea of how much of a net loss they expect and how long they intend to keep losing.
- **Loans:** Banks and lenders consider a company's net profit when deciding whether to provide a business loan to it or not. Banks are more willing to give loans to a business with a higher net profit since the company

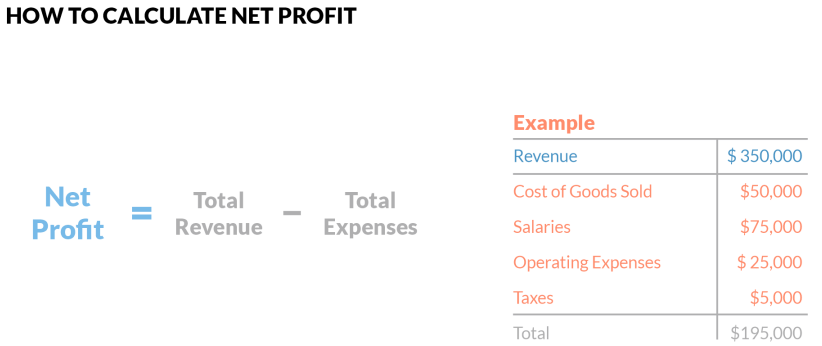
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is more likely to repay the loan.

How to calculate Net Profit?

To determine your company's net profit, add up all of your revenue over a certain time period and then subtract from that total all of your costs incurred during that same time period.

Total Revenue - Total Cost = Net Profit



How To Increase Your Net Profit?

- **Review pricing:** Many businesses struggle to price items competitively with acceptable profit margins. Even a modest price increase might have a significant influence on your net profits. However, keep in mind that reasonable pricing strategies should include what the market will support in terms of supply and price, as well as how to continue to drive customer acquisition and retention.

- **Reduce overhead:** Analyzing your overhead costs on a regular basis — including insurance, interest, fees, rent, supplies, marketing expenses, and more — is a simple way to increase your net profit. Benchmarking

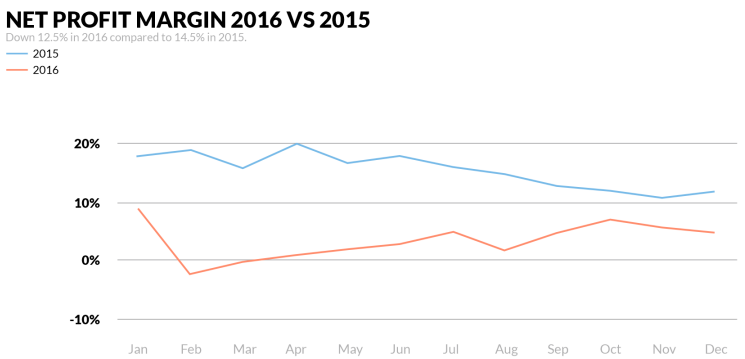
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your overhead data to organizations similar to yours may help you identify opportunities for improvement.

- **Control inventory:** Proper inventory management may enhance your cash flow and net profit. Some of your products will undoubtedly have higher profit margins than others. Keeping a close eye on your inventory while keeping an eye on your spending will help you order the appropriate amount of the right goods at the right time, ensuring you have your high-profit products on hand for customers who want to purchase them without tying up your cash flow in products that don't sell.

Net profit margin

It is the ratio of a firm's or business unit's total profit to the total amount of revenue made by that company or business segment. A company's "net profit" is the amount of money left over after all of its "costs and responsibilities", such as "operational expenditures and taxes", have been deducted.



Net Profit Margin vs. Gross Profit Margin

The difference between a company's gross profit margin and its net profit margin is that the latter calculates profits after deducting all of the expenses from the income of the

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business. Whereas, gross profit margin refers to the amount of revenue that's left after the cost of products sold has been subtracted (COGS). It does not take into consideration the costs of running the business, such as the rent, utilities, or salaries of the employees.

Why is Net profit margin important?

It is possible to conclude that the net margin is the single most crucial metric of an organization's total profitability. This is because it is the ratio of a company's or business segment's net profits to total sales. The net profit margin is the amount of profit made for every dollar of sales after taking into account all of the expenditures paid by the firm in the process of generating those revenues. A big profit margin suggests that a greater percentage of each dollar of sales is retained as profit.

How to calculate Net profit margin?

Net profit is derived by subtracting all firm expenditures from its total revenue. Then divide the result by the company's revenue.

Net Profit Margin = (Revenue - Cost) / Revenue

$$\text{Net Profit Margin} = \frac{\text{Revenue - Cost}}{\text{Revenue}}$$

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How To Improve Your Net Profit margin?

Whereas the average net margin for different sectors varies greatly, organizations can obtain a competitive edge in general by either growing revenue or cutting expenditures (or both).

Boosting sales, however, frequently entails spending more money to do so, which means increased expenditures. Cutting too many expenses can potentially lead to negative results, such as losing qualified staff, transferring to poorer materials, or other losses in quality. Cutting advertising costs may also impact sales. To minimize the cost of manufacturing without losing quality, the greatest choice for many organizations is expansion.

Average Order Value (AOV)

This has been explained under Average Order Value.

Conversion rate

This has been explained under Customer Conversion Rate.

Customer Retention Rate

This has been explained under Customer Retention Rate.

Shopping Cart Abandonment Rate

The shopping cart abandonment rate is a metric that is used in eCommerce to determine the percentage of potential buyers who place items in their virtual shopping carts but do not follow through with the purchase.

Why should You Calculate the shopping cart abandonment rate?

The reasons why businesses determine the shopping cart abandonment rate are as follows:

- To study the buying habits of your website visitors and consumers;

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- To study how intuitive and trustworthy your checkout experience is;
- To investigate the reasons why clients don't convert.

How to calculate the Shopping Cart Abandonment Rate?

SHOPPING CART ABANDONMENT RATE

$$\text{Abandonment Rate (\%)} = \frac{\text{Complete Purchases}}{\text{Shopping Carts Created}}$$

In order to calculate the Shopping Cart Abandonment Rate, divide the total number of completed transactions by the number of shopping carts created. To get the percentage, multiply by 100. In essence:

(Completed purchases / No. of Shopping carts) x 100 = Shopping Cart Abandonment Rate

How to reduce the shopping cart abandonment rate?

- **Make the checkout process fast and easy**
  Customer abandonment is more probable if the checkout procedure is time-consuming and confusing. Make sure your checkout procedure is no more than 3-5 steps long; the shorter, the better. In addition, avoid cramming too many fields onto a single stage. A progress indicator may also be used to alleviate

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clients' concerns and reassure them that the process is almost complete. Customers will have an easier time following along with the procedure if it is simplified.

- **Make modification easy**
  Customers should have as little difficulty as possible removing products from their shopping carts in the event that they inadvertently added the items or if they need to make modifications to the items in their carts. Customers should be able to edit the contents of their shopping carts in a number of ways, including the ability to remove, add, or delete things, change their delivery decision, and other options if you provide them. To further simplify the shopping experience for your customers, you might also facilitate a seamless transition for them from the shopping cart to the shop.

- **Show all hidden costs.**
  Extra costs are the key motivating factor for the abandonment of around half of all shopping carts. Finding out about extra costs at the checkout after a customer has already made their selections is one of the most frustrating things that can happen to a customer. As a business owner engaged in online commerce, you may demonstrate transparency and integrity about your pricing structure by displaying it upfront.

- **Provide free and fast delivery.**
  Customers have grown to assume that internet shops would provide free delivery of their products. In addition, the customer wants it done quickly. If you provide free delivery as well as shipping times of two days or less, or even the same day, your customers will quickly fill their shopping carts and complete the checkout process.

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- **Offer easy product returns and refunds**
  Customers will be more likely to buy from you if they can easily return products or get a refund. Make your return policy simple for your customers to understand. Additionally, offer a variety of refund options, such as credit to the customer's bank account or store credit. Additionally, make it simple for customers to find the return policy. Put it somewhere on the checkout page if you want to remove any lingering doubt.

Other things you can do include:

- Offer multiple payment options;
- Have a worldwide or just wide national/state coverage;
- Don’t force customers to sign up before they can make purchases;
- Add product reviews;
- Give customers the option of adding items to their wish lists;
- Optimize your page loading times;
- Offer customers who have abandoned their carts discounts to finish their order;
- Use ad retargeting;
- Send email reminders.

Add to Cart Conversion Rate

Add to Cart Rate is the proportion of website visitors who add at least a single product to their cart in a particular session.

How to calculate Add to Cart Conversion Rate?

To calculate your add-to-cart conversion rate, take the total

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number of sessions when someone puts an item in the cart and divide it by the total number of sessions.

Add to cart conversion rate = sessions when items were added to cart / total number of session

How to Improve Your add-to-cart Conversion rate?

- **Revenue produced per client:** Conduct an investigation into the amount of money brought in by each individual consumer that visited your establishment within the specified amount of time.

  View your top-selling items in terms of volume and income over a specified time period. You can then evaluate those products based on their placement, and other characteristics to understand why they are the best-selling products.

- **Sales volume and patterns:** Examine the amount of money brought in by sales over the course of the most recent month. You should keep track of daily patterns, compare them to your sales goals, and then take the appropriate steps to achieve those goals.

- **Trends in website traffic:** It is important to keep track of the number of new and returning visitors to your website, as well as the number of unique sessions that each of these users began.

Gross Merchandise Volume (GMV)

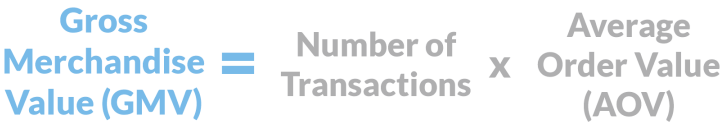
The gross merchandise value (GMV) is a statistic that the vast majority of online merchants make use of in order to figure out the sum of their sales that occurred during a certain period of time. GMV is calculated only based on the number of sales that are completed in conjunction with the price at which the product is offered for sale; it does not take into consideration any additional costs or fees.

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Why is GMV important?

GMV may be useful in estimating the gross value amount for various items, which enables a company to compare the performance of individual offers to the overall success of the company.

How to calculate GMV?



To calculate GMV, multiply the Average Order Value of customers by the number of transactions.

So in essence, if your business's AOV is $12 and the number of transactions is 40000, then your GMV is $480,000.

Influencer ROI

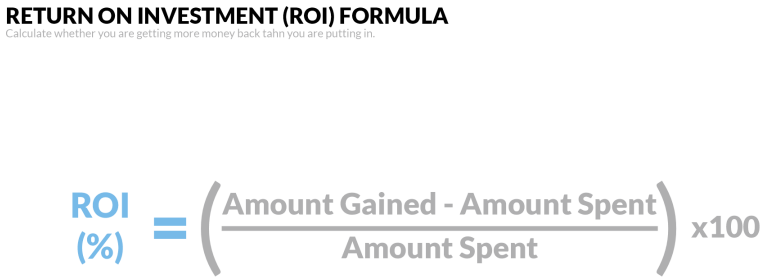
Influencer ROI is the return on investment a business makes from having paid an influencer to promote their brand. Influencer ROI has proven to be effective for many businesses, giving as much as $5.20 for every dollar spent. It's also about 11x more effective than banner advertising, which is why many businesses are beginning to rely on influencer marketing to improve sales, brand exposure, and

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traffic.

Return on Ad Spend (ROAS)
https://databox.com/ecommerce-kpis
This has been explained under Return on Ad Spend.

Return on Marketing Investment



An online marketing campaign's ROMI, which stands for return on marketing investment, is a metric that is used to determine how successful the campaign is. It is the difference between the amount that is invested in the project and the amount that is returned as a result of the project.

How to Calculate Return on Marketing Investment (ROMI)

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$$\text{ROMI (\%)} = \left(\frac{\text{Revenue - Marketing expenses}}{\text{Marketing expenses}} \right) \text{x100}$$

To calculate the Return on Marketing Investment, follow the procedure of first deducting the amount spent on marketing from the total amount returned by that company or product line, the remaining sum is then divided by the entire amount of marketing investment and multiplied by 100 to get the percentage.

ROMI = [(Amount returned - Amount invested) / Amount invested] x 100

For example, If the amount returned on a sales was $120,000 and the amount invested on the sales was $20,000, then the return on marketing investment (ROMI) is 500%, the ratio of revenue to cost being 5:1.

(($120000-$20000) / $20000) x 100 = 500%

Best Practices for Measuring Marketing ROI

- Keeping accurate records of the various components that go into the production of a campaign is essential in calculating the total production costs;
- The total costs incurred as a result of promotion should be included in the overall cost, if it is relevant to

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the situation;

- It is important to take into consideration the amount of time that was required to put together the materials for the marketing campaign;
- Also, It is pertinent to maintain track of non-monetary returns, such as increased participation on social media and visitors to your website. Given that this is the case, it's feasible that your company's profile is still being raised as a result of this;
- In order to find out whether your content is attracting people to your product's landing page or not, utilize a tracking URL.

What is a Good Marketing ROI?

According to the 5:1 ROI general principle, a return on investment (ROI) ratio of 10:1 is exceptional. A profit margin of less than 2:1 is considered unproductive, attributed to the fact that the production costs and distribution process sometimes result in a loss of money for enterprises.

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What Are the Challenges of Measuring Marketing ROI?

- Oversimplified marketing measurements: Several aspects must be considered when valuing a marketing venture. Marketers should have a stated sales standard. Weather, market conditions, and other events might affect a campaign's performance.

- The measurement technique requires a great deal of persistence and perseverance. Finding out whether a certain marketing plan was successful or not could take many weeks or even several months.

- Also, manually calculating the return on investment (ROI) for each marketing campaign involves both time and access to the financials of the organization

Why is Return on Marketing Investment Important?

- The value of a marketing activity can be determined by measuring its return on investment (ROI).

- **It helps to maintain a satisfactory level of financial stability within the marketing budget.**
  This is possible because calculating your return on investment (ROI) will assist you in determining how much money to put into your next creative endeavor. When you have all of the relevant data at your disposal, determining how much money to allocate to marketing is a simple matter of common sense.

- **It reorganizes your advertising strategy.**
  When you know what your return on investment (ROI) is, it is much easier to make business decisions. Using ROI, you may figure out which activities should receive the greatest share of your money based on data that is both exact and comprehensive.

- **It helps you to get started on a comparison of the**

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competitors.
Every marketer should strive to master the art of doing a competitive analysis.
If you're following a strategy that's similar to one of your competitors, you should be aware. Identify what sets it apart from the competition and why that matters, what they're doing now that they haven't done before, and how much money you'll need to invest before starting.
If your ROI is satisfactory, you will be able to see the situation objectively.

- **It contributes to enhancing the accuracy and precision of forecasts.**
To make an accurate projection of your company's future marketing success, you need to have a solid understanding of how things stand right now.
Protecting our right to market and ensuring a steady flow of traffic is made easier when we have a better grasp of what aspects of the market are successful and which ones are not.

Average Revenue Per Account (ARPA)
This has been explained under Average Revenue Per Account.

Bounce Rate
This has been explained under Bounce Rate.

Shopping cart abandonment rate
This has been explained under Shopping Cart Abandonment Rate.

Net Promoter Score (NPS)
This has been explained under Net Promoter Score.

Customer Health Score (CHS)

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This has been explained under Customer Health Score.

First Response Time

This has been explained under First Response Time.

Revenue Per Email (RPE)

Revenue Per Email is an important business metric that measures the amount of revenue generated by a company's email campaign. It does this by evaluating the conversion rate of emails and the revenue generated from each email sent.



Why is RPE Important?

Revenue Per Email is an important metric because it allows you to analyze your email traffic and revenue in order to understand which types of emails gain the attention of most customers. Using it also shows you whether your email marketing is performing as expected. If it isn't, this gives you a chance to correct whatever the problem may be.

In some aspects, it's a better indicator of revenue increase than ROI since most big companies can't really calculate the sum of all their expenses, which is a major requirement for calculating ROI. By monitoring RPE, they can understand the amount of revenue their email marketing efforts and

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investments bring in.

How to Calculate RPE?

To calculate RPE, subtract the cost of the email campaign from the revenue from the campaign, and divide the figure by the cost of the email campaign. Then multiply by 100.

$$\text{Revenue per email} = \left(\frac{\text{Sales from email - cost of email}}{\text{Cost of campaign}} \right) \text{x100}$$

How To Increase Your RPE?

- **Use triggered emails.**
  These are emails sent based on the actions of users. For example, if a user just signed up on your website, you can send them a welcome email. This can also be sent after signing up for your newsletter.

  These types of emails perform well because they were triggered by customers' actions and are relevant to their current stage in the lead life cycle.

  Another situation where this type of email is effective is when customers abandon their carts. You can remind them to come back and place their orders.

- **Personalized Emails**
  Personalized emails can also be sent to customers

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based on their behavior. For a more efficient way of sending personalized emails, you can segment users based on several criteria, like their spending, how often they visit your site, etc. By using personalized emails, you can get more conversions since these emails are relevant to your target recipients.

You can also use the method listed under Revenue Per Subscriber to increase RPE.

Revenue Per Subscriber (RPS)

Revenue Per Subscriber is a KPI that determines how much each email subscriber is worth to you, and also helps you determine how much you can afford to spend on attracting new subscribers.

Why is RPS important?

The revenue per subscriber is the email equivalent of the average revenue per user (ARPU), and it represents the amount of money that you produce for each email address that is included in your subscriber base. It is the most important metric, along with revenue per email, for measuring how successful an email marketing campaign has been.

Both point to the real impact that your organization is seeing as a result of the email marketing plan you've implemented. Ultimately, this impacts all of the actions you take in terms of growth marketing. If you are not generating a significant amount of money from your emails, you will need to invest more time and money into improving the quality of the emails that you send. You may perhaps decide to focus on an entirely different medium instead.

How to calculate RPS?

RPS is calculated by dividing the revenue from your emails by the total number of email subscribers you have.

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Your company made $50,000 in revenue via a marketing email campaign for a seasonal sale, and 6,300 individuals made a purchase through the campaign. Your revenue per subscriber was $7.94.

RPS = $50000 / 6,300 = $7.936.

$$\text{Revenue per Subscriber (RPS)} = \left(\frac{\text{Revenue from Email List}}{\text{Total Number of Subscribers}} \right) \text{x100}$$

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How To Improve Your RPS?

- **Segmentation.**
  Emails that are addressed to a certain group of individuals as opposed to everyone offer a higher return on investment for companies than emails that are sent to everyone.

- **Management of mailing lists**
  Proper management of your email list and cleaning it up allows you to get rid of people who signed up for it but are not likely to become clients or customers of your firm. This allows you to focus on those who are more likely to become clients or customers.

You can also use the method listed under Revenue Per Email to increase revenue per subscriber.

Pay-per-click (PPC)

Pay-per-click, sometimes known as PPC, is a model of online advertising in which advertisers are charged a fee each time one of their ads is clicked on by a potential customer. Simply said, it's a means to spend money on having people visit your website, rather than working to get them there organically through search engines.

Average Resolution Time

This has been explained under Average Resolution Time.

Basket size

The quantity of goods that a customer puts in their "basket" or "cart" throughout the course of a single shopping trip is referred to as their "basket size" or "cart size". If a consumer made a purchase from your online store consisting of two pairs of shoes and three shirts, for instance, the total number of items in their basket would be five (basket size).

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Why Basket Size Is Important?

- **Keeping track of inventory and supplies**
  It is important to pay attention to the size of the basket, since it gives information about the circulation of products around a company. If you keep track of the size of the basket over time, you will be able to calculate the number of items that are sold on a daily basis by comparing the total amount of money that is brought in on a daily basis to the size of the basket. This gives you an estimate of how much more you will need in order to refill your stock. Once you have a general idea of what goes into the shopping cart of a typical consumer, you will be able to determine how often it will be necessary to replenish your stock and buy new items.

- **Determine what variables influence sales.**
  You may be able to understand what variables impact a store's sales and profitability by looking at things like the size of the basket, for instance. If you monitor the size of the shopping baskets that consumers order, you should be able to determine whether they are purchasing more things or more costly ones. However, make it a point to investigate other KPIs for your company if the number of sales grows, but the average size of the basket does not change.

- **Analysis of the behavior of customers**
  Keeping track of the number of items that your clients purchase might also provide you with further information about them. You can determine which sorts of consumers purchase more things and what causes them to add more to their carts through this. For instance, if you implement a new interstitial ad, you can monitor how the contents of your customers' baskets change over time to determine whether it encouraged them to purchase more things or not.

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How to Calculate Basket Size?

To calculate basket size, divide the total number of items sold in a day, week, quarter, or month by the number of transactions in that same period.

You should remember these two things when calculating your basket size:

- Be sure to include each individual item so that bulk purchases of the same product may be accounted for in your calculations.
- To get a fair picture of how many products were sold, subtract the number of items returned from the total.

MARKETING KPI: AVERAGE BASKET SIZE

$$\text{Average Basket Size} = \frac{\text{Total units sold}}{\text{Numer of Transactions}}$$

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How to Increase Basket Size?

- **Sell products in bundles.**
  Customers may believe they are receiving more value from their purchases if they are provided with combinations of two or more things that are smartly arranged together. This is especially true when discounts are included in the packaged product price. By placing product bundles on product listing pages and checkout pages, consumers can find more of what they want easily and at lower prices, which is beneficial to them.

- **Make tailored suggestions**
  Through the customization of the products that customers view and interact with based on their search queries and the things they have already added to their basket, personalization may drive customers to make more purchases.

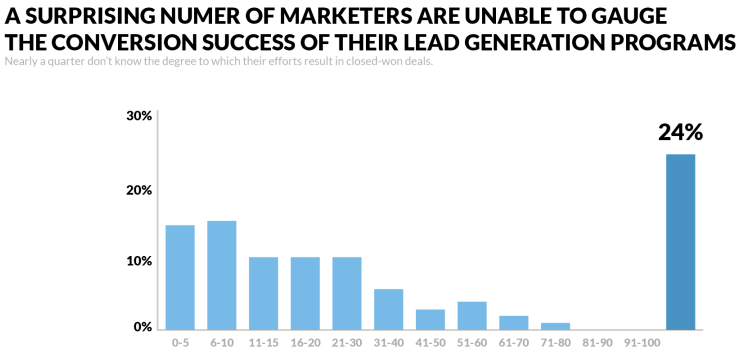
- **Make it easier to find new products.**
  If a consumer cannot find what they are searching for, they will not add any other items to the cart. Check to see that the results that are provided by your search bar, filters, and navigation buttons are in visible places and are as accurate as they can possibly be. In addition, you can keep clients engaged in your business by ensuring that they are aware of forthcoming product launches, seasonal deals, and other types of limited-time promotions. Make use of dynamic product groups, highlight relevant products in search results, and advertise special deals in order to encourage customers to increase the number of items in their basket and checkout.

You can also increase customers' basket size by upselling and cross-selling, and offering free delivery.

Lead Conversion Rate

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The Lead Conversion Rate is a statistic that gauges the ability of your team to successfully conclude sales transactions with potential customers or leads.



Why is Lead Conversion Rate important?

This has been explained under: Why is Lead-to-Customer Rate Important?

How to calculate Lead Conversion Rate?

To calculate the lead conversion rate, divide the total number of leads that were converted by the total number of leads, then multiply the figure by 100.

If your company received 100 leads and only 15 converted, you have a 15% conversion rate.

Lead Conversion Rate = 15 / 100 x 100 = 15%

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$$\text{Lead Conversion} = \left(\frac{\text{Total number of conversions}}{\text{Total number of leads}}\right) \text{x100}$$

What's a Good Lead Conversion Rate?

A conversion rate of 2-5% is considered average when assessing your conversion rates. More than 6% to 9% is regarded as above average. A successful result is regarded as one with a percentage higher than 10%.

How To Increase Your Lead Conversion Rate?

- **Obtain a large quantity of data about possible customers.**
  It will be easier for you to convince your leads to buy from you if you have as much information on them as possible.

- **Quickly respond to new leads as they become available.**
  You should make contact with your leads as soon as you get them. They might still be available to engage with you after a few minutes after you got them as leads. You will have an edge as a result of this in terms of reaching out to them and engaging with them. However, even if you are unable to follow up right away, you should still make an attempt to do so before the prospect loses interest, starts to assume that you

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are not bothered about them, or initiates contact with one of your industry rivals.

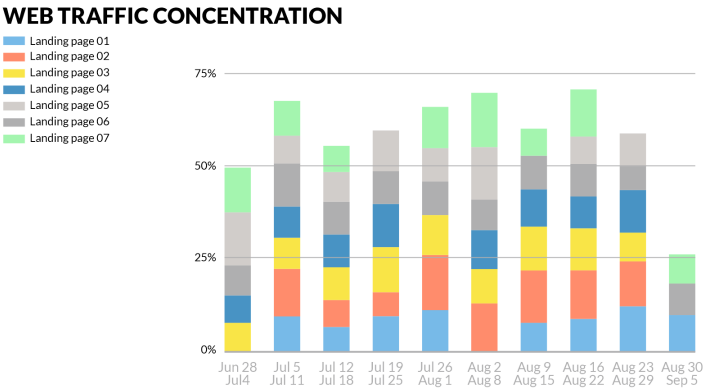
- **Maintain contact with leads who are not yet ready to buy.**
  When you initially start gathering leads, you will discover that a sizable proportion of those leads are not yet ready to make a purchase. This is something you should expect. As a result, the nurturing of leads is very necessary. Keeping your prospective clients engaged in your business and its offerings until they are either ready to make a purchase from you or have made the decision not to buy from you is an essential part of the sales process.

- **Segmentation.**
  When it comes to generating leads, there is no one strategy that is universally applicable. If you can segment your leads into groups with similar characteristics, it will be much simpler for you to funnel and filter the leads that you have. Because of this, your conversion rates will increase in direct proportion to the level of specificity and targeting that you apply to each of your segments.

Web Traffic Concentration

This metric makes a comparison between the amount of search traffic that one specific page on your site receives and the overall quantity of search traffic that your whole site receives.

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Why is Web Traffic Concentration important?

With the assistance of web traffic concentration, companies are able to ascertain which pages or sales funnels attract the most traffic and simply make adjustments to their online marketing efforts in order to maximize their return on investment.

How to calculate Web Traffic Concentration?

To calculate web traffic concentration, just take the number of visits to a single page and divide that figure by the total number of visits for your entire site.

Say a page on your website received 5,000 visits in the last week and your whole site received 35,000 visits. This would be the calculation for web traffic concentration:

Web Traffic Concentration = 5,000 / 25,000 = 0.2.

Making this a percentage by multiplying it by 100 would show that that single page received 20% of your site visits.

Dormancy Rate

This indicator calculates the proportion of customers who

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have not made use of your goods within a certain period of time. The dormancy rate is only concerned with clients who have not been in touch with your business for an extended period of time.

Why is Dormancy Rate important?

The Dormancy Rate will provide you and your team with information on the chances of losing customers. Because your product might not be useful to all of your customers, they might be less likely to make use of your products or services.

As a result of this, you will need to think of the most efficient methods possible to capture the attention of the people who are in your intended audience.

The most important aspects of your product should be able to satisfy the requirements, wishes, and anticipations of the people who buy it. In addition, in order to adequately promote your product or company to the demographic that you have identified as your target audience, you need to make use of an efficient marketing approach.

How to calculate Dormancy Rate?

To get the percentage of inactive customers, just divide the number of customers who are not currently using the service by the total number of customers. After that, multiply by 100.

(Number of inactive customers / total number of customers) x 100 = Dormancy Rate

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Customer Share by Category

The Customer Share by Category indicator educates your staff on the most efficient marketing tactics for your goods and services. Many businesses prioritize consumer share by category after doing market research to determine what their present clients are interested in.

Changing your marketing strategy, for example, if the bulk of your customers is from the insurance industry, may help you better engage with potential clients in that sector.

If a company can gauge the interests of its clientele, it will have a good understanding of how to promote the material it creates. If you choose, for instance, to promote engine oil when 65% of your users are more interested in vehicle interiors, then you are going to drive away a significant number of your current clients.

CUSTOMER SHARE BY CATEGORY

companu Size	Customer Share by Category
51-200 Employees	**257**
201-500 Employees	**257**
1-10 Employees	**244**
11-50 Employees	**242**

Why is Customer Share by Category important?

When you know your Customer Share by Category you can decide on what type of business your company should go into, and because your decision is based on what your customers are interested in, you will retain most of your customers.

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Along with that, Customer Share by Category provides you with information on where to focus your marketing efforts. Once you've discovered what most of your customers are interested in, you can redesign your ad campaigns to target more prospects from that industry.

How to calculate Customer Share by Category?

In order to calculate the Customer Share by Category statistic, you must first divide the total number of customers that fit into a certain category by the total number of customers that your company has. The final value should then be multiplied by 100.

Cost per Action (CPA)

The cost per action, often known as the cost per acquisition, is a key performance indicator (KPI) that calculates how much it costs an advertiser to get someone to do a certain action. This means cost-per-action advertising is a kind of marketing in which payment is made only when the specified action is carried out by a prospective customer.

WHAT IS COST PER ACTION (CPA)?

Cost per Action is a digital advertsing payment model where advertisers are charged only for a specified action taken by a prospective customer

Why is Cost per Action important?

- Marketers that utilize cost-per-action advertising

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campaigns are better able to keep their advertising expense budgets under control;

- As a result of the fact that advertising is paid for depending on actions taken, marketers can more efficiently track and optimize their return on investment across a variety of marketing channels;
- You can determine which of your marketing efforts are the most successful by tracking your CPA, which also ensures that your money is being spent on the most cost-effective platforms.

How to calculate Cost per Action?

To calculate CPA, divide the total cost of your ad campaign by the number of conversions.

CPA = Total Cost of Ads / Number of Conversions

In essence, if you spend $100,000 on CPA ads and get 25,000 conversions, your cost per action is $4.

How To Optimize Your Cost per Action?

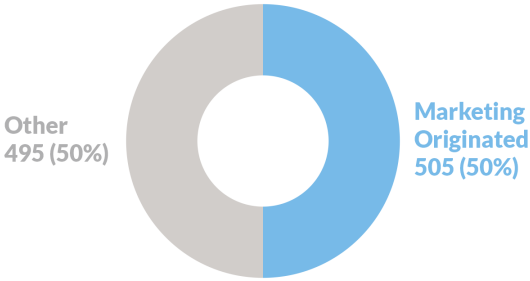
There are a few things you can do to optimize your cost per action, such as targeting the right audience, optimizing your landing pages, and using retargeting ads, which only target those who have previously visited your website.

Marketing Originated Customers

The Marketing Originated Customers aims to indicate how much of your company's recent development can be ascribed to the work of your marketing department by calculating the percentage of customers that came via marketing-related initiatives.

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MARKETING ORIGINATED CUSTOMERS



How to calculate Marketing Originated Customers?

To calculate Marketing Originated Customers, divide the number of customers who started their relationship with the firm as marketing leads during a given time period by the total number of new customers during that same time period. Then multiply by 100 to find the proportion that came in through marketing-related activities in comparison to other channels.

Say 140 new leads came as marketing leads and your business got 230 new leads for that time period. The following would be how to determine Marketing Originated Customers.

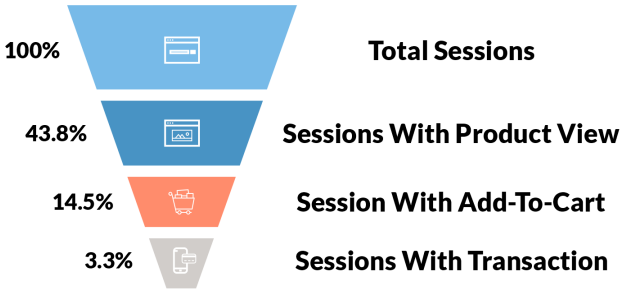
Marketing Originated Customers = 140 / 230 x 100 = 60.9%

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$$\text{Marketing Originated Customer Percentage} = \frac{\text{New customers from marketing leads}}{\text{Total new customers}}$$

Funnel Conversion Rate

A funnel conversion rate is a statistic that shows the percentage of people who have been persuaded to take a desired action by a call to action, converting them from potential customers to leads, leads to paying customers, and paying customers to recurring customers.



Why is Funnel Conversion Rate important?

The Funnel Conversion Rate indicator will help your team discover and measure how effective their efforts are in

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encouraging leads to achieve goals and go down the funnel until they reach the bottom.

How to Calculate Funnel Conversion Rate?



To calculate funnel conversion rate, divide the number of total conversions by the number of total leads that entered the funnel. In essence:

Funnel Conversion Rate = (Total Conversions / Total leads in the funnel) x 100.

What's a good funnel conversion rate?

A funnel conversion rate that is between 3.1-5% is considered to be successful. In all honesty, a success rate of anything greater than 2% is wonderful. On the other hand, the general average conversion rate of a funnel across the majority of industries is approximately 3%.

How To Increase Your Funnel Conversion rate?

- **Make sure your sales pages feature CTAs.**
  It's only half the job done if you can get people to visit

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your website and look at the pages about your services; you still need to figure out how to convert those site visitors into paying customers. Calls to action are extremely useful in situations like this.

Calls to action are concise instructions that provide site users with detailed information regarding the next steps they should take. The majority of the time, they take the shape of a button, or else they are denoted by text that is highlighted.

Calls to action may not appear to be very important, but studies have shown that they do play a big role in determining whether website visitors complete a purchase or not. By delivering the appropriate call to action (CTA), you can possibly persuade them to spend money on a product or service and direct them in the appropriate direction.

If you use a color scheme that is either extremely bright or extremely dark, the call-to-action buttons you use should stand out from the rest of the material you have created. Finally, take into account the language that you use in your calls to action (CTAs). Make use of action verbs such as "buy", "subscribe", and "call" to encourage site users to take some sort of step forward.

- **Develop content for educational purposes.**
  It will be much simpler for you to move people through your sales funnel if you make it a point to ensure that potential customers have a solid understanding of what it is that you are selling to them and how it could be of benefit to them. Consequently, you should give some thought to the production of helpful material with the sole intention of supporting your audience in making better purchasing selections.

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- **Create the simplest possible purchasing experience for customers.**
  You'll see a rise in conversions if it's easier for them to buy your products from you. Reducing the amount of friction your consumers experience when making a purchase is an easy way to boost your sales funnel conversion rates. Online customers prefer transactions that are simple and speedy.

- **Ensure that you're visible on the social media networks that your followers frequent.**
  The use of social media is one of the most efficient ways to keep your brand in front of the people who are most important to your business. If you are present on the social media platforms that are frequented by your target audience, the likelihood that a potential customer will go through the sales funnel and make a purchase from you will improve considerably.

  Utilizing the social media platforms that are most pertinent to your intended audience is essential if you wish to obtain the best possible results from your efforts.

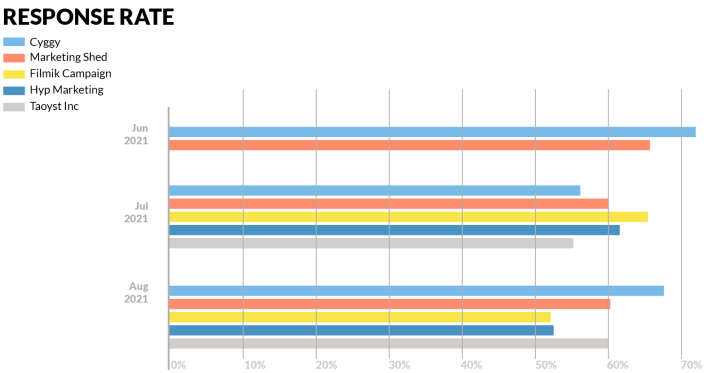
- **Follow up with clients who were previously close to converting into customers.**
  This is one of the most effective tactics for ensuring that customers go through your funnel and eventually convert into paying customers.
  There are several possible explanations for why your company's products or services were turned down. It is possible that their goals have shifted, that they have reevaluated their budget, or that they have just forgotten.

  If you have already had a conversation with a potential

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customer, it is time well spent to investigate whether there is anything you can do to sway their decision to make a purchase.

Response Rate



Response rate is the proportion of people who respond to a certain call to action, such as filling out a survey. Although it can be applied to any form of advertising, the term "response rate" is most commonly associated with surveys and email marketing.

Why is Response Rate important?

For marketers, tracking response rates is essential on a number of levels. This is because it makes it possible to calculate the rate at which surveys, emails, and advertisements lead to conversions — that is, turning a non-customer into a customer. This makes comparing campaigns that reach various audiences easier.

Depending on the precise call-to-action, the number of people who actually filled out a form to request information, or any other activity requiring a response, as well as local demographics, the offer's applicability to the target market,

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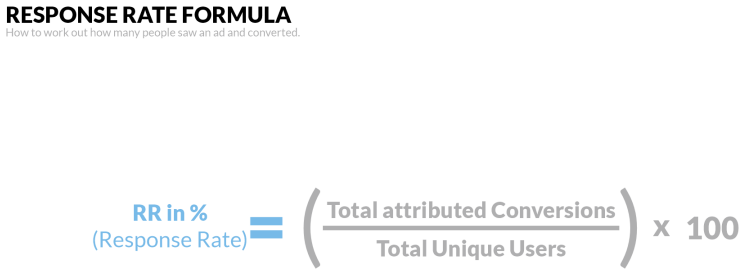
and how enticing the offer is, this measurement may differ.

The response rate is almost always a significant indicator that one should be aware of, even though the criteria mentioned above may suggest that a low response rate does not necessarily have anything to do with your activities. In addition to the overall quantity of responses, the quality of those responses is also of considerable importance. It would be undesirable to have a high response rate mainly composed of negative comments. Sometimes, a low response rate that produces positive results can be more important than the case described above.

Customers should be actively encouraged to take advantage of the products by those in marketing positions. Response rates that are too low can affect the results and supply advertisers with incorrect information by producing a biased sample. Consumer marketers should be aware of this potential risk. Any other factors leading to biased results should be avoided as thoroughly as possible.

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How to calculate Response Rate?



The response rate is calculated by dividing the number of users who responded to the offer by the total number of users who were exposed to it, and the result is frequently presented as a percentage of the total.

Response Rate = (Customers Responding / Customers Being Communicated With) x 100

If 150 surveys were sent out and 30 persons filled them out, the response rate would be 30/150 x 100 = 20%.

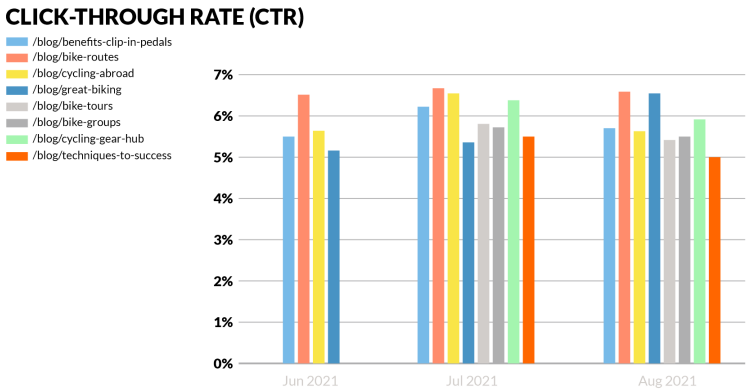
How Can You Improve Your Response Rate?

A poor response rate indicates that your audience isn't sufficiently interested in what you have to offer. You are aware that you need to find strategies to engage your audience more and enlist more people to be interested in what you are offering because they may leave or abandon your survey before finishing it. Be aware of your target market, maintain your connections current, send your survey in several different ways, and customize your invites and reminders.

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If you understand how the response rate for your organization works and take the right guidance from the aforementioned recommendations into consideration, you'll be ready to obtain the ideal answers from the right audience. If you strive for a high response rate of around 80%, your call to action will go as planned.

Click-Through Rate (CTR)



Click-through rate conversion, or CTR for short, refers to the percentage of users who visit a website after clicking on an advertisement or link to that page.

Why is Click-Through Rate important?

On a basic level, you can compare and contrast the success of different campaigns by utilizing the CTR, also known as the click-through rate, because the number of clicks received by advertising or link is not always a fair measure of its effectiveness.

How to Calculate Click-Through Rate?

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CLICK-THROUGH RATE (CTR) FORMULA

calculate howfrequently people click on an ad or link.

$$\text{CTR \%} \text{ (Click-Through Rate)} = \left(\frac{\text{Total Measured Clicks}}{\text{Total Measured Impressions}} \right) \times 100$$

The click-through rate can be calculated by taking the entire number of impressions and dividing that number by the total number of clicks, then multiplying that figure by 100.

Click-through rate = Number of impressions / Number of clicks x 100

Consider the following scenario: The overall number of clicks on your website is 86, but the total number of page views is 1,360.

CTR = (86/1360) x 100.
Click-through rate (CTR) is 6.32%

What is a good click-through rate?

Experts point out that there is no ideal CTR index because its proportion depends on the direction of your platform and the type of content. The following broad principles will help you assess if the CTR for your online business is high or low:

Most marketers believe that a 2% CTR is a reasonable goal for any advertising effort.
Some experts believe that a CTR of 4-5% is appropriate for digital companies.
Having a CTR of more than 10% indicates that the website

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being monitored is at risk.
As a surprise to many, Google's major reason for conducting a review of the digital platform was an abnormally high CTR. Search engines will keep a careful eye on your website's activities and may decide to block it altogether. As a result, even the most effective paid advertisement cannot give you a CTR of more than 10% if you follow the white hat principles of digital marketing.

How to Optimize Your Click-Through Rate?

- **Focus on Your Market**
  Placing your links in front of the appropriate audience is half the battle when it comes to increasing your click-through rate. These are those who are more likely to be interested in your message due to their individual requirements or hobbies.

- **Conduct keyword analysis.**
  This advice is relevant to both sponsored and unsponsored searches.
  Your CTR and traffic can be increased by the right keyword selection.
  Start by coming up with as many significant keywords as you can. Write out the keywords that you believe your ideal customer would use to find you.

- **Craft Catchy Subject Lines for Your Emails.**
  Unless they open your email, it will be impossible for them to click on your link. They will not open your email if the subject line does not pique their attention.
- **Ads should feature high-resolution images.**
  If you're using photographs in your advertising campaigns, make sure they're high-quality and visually appealing.

  Most people skip advertising, leaving you with a small amount of time to present your product or service to

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them. Show off your brand, logo, or message in a prominent location.

Don't overdo it with the text in your images. Having the right amount will encourage people to read them.

- **Make the link prominent.**
  The more attention-grabbing a link or CTA button is, the more likely it is to be clicked.

11. RETAIL SALES BUSINESS MODEL METRICS & KPIS

Sales per square foot

This has been explained under sales per square foot.

Sales per employee

This metric is self-explanatory: It is used to track sales completed by each of your employees. It is most beneficial for estimating how many employees will be working on the floor at any one moment and allows you to create an accurate budget for employee wages. Because of this, the ratio of a company's total sales to the number of employees might provide some insight into the operational costs of the business.

How to calculate Sales per employee?

To calculate sales per employee, divide net sales by the total number of employees a company has.

Company's Net Sales / Total Number of Employees = Sales Per Employee

Conversion rate

This has been explained under Customer Conversion Rate.

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Gross profit (GP)

The total amount of profit your business generates in a certain period is known as your "gross profit", and it is calculated after the cost of acquiring or manufacturing the products is deducted.

Gross Profit vs. Gross Profit Margin

Gross profit and gross profit margin are not the same thing, despite the fact that the phrases are sometimes used synonymously and have many similarities. The value of the gross profit is given in terms of money, whereas the gross profit margin is expressed as a percentage.

How Is Gross Profit Different From Net Profit?

Gross profit is a measurement that investors use to determine the amount of profit a company generates from the manufacturing and selling of its products “after deducting the costs of production” from its revenue. On the other hand, net profit refers to the amount of profit that is left over “after all of the expenditures and expenses” have been accounted for in revenue. This is the amount that was left over.

Why is Gross Profit important?

- The gross profit margin is a statistic that is often used to estimate the total viability of a particular product. It gives you an idea of how effectively you are putting the resources you have available to work in the production and distribution of the products and services you provide.
- Understanding your margins gives you the ability to react quickly and make choices that are beneficial to the expansion and sustainability of your company. If your company's gross profit goes down, this often

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means that your costs have gone up. As a result, you should evaluate your company's cash flow and make any required adjustments. A rise, on the other hand, can indicate the beginning of a pattern that calls for further investment and expenditure.

How to calculate Gross Profit?



To calculate gross profit, subtract COGS (cost of goods sold) from your total revenue. In essence, if your COGS is $60,000 and your revenue is $85,000, your gross profit is $25,000.

Gross Profit = 85,000 - $60,000 = $25,000.

Gross profit margin

The gross profit margin is a metric used to calculate the percentage of revenue left after deducting the cost of goods sold from the revenue generated by those products. It doesn't account for overhead costs, payroll, and marketing costs.

Gross Profit Margin versus Markup

Due to the fact that both gross profit margin and markup use

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the same input variables in their respective calculations, it is easy to have these two concepts confused with one another.

However, while gross profit margin divides gross profit by the total revenue, markup divides gross profit by COGS.

For example, if your gross profit is $25,000, your COGS is $60,000, and your total revenue is $85,000, this would be the calculation for the two:

Gross Profit Margin = ($25,000 / $85,000) x 100 = 29%
Markup = ($25,000 / $60,000) x 100 = 41.6%

Why is Gross profit margin important?

When it comes to the process of establishing a healthy net profit, one of the most important components is having a significant gross profit margin. If your gross profit margin is already high, raising your operating profit margin and your net profit margin will be much simpler for you. If the gross profit margin of a young business is sufficiently high, it will be considerably less difficult for that company to achieve financial stability and start turning a profit.

How to calculate Gross profit margin?

$$\text{Gross Profit Margin} = \left(\frac{\text{Revenue - Cost of Goods Sold}}{\text{Revenue}}\right) \times 100$$

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To get the gross profit margin, subtract the cost of goods sold from the total revenue. Once you have that number, multiply it by 100.

Gross Profit Margin = ((Revenue - COGS) / Revenue) x 100

What Is a "Good" Gross Profit Margin?

Every company's first objective should be to increase its gross profit margin. A high gross profit margin not only increases net income, but it also frees up capital that may be spent on longer-term growth initiatives like research and development (R&D).

The perception of what constitutes a good gross profit margin varies depending on the industry in which a business operates. According to a study, the average gross profit margin is about 36%.

Individually, though, things vary substantially. The semiconductor business has a far larger gross profit margin than the trucking industry, with a margin of 56% vs. 23%. In farming and agribusiness, the average gross profit margin is about 11%. In the advertising industry, the average is 26%, while it is 47.90% in education. Other sorts of businesses, such as those in the service industry, the legal community, or the financial sector, may consider a gross profit margin of 50% to be insufficient.

How To Increase Your Gross profit margin?

- **Increase profit by increasing prices.**
  Although raising the price of the product or service is the easiest answer, it is not necessarily the most effective. This is especially the case for businesses that operate in highly competitive markets or have low-profit margins. This is because there is very little

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room for error, given that it has the potential to put your company out of business.

- **Improve business operations.**
  If you are unable to pass on the additional expenses to your consumers, you will need to discover ways to improve the efficiency of your company's operations in order to remain competitive. This may be done by either decreasing the amount of money spent on labor or increasing the amount of money spent on automation.

Net profit
This has been explained under Net Profit.

Average order value
This has been explained under Average Order Value.

Basket size
This has been explained under Basket Size.

Year-over-year growth
Year-over-year growth contrasts the performance statistics of a period in the past year with the performance of the current year over the same time period. For example, to find out your year-over-year growth, you can compare your performance in May 2021 to your performance in May 2022.

Why is year-over-year growth important?

- **It isn't affected by seasonal fluctuations.**
  In order to keep track of their development, some businesses decide to evaluate their most recent results in relation to those of the month or quarter that came before it. However, this approach could not be beneficial for certain businesses that are affected by

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seasonal fluctuations. The year-over-year growth metric compares a business's statistics from the current season to those from the previous year's equivalent season.

- **Makes company growth data easier to evaluate and understand.**
  It might be difficult to determine how stable a business is just based on how well it fared during its off-season, since the revenue of a company can change from month to month. This metric makes the statistics of growth from one year to the next easier to comprehend, which in turn gives investors the impression that the data is more reliable.

- **Helps determine changes you can make for better results.**
  Year-over-year growth statistics for your company may shed light on the effects of a number of distinct factors that contribute to your organization's success. This will make it simpler for you to understand what works and what specific changes you should make in response.

How to Calculate Year-Over-Year Growth?

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YOY GROWTH



To calculate year-over-year growth, choose a certain period from the past year and gather performance numbers for that period in the preceding year and current year. Subtract last year's data from this year's, then divide by last year's performance numbers. Once you have the figure, multiply it by 100.

((This year - Last Year) / Last Year) x 100 = Year-over-year Growth.

If you sold 2,000 units of your product in May 2021 and sold 6,000 in the same period in 2022, this would be the calculation for your company's YOY Growth:

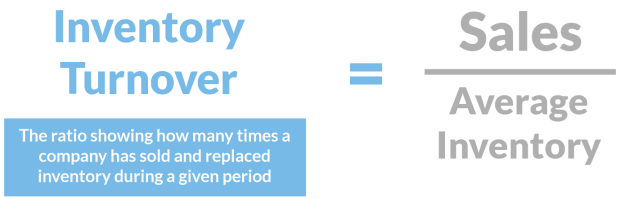
((6000 - 2000) / 2000) x 100 = 200%

This would mean your company grew its sales by 200% of last year's sales.

Inventory turnover

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WHAT IS INVENTORY TURNOVER?



Inventory turnover is a ratio that represents the number of times a company has sold its inventory and subsequently replaced it over the course of a certain time period.

Inventory Turnover vs. Days Sales of Inventory

While inventory turnover represents the number of times a company has sold its inventory and subsequently replaced it over the course of a certain time period, days sales of inventory shows how long it takes a company to sell its inventory, or how long it takes to turn inventory into revenue.

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Why is Inventory Turnover important?

- How fast inventory sells, how effectively it satisfies market demand, and what other things in its class category are selling are all important factors to consider when evaluating the efficiency of a firm. Because the turnover of an organization's inventory is the primary source of revenue for most companies, this metric is the primary one that companies use to evaluate the effectiveness of their offerings.

- Higher stock turns are preferable since they show the marketability of the product and decrease holding charges. These holding expenses include rent, utilities, insurance, theft, and any other costs associated with keeping things in inventory.

- One further reason for looking at a company's inventory turnover rate is so that it may be compared to that of other businesses operating in the same sector. A company's operational efficiency may be evaluated based on whether its inventory turnover meets or exceeds the norms established for its industry.

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How to calculate Inventory Turnover?

$$\text{Inventory Turnover Ratio} = \frac{\text{Cost of Goods Sold}}{\text{Average Inventories}}$$

If the annual average inventory of a company is $1,200,000 and its COGS is $6,000,000, then its inventory turnover ratio would be 5. This means the company sells off and replaces its inventory 5 times a year.

Inventory Turnover Ratio = $6,000,000 / $1,200,000 = 5.

Average Inventory: If a company's inventory at the beginning of a period costs $1,500,000 and after one inventory turnover costs $900,000, that would mean their average inventory is $1,200,000.

$1,500,000 + $900,000 / 2 = $1,200,000

Average inventories are calculated based on frequencies, just like normal arithmetic averages.

What Is a Good Inventory Turnover?

Depending on the sector, different inventory turnover rates will be considered "good". Generally speaking, industries that

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sell relatively affordable goods will have greater inventory turnover rates, whereas those that stock more expensive goods will have lower inventory turnover rates.

The ideal inventory turnover ratio for merchants is between two and six, although no two businesses or circumstances are ever the same. Your restocking and sales rates should be in equilibrium, if your inventory turnover ratio falls within this range. To fulfill demand, you will have just the correct amount of inventory, neither too little nor too much.

How To Improve Your Inventory Turnover?

- **To increase revenue and improve customer satisfaction.**
  In today's market, the customer experience is the single most important differentiating factor between one company and another. According to a number of studies, businesses that give superior customer service have consistent revenues that are around six times higher than those of their competitors, who only offer mediocre service. Therefore, if you want to increase annual sales, improving the customer experience is an excellent way to begin.

- **Implement just-in-time inventory management to increase the amount of product that is sold from existing stock.**
  Just in time (JIT) entails placing orders for products, keeping them, putting them together, and/or producing them in order to fulfill requests only at the times when it is absolutely necessary. The Just-In-Time methodology expedites the delivery of orders to customers while simultaneously reducing the amount of money spent on storing inventory. When you employ the JIT approach, you do not maintain a safety stock. With less inventory in your warehouse at any given time, you should expect higher stock turnover as

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a result.

- **Consider the changing of the seasons.**
  Certain holidays can cause a spike in demand for many businesses. You may, and should, adjust your stock levels to preserve a good inventory turnover ratio at all times of the year. Increase inventories (and the number of workers needed to create or assemble the products) as needed, and decrease supplies as needed by implementing capacity planning strategies (and workforce).

  Demand for your goods can help you enhance your inventory turnover ratio, which may seem self-evident. Although it is important to say, the foundation of any successful firm is still worth discussing. In addition, while "increase sales" is an easy idea on paper, putting it into action is much, much more difficult.

- **Successful Marketing**
  Improving your inventory turnover requires having a strong marketing plan. You might concentrate on underperforming products and connect with elusive clients. You may increase sales and hence enhance your inventory turnover rate by pursuing new markets and utilizing all available marketing channels. The use of social media, SEO, paid advertising, content marketing, and email marketing may all be very successful strategies for attracting new clients and retaining existing ones.

- **Minimizing the possibility of product returns**
  Product returns have a big influence on your inventory as well as your earnings. For goods companies, returns and exchanges will always happen, but that doesn't imply there isn't anything you can do to reduce

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how often they do.

- Ensure that your products have thorough documentation. When describing your products, be truthful;
- Make sure there is no transport-related damage to your goods;
- There should be a track notification available.

- **Promote Old Stock Sales**
  Your inventory may become weighed down by unused, old products with little demand. Avoid such circumstances at all costs, but if you find yourself in one, provide special discounts and promotions to help move the outdated inventory out quickly. Launching a targeted marketing strategy to move out-of-date inventory is another significant option to think about.

- **Discuss purchase rates regularly.**
  It's possible to increase your profit margins by placing wise orders, so make sure to bargain for a better price. Distributors and suppliers frequently provide better discounts and lower rates to their regular clients, so, if you order frequently from them, even in small quantities, you might be able to negotiate lower prices.

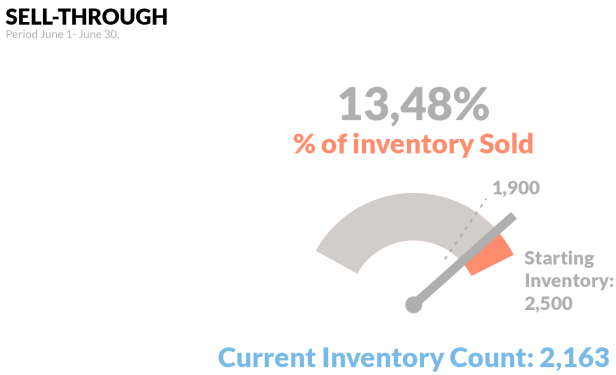
- **Smart Pricing Technique**
  Pricing can be challenging, especially if you're selling a variety of goods internationally. Simply said, not all of your things can be priced using the same approach at all times. Instead, think about employing a variety of pricing techniques based on different variables, such as seasonal pricing, free shipping, volume discounts, and so on.

- **Accelerate Shipping**

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Fast and dependable shipping can increase sales for an online business. Customers who order products online and then have to wait weeks for them to arrive damaged are likely to never order from you again and may even leave nasty reviews that could hurt your future sales by scaring off potential customers. Fast and secure shipment is therefore essential for effectively clearing out your inventory.

Sell-Through Rate



The sell-through rate (STR) is the ratio of goods sold to goods purchased from your manufacturer(s) over the course of a month (or another time period).

Your STR is a strategy for measuring the overall health of your business that entails comparing your monthly sales to a predetermined objective. Monitoring your STR helps you to keep track of your sales, adjust your targets as needed, and ensure the supply chain runs smoothly.

Examining the sell-through rate is one of the ways in which you may track the effectiveness of your supply chain. Because of the proliferation of online shopping platforms such as eBay, Amazon, and Shopify, this is an essential

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strategy for traditional stores that sell their products in person.

A high sell-through rate should be your primary objective here. Every item you have in stock is a cost to your business that takes money away from other, perhaps more profitable investments. You will need to investigate the factors that are contributing to your poor sell-through rate. While the sell-through rate is not a good indicator that something is wrong, it is a great sign that something is awry.

How to Calculate the Sell-Through Rate

To determine your sell-through rate, you will need two sets of data: the total quantity of stock that was available for sale during the month and the actual quantity that was sold during that month.

SELL-THROUGH RATE FORMULA

$$\text{STR in \%} \text{ (Sell-Through Rate)} = \left(\frac{\text{Number of Units Sold}}{\text{Number of Units Received}} \right) \times 100$$

To calculate the sell-through rate, divide the number of goods sold by the number of goods received from the manufacturer, then multiply by 100.

Sell-Through Rate = Goods Sold / Goods Received.

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Why is the sell-through rate important?

- Your STR is an excellent tool that may assist you in determining which commodities are now experiencing the greatest levels of demand. Based on this information, inventory can be optimized and a more accurate evaluation of customer demand can be made.

- If your sell-through rate is low, you may be overstocking and retaining more products than you need at any given moment. You may be able to reduce your storage expenses with the help of your STR.

- Keeping an excessive quantity of inventory can be costly, especially when it comes to purchasing things that will soon become outdated or are out of season, such as canned foods, frozen dinners, and clothing items. Furthermore, storing unsold items takes up valuable storage space that might be utilized to keep things that are more likely to be purchased by your company's customers.

- Many different retailers attempt to compensate for supply delays by over-ordering, and, as a consequence, they overstock before they even know which goods will be in the most demand at any particular moment. You can use your STR to get a clear understanding of what is hot in sales so that you can communicate with your suppliers and stock up on items that are doing well.

- With the help of your STR, you will be able to keep track of your monthly earnings and uncover new ways to enhance sales from a number of sources. Your retail company's performance can be examined from every angle conceivable when seen through the prism of

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STR's ability to measure sales.

How to Increase Your Sell-Through Rate

- If you see a downward trend in the pace at which you can sell your goods, you may want to consider lowering the quantity of inventory you have on hand. If sales are not reaching your goals, you may decide to discontinue selling some goods or completely replace them.

- If you're selling your products at full price, but sales aren't moving as quickly as you'd like, the problem might be the quantity of inventory you bought. It makes perfect sense to reduce the price of current items in order to make room for new supplies.

  Take note that, although this may seem to be an appealing approach for generating sales, doing it will diminish your profit margins. Keep your break-even point in mind at all times while running discounts and promotions, and only use discounts and promotions on very rare occasions.

- Stores often use product bundles as a means of up-selling, cross-selling, and convincing consumers to purchase more items.

  This is a wonderful approach to selling things that are moving slowly as well as additional stock, which is particularly useful if your products have a short shelf life or if they are out of season.

- Growing the number of people who shop at your store may lead to an improvement in the sell-through rate that is attained there. Because you need to get more people to know about your retail business, you should consider a wide variety of different marketing strategies.

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To attract new customers, you may want to investigate the possibility of collaborating with large shops on programs that promote your brand and the products you sell. These approaches might include remarketing efforts that are centered on a certain brand or product, commercials, or posts and stories on Instagram.

Inventory Shrinkage

Inventory shrinkage is a situation in which actual inventory levels are lower than expected. Products are vanishing before they can even be sold, and there must be a reason for this. Retailers aren't the only ones bothered by lost merchandise. It happens across the supply chain, starting with the production process and extending all the way to the end.

How to Calculate Inventory Shrinkage?

To calculate inventory shortage, subtract the actual inventory from the quantity of inventory recorded, then divide by the recorded inventory.

If you recorded 300 products from your suppliers and only counted 240, then your inventory shortage would be:

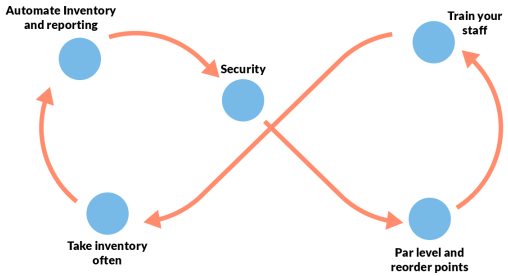
Inventory Shortage = 300 - 240 / 300 = 0.2, or 20% when multiplied by 100.

How to Control Inventory Shrinkage?

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INVENTORY SHRINKAGE

How to reduce ?



- **Security**
  Monitoring devices, such as ink-blot tags in clothes shops and magnetic scanners in electronics stores, may aid in the prevention and detection of theft both inside and outside a business.

  When conventional identifying techniques, such as ink or magnetic tags, are impractical, video surveillance systems may be quite useful.

  You could also hire loss prevention personnel. However, while they're nice to have, they're not absolutely necessary unless they're worth it.

- **Par Levels**
  A "par level" is the quantity of inventory that must be maintained on hand between shipments to ensure that the company can satisfy the needs of its customers. You may limit the chance of things going stale before their use-by date by appropriately configuring your inventory's par levels. Furthermore, you'll have additional shelf space for other goods that might, possibly, bring in more money.

- **Train Your Staff.**

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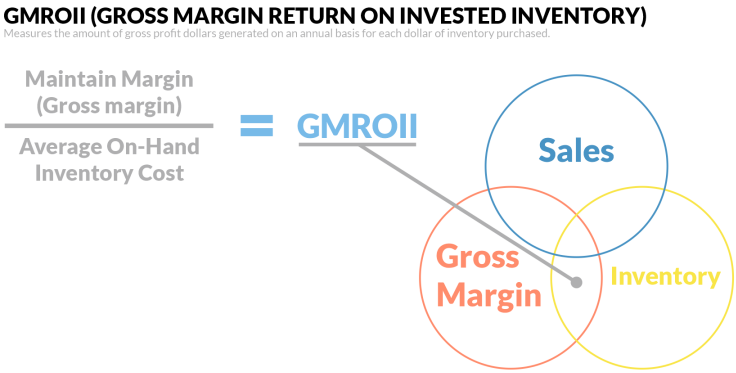
Shrinkage may be significantly reduced when all employees follow the same set of standard operating procedures. As a result, the company's earnings will rise. Every member of the team must understand the inventory flow and how they can contribute most effectively to it. This often requires training employees on how to use inventory management systems, as well as how the program's insights and analyses might be used in different situations.

- **Increase the frequency at which you take inventory.** The frequency with which you conduct inventory counts is an important factor in determining how to stop shrinkage loss. You should preferably take stock of everything once a week. Once a month is an appropriate frequency. Any longer than that, and you increase your chances of experiencing the negative effects of shrinkage.

- **Automate your inventory processes.** If you make errors when hand-counting your inventory, the rate of shrinkage will rise. Before you can take further action regarding shrinkage, you must first get accurate data. You can ensure the accuracy of your data by automating your inventory count. Some good inventory management programs you can use to automate your counts include EZOfficeInventory, TopShelf Inventory Management, BlueCart, SIMMS Inventory Management, etc.

Gross margin return on investment (GMROI)

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Gross Margin Return On Investment (GMROI) is a ratio that can be used to determine whether a business is making money off of its inventory or not. This ratio reflects a company's ability to turn its inventory into cash at a rate that is greater than the cost of the inventory.

What Is a Good GMROI in Retail?

If your GMROI is more than one dollar, this implies that you are profiting from your inventory. However, it is likely that this profit will not be sufficient to cover all of your company's expenses. As a result, even if the GMROI is positive, it is possible that it is not high enough to save the business from failing.

Because each business is unique, management may find it difficult to compute an accurate GMROI. This is owing to the fact that the average GMROI may differ quite a bit depending on the kind of company and market share.

Therefore, a "good" gross margin return on investment will be determined by the degree of control that merchants have over both expenses and prices (GMROI).

The gross margin return on investment will be lower for

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merchants that work with suppliers who dictate costs, as well as those who operate in hypercompetitive industries. The gross margin return on investment (GMROI) of specialized stores that create their own products will be greater.

How to Calculate the Gross Margin Return on Investment (GMROI)

To calculate GMROI, divide gross margin (revenue - COGS) by average inventory cost.

Gross margin / Average Inventory Cost = GMROI



Why is GMROI Important?

Because of GMROI, retailers can better assess the amount of money they gain for each dollar they spend. As a result, the fact that the inventory isn't selling well indicates that their product pricing may be too high. However, lowering the price may result in a decrease in the gross margin earned by the company.

How to Increase Gross Margin Return on Investment?

- **Reduce Inventory Cost**

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- Make an accurate forecast of your true demand by taking into account historical data, seasonal patterns, shifting dynamics in the competitive environment, and any other factors that influence the likelihood that customers will patronize your company.

- Use data from the past to help you build a more effective plan for purchasing new things. Maintain a keen awareness not just of the things you acquire, but also of the times at which you do so. If you buy inventory too far in advance and fail to take into account future demand, you run the risk of ending up with unsold goods (also known as "dead inventory").

- Any products that are unsalable should be disposed of as quickly as possible or utilized as a tax write-off. Write-offs are possible in the event that deadstock is merged with moving products, returned (assuming that this is something that is approved by your agreement with the supplier), or donated to a charity organization.

- **Optimize Your Prices**
  Altering the prices might potentially provide some challenging obstacles. It may seem that raising prices is an easy method for boosting sales and gross margin return on investment (GMROI), but this is not always the case in all circumstances. This is because high prices can cause customers to move on to your competitors for the same products.

  It is a good idea to do an analysis of the market data before making any changes to your rates. This will allow you to search for key points in the market that, if

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they were to be reached, would cause you to go out of business.

Foot traffic

The quantity of income generated by enterprises is determined by foot traffic. However, attracting new customers to your conventional storefront site is a continuous challenge. While this challenge is inconvenient, increased foot traffic leads to an increase in the quantity of money you take in. Along with that, meeting with customers face-to-face is also an excellent way of not just developing rapport, but also winning their trust.

What is foot traffic in retail?

The term "foot traffic" is often used in the retail industry to refer to the number of customers who enter a business storefront. While a number of different variables, the location of your shop being the most important of them, may have an effect on the amount of foot traffic that you get, more customers almost always result in an increase in revenue.

Why is tracking foot traffic important?

The use of foot traffic analysis is something that a lot of businesses are turning to in order to enhance their internal processes and understand more about their customer base. One of the most significant benefits is the possibility of improving staffing schedules. This enables businesses to schedule more workers during busy times and to organize inventory duties during less hectic times. The analysis of foot traffic is also helpful in determining how factors such as the climate and the activities of the community could have an effect on marketing efforts.

How do you measure foot traffic?

Finding an accurate way to count foot traffic is a significant

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challenge for retail establishments. What you want to achieve with the data that you collect will have a strong influence on how you go about monitoring the amount of foot traffic.

For the purpose of determining the amount of foot traffic, it is not necessary to stand at the door and manually count each person as they enter the building.

Utilizing electronic people counters and software designed specifically for monitoring foot traffic enables you to keep track of the flow of customers through your retail establishment in real-time. When you automate the process of counting individuals, you not only get more accurate data and conversion rates, but you also free the time of your staff so that they can concentrate on activities that are beneficial to you and your customers rather than spending their time hand-counting visitors.

How to increase foot traffic?

A strong online presence is an essential need for every company, but it is increasingly important for businesses that operate out of traditional storefronts.

When it comes to establishing a name for a shop and gaining a positive reputation in the community that surrounds it, having a robust online presence on social media and a business listing on websites such as Yelp, Google My Business, and Apple Maps work hand in hand with one another. These websites are examples of those that work hand in hand in helping customers find your business. It is crucial that your company be able to be discovered quickly and easily, due to the fact that close to two-thirds of all local searches result in a click on either "Get Directions" or "Click to Call".

Putting on events and activities within the shop might be another successful strategy for attracting consumers. If a

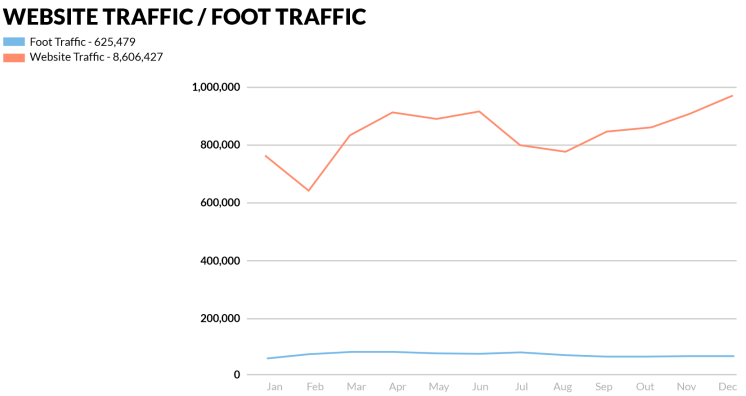
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company provides free product samples or demos, in-store classes, or other types of activities, they may entice more customers to visit their retail location, some of whom may even stay to make a purchase.

Retention

In the retail business, "customer retention" refers to a company's ability to both gain new customers and keep existing ones as loyal patrons. You want customers who are loyal to your brand, who purchase from you often, who are happy with your products, and who enthusiastically tell their friends about your business, rather than customers who just buy from you once.

Foot traffic and digital traffic



In the retail industry, key performance indicators (KPIs) like website and foot traffic are very important for determining whether your promotional activities have resulted in a positive commercial outcome or not.

Individuals who enter your business storefront are measured by foot traffic, whereas website traffic measures people who see your site. When it comes to the offline world, whether you've been successful or not will be determined by how

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interesting your storefront display or advertising effort is. When it comes to advertising on the internet, spending money on advertisements is the key to acquiring customers. After the campaign is over, you will need to look at the final numbers to determine whether your efforts were worthwhile or not.

Same-store sales
This has been explained under Same-store sales.

12. DISTRIBUTION-BASED BUSINESS MODEL METRICS & KPIS

In the distribution sector, a key performance indicator, also known as a KPI or metric, is a statistic that a firm uses to analyze the success of its operations. These metrics help businesses determine which portions of their operations are successful and which need to be improved by assisting them to track certain quantifiable components of their businesses in order to reach this conclusion.

Put Away Cycle Time
After they have been delivered, the products are put away in storage. With the help of this key performance indicator (KPI), you will be able to determine the typical amount of time required to shelve items at the distribution center. This process might be made more effective by, among other things, reorganizing the warehouse, improving the training of the workers, or using an automation system for this process.

Order Lead Time
Order lead time calculates the time it will take for orders to reach customers. After an order has been placed, the amount of time it takes to fulfill that order and send it to the client is calculated. Customers like having access to this information

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because it helps them to better organize their schedules.

Perfect Order Rate

While nothing is ever perfect, distribution facilities continue to strive toward perfection. The total number of orders sent out from the distribution center and finished without mistake is monitored by the Perfect Order Rate KPI. Since the introduction of fully automated storage facilities, there has been a general trend toward increased usage of this distribution metric across the industry. Below is the formula for finding Perfect Order Rate:

(Percentage of Orders Delivered on Time) x (Percentage of Completed Orders) x (Percentage of Orders Damage Free) x (Percentage of Orders with Accurate Documentation) x 100 = Perfect Order Rate.

Back Order Rate

The Back Order Rate determines the total number of orders that were unable to be fulfilled at the time of the original purchase.

It is OK to have periodic back order increases, since they can be brought on by unforeseen situations that lead to an increase in customer demand. A rate that is continuously high, on the other hand, may be an indication of poor planning or inefficient handling of stocks.

If you consistently have a high back order rate, you will eventually lose customers, since you will have to make them wait while you work to fulfill their orders.

How to calculate Back Order Rate?

To calculate the back order rate, divide the number of unfulfilled orders by the total number of orders, then multiply by 100. In essence:

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Number of unfulfilled orders / Total Number of Order x 100 = Back Order Rate

If you had a total of 500 orders in a month and 40 were unfulfilled, your back order rate would be 0.08 or 8%.

Lost Sales

This metric helps distribution companies determine the number of sales because of customers that decide not to use their services anymore.

There are numerous instances in which a potential customer may ask for a price quote from your company, but they will ultimately decide not to use your services. By monitoring this metric, your company will have a better understanding of what modifications, if any, need to be made with regard to price, customer service, customer experience, or delivery time.

How to calculate Lost Sales?

To calculate lost sales, divide the number of sales completed by the total number of quotes, then subtract your result from 1. To make it a percentage, multiply by 100.

(1 - (Number of sales / Number of quotes)) x 100 = Lost Sales

If you received 764 quotation requests in a month and only completed 735 sales, your lost sales would be 3.79%.

Picking and Packing Cost

This distribution indicator computes the total amount of money that a firm spends in the warehouse or order line carrying out operations such as the labeling and packing of products, as well as other related tasks.

There is a cost associated with every single facet of operating a business. The majority of businesses partition their

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expenditures over a wide variety of categories, including labor, assets, fixed costs, and so on. The costs associated with picking and packaging, on the other hand, are considered variable expenses within the distribution industry and can be regulated.

Even though picking and packing are more time-consuming and expensive than other business operations, these activities should never be undermined since they are critical to a company's success owing to the direct impact they have on a customer's degree of satisfaction with the service they get.

Picking Accuracy

This key performance indicator determines the percentage of orders that are picked and packed correctly without making any mistakes at any point throughout the process.

Assessing the correctness of order picking should also be done in addition to monitoring the order lead time. This is due to the fact that incorrect orders might result in the goods being sent back, longer delivery times, a greater return rate, as well as a variety of other issues.

How to calculate Picking Accuracy?

To calculate picking accuracy, divide the number of accurately picked orders (perfect order rate) by the total number of orders, then multiply by 100.

(number of accurately picked orders / total number of orders) x 100 = Picking Accuracy

Receiving Cycle Time

Receiving cycle time is a metric used to estimate the average time it will take to process incoming inventory. This includes recording it, classifying it, and finally storing it.

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When the inventory is received, the distribution process begins. As a consequence, it is critical to ensure that high levels of effectiveness are maintained at the beginning of the process. Bottlenecks in reception will eventually cause issues in other phases of the distribution process as well.

How to calculate Receiving Cycle Time?

To calculate receiving cycle time, divide the amount of time it takes to process received stock by the number of items received.

Time it takes to process received stock / number of items received = Receiving Cycle Time

Returns Due to Improper Shipment

This distribution KPI represents, as a percentage of the total number of items shipped, the total number of items returned as a result of improper products. Hence, your objective should be to attain as low of a number as possible for it.

Labor and Equipment Utilization

This metric measures the utilization rate of company workers and equipment.

If you make use of this indicator, you will be able to obtain a good idea of how well the staff at your distribution center and the equipment that it employs are being put to use in order to fulfill their duties. When a distribution company allows its staff and equipment to stay inactive for extended periods of time, the company's finances are at risk of suffering considerable losses.

A warehouse's equipment utilization rate may be negatively impacted by a variety of issues, including outdated or badly maintained warehouse infrastructure, insufficient sales forecasting, and inefficient use of warehouse resources. If this KPI has a low value, it may indicate that the firm is

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squandering money on needless equipment, that the warehouse does not have enough personnel, or that the organization is struggling with wholesale or retail sales and/or customer retention.

How to calculate Labor and Equipment Utilization?

To calculate labor and equipment utilization, divide the actual output of your distribution center by its maximum output potential, then multiply by 100.

(Actual Output / Maximum Output Potential) x 100 = Labor and Equipment Utilization

Order Cycle Time

Order cycle time is the average length of time it takes to ship a product from the time it was ordered, with the exception of the time it takes for the order to go through the shipping process.

Why is order cycle time important?

- **Analyzing the level of satisfaction of customers**
  The time it takes to fulfill a customer's request may either improve or reduce their overall level of satisfaction with the service provided. Customers are more likely to become unsatisfied when the order cycle time is excessively lengthy, since this may result in delays in order fulfillment and delivery. Short order cycle times allow you to provide a more efficient experience for clients throughout the fulfillment process, which may lead to higher customer satisfaction.

- **Identifying problems in the supply chain**
  The time it takes for an order to cycle through your distribution center might be a good indication of supply chain difficulties that are contributing to order

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fulfillment delays. When your order cycle time is unusually lengthy, there may be inefficient or unnecessary processes in your supply chain process. Depending on how lengthy your order cycle time is, these stages may be improved or omitted completely.

- **Scalability Assessment**
  The time it takes to process an order is an important indicator for establishing if your firm is ready to grow. In order to grow your business, you'll need a reliable supply chain that can handle more orders without disrupting operations. If the time required to complete an order is not too lengthy, expanding your business should not be too tough.

How to calculate order cycle time?

To calculate order cycle time, subtract the product order date from the delivery date, then divide by the total number of orders shipped in that period (month or quarter are much more effective).

Delivery Date - Order Date / Total Number of Orders = Order Cycle Time

How to improve order cycle time?

- **Streamline your warehousing operations.**
  There is a possibility that inefficiencies in the warehouse may slow down the order cycle times.

  For instance, pickers — do they have an easy time finding the things that they are looking for? How far away should the storage racks be from one another in order for them to be readily moved around? Is there a reasonable amount of space between the picking area and the fulfillment area in your facility? The process of picking items and packing them might be slowed

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significantly by any one of these things.

By detecting and eliminating these inefficiencies, you may reduce the amount of time it takes to process orders. To get started, you should begin by monitoring and analyzing the KPIs of your distribution center in order to identify problem areas. It is probable that you will need to use warehouse slotting in order to make the most efficient use of the space you have available in your warehouse and to boost picking productivity.

- **Set effective rules and standards.**
  To increase order fulfillment, first establish clear rules and standards for your employees.

  Reducing the number of picking batches may aid in moving orders from shelves to the packing room more quickly. Sorting or collecting returns may be simpler if guidelines for how and where to leave them are established. Controlling the frequency of inventory reorders helps to avoid overstocking and back-ordering, which may cause order fulfillment time to be delayed.

  Consider reviewing your late delivery policy. Establishing instructions for what to do if a delivery mistake occurs is part of eCommerce order tracking. Plan when and how you will follow up if an order is delayed at a certain location.

- **Continually monitor cycle time.**
  Order cycle times may be affected by changes and disturbances in the supply chain. For example, if an unforeseen delivery issue arises, the order cycle time may be much longer than usual. Also, after deploying an automated warehouse receiving system, you may notice a significant reduction in the time necessary to

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fulfill each order cycle.

If you have a large volume of eCommerce returns to manage, your warehouse personnel may be unable to concentrate on fulfillment responsibilities since they will be too preoccupied registering and categorizing the returned products.

This statistic is influenced by a broad collection of factors scattered across your whole supply chain. It is critical to constantly evaluate and alter the order cycle time that you have established for your company. Following that, you may assess if the procedures involved in your supply chain need to be altered and improved in order to speed up the process.

- **Some aspects of the order cycle may be outsourced.** The order cycle may be sped up in the most efficient manner by delegating management of the fulfillment process to a group of specialists. Utilizing the services provided by third-party logistics partners is one approach to ensure that orders are received, picked up, packaged, and sent out in a timely manner. Look for a third-party logistics provider that is empowered with technology and can assist you in automating substantial parts of the fulfillment process, if it is at all possible to do so.

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13. ONLINE EDUCATIONAL BUSINESS MODEL METRICS & KPIS

If you are an online teacher or creator of an online course, you must keep a close watch on these 4 key learning metrics.

Student Progress

By using a Learning Management System (LMS), you have the capacity to monitor the progress of individual students as well as overall progress. It allows you to monitor the performance of your online students, including how well they are understanding the material, how long it will take them to complete each eLearning course, and how well they are doing overall.

If students taking an online course don't pass the final online exam, it is logical to presume that they aren't understanding the subject. However, students who successfully complete an online course via eLearning run the risk of becoming bored with the material. This is not a straightforward case of passing or failing.

Using student progress and completion metrics offered by your LMS, you may detect problems in the design of your eLearning course as you track the progress of your students.

Learner Competency

Whatever your priorities are, the end goal is to help your students become more informed and proficient in the subject area that they are currently studying. You want your online students to be able to finish their online assignments, apply what they've learned, and recall essential information.

Your LMS must be able to assess students' knowledge both before and after they complete the course. This may take the

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form of multiple-choice tests or interactive simulations. The Learning Management System (LMS) should go one step further and analyze all of the data from the online exams. For example, the time required to complete the eLearning assessment and whether online students have progressed or not, since the last online test.

It is advisable to do numerous "pop quizzes" on their competence rather than wait until the very end. Evaluate the results of each eLearning evaluation and identify any areas that need more work so that you can go ahead. This gives the chance to provide additional resources and thereby improve performance before the competition does.

Instructor Effectiveness

The design of your eLearning course may be well received by students taking it online, but it is difficult to get an accurate understanding of how the students genuinely feel about the instructors.

When it comes to e-learning in the workplace, the responsibilities of managers, trainers, and supervisors are, for the most part, interchangeable. These experts are very important to the field of eLearning. They give continuing support to individuals who are already familiar with the ins and outs of the online learning experience, while also serving as a resource for those who are new to it. As a result, they are obligated to treat the position they have in the eLearning community with the seriousness it deserves and participate actively in the community.

Using anonymous online polls and questionnaires is a fantastic way to get a feel for how effectively a professor or supervisor is doing in their role. With this, people do not have to worry about being punished for freely expressing their opinions.

Customer Satisfaction

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Your e-learning platform may be running smoothly until you take a poll and the results do not seem to meet your expectations. You may reject the negative assessments since you have spent a significant amount of time on your programs and, as a result, have a strong attachment to them. However, it is critical to take a step back and examine the eLearning course's design.

eLearning course evaluation and customer satisfaction ratings are among the most important LMS indicators. This is because they ask the appropriate questions and provide the answers we need to hear but may not have considered or don't want to consider.

By using customer satisfaction assessment metrics, you can get answers to questions, such as:

- What do your online learners think about the eLearning program?
- Is there anything they believe needs to be done?
- Would they recommend this platform to a friend or coworker?

A survey or poll is a good way to get answers to these important issues. All of this data will subsequently be collected and processed by the LMS. To aid with data comprehension, several LMSs create charts, graphs, and tables.

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14. DROP-SHIPPING BUSINESS MODEL METRICS & KPIS

Inventory Feed Score

Throughout the drop-shipping process, a supplier retains ownership of the products and is obliged to put aside inventory, packing material, and other supplies. If you want to provide satisfactory service to your clients, you must have real-time insight into their inventory quantities. You will be able to acquire an accurate picture of what is currently available if you ensure that the suppliers are reporting inventory feeds in accordance with the service level agreement (SLA) that they have in place. This will allow you to make more informed business choices.

On-Time Delivery

The "on-time delivery" indicator is a KPI used by eCommerce businesses and delivery companies to evaluate their capacity to complete an order for a customer by the originally specified delivery date. This date is referred to as the "promised delivery date".

Why On-Time Delivery Metrics Matter?

It is essential that your delivery comes on time if you want to cultivate a loyal following among your customers. If you are able to live up to the standards set by your customers and maintain a consistent level of service, they will keep coming back for more.

Nevertheless, the information that OTD provides regarding your fulfillment or shipping procedures is very important. When your company misses deadlines for delivering items or services, it's usually a warning sign that you have other problems inside the company that need to be addressed.

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How to Calculate Your On-Time Delivery Metrics?

To calculate on-time delivery, divide the total number of deliveries by the number of deliveries that didn't arrive at the specified date.

In the vast majority of cases, OTD is calculated by making use of a window that starts five days before the delivery due date. For example, if a product is scheduled to be delivered on the 23rd of December, and it arrives between the 19th and the 23rd, your company could consider this to be an on-time delivery. From your perspective, once the 23rd of December has passed, it is already too late.

How to Improve Your On-Time Delivery Metrics?

- Establish an internal goal for your percentage of on-time deliveries to use as a baseline against which to judge future performance, and use this goal to reach your company's overall on-time delivery rate target. Use a scorecard to keep track of employee performance, and provide rewards to staff members if they are successful in meeting their targets.
- Consult with your staff in order to figure out what factors are contributing to the delays and how to improve overall efficiency levels.
- Investing in inventory management software can help you prevent running out of stock and improve inventory organization, making it easier to locate individual goods as well as the many sizes and colors they come in. In addition, enterprise resource planning (ERP) software may be of assistance in the management and enhancement of the whole supply chain.
- Processing time for an order is extended when it

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involves an item that requires extra packaging. You may increase the effectiveness of your supply chain by lowering the total quantity of packaging that you utilize. If you can fit everything into only a few boxes, by all means, do so. Otherwise, use just the minimum amount of protective wrapping that is necessary.

- Stop the time-consuming and inefficient procedure known as "single-order picking", in which your workers scour the warehouse for each individual item that is part of a single order. This is the method that is used the most often, but it is also the one that takes the most time. You may want to think about switching to an alternative method of picking, including zone picking, cluster picking, or batch picking. When you use these tactics, the amount of time required to process orders will be cut down significantly.

Order Fill Rate

The order fill rate is expressed as the percentage of placed orders that are successfully fulfilled on the very first shipment. For example, if a customer requests 100 different items, but you only have 10 of those items in-store, your order fill rate would be 90%.

How to Calculate the Order Fill Rate?

To calculate the order fill rate, divide the total number of items shipped to the customer by the total number of items ordered, then multiply by 100.

(No. of Items Delivered / No. of Items Ordered) x 100 = Order Fill Rate

If the customer ordered 100 items and only 90 were in stock, this would be the formula for your order fill rate:

Order Fill Rate = (90 / 100) x 100 = 90%

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15. CASH MACHINE BUSINESS MODEL METRICS & KPIS

Because revenue is based on very minor gains for each transaction, machine owners must closely monitor KPIs to optimize earnings. Having a detailed record and keeping an eye on your numerous locations will assist you to get the most out of your business.

There are many factors to consider when choosing a location for a vending machine or ATM firm. If you put your business in a high-traffic area, you will benefit from higher transaction fees, an increase in the number of transactions, and low service costs. You will be rewarded for your efforts if you concentrate on these key performance indicators and appropriately optimize them.

Unit Quantity and Location

The more machines you have, the more money you will generate overall, but you have to make sure that each unit is recorded according to its location. This includes the actual location, which might be as detailed as a street or block number. This is something that has to be taken into consideration because different locations have different amounts of traffic and therefore revenue from these locations will vary; for example, ATMs in barbershops may have a lower potential for profit than those in restaurants. Having an understanding of how various locations perform might be beneficial when making future plans.

Performance of Each Unit

It is critical to recognize that each machine is unique and has its own set of traits, variances, and quirks. However, the fact

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that two of the machines that you would expect to earn the same amount are not doing so should serve as a cautionary indicator that there may be maintenance difficulties or restricted access during specific hours that are interfering with the machine's operation.

Uptime and Downtime by Unit

Always keep an eye out for anything that seems to be out of the norm. There will be no profit if the card readers are broken, there is insufficient receipt paper, or there is insufficient cash in the ATMs. If no one can utilize the machine, there is no way for it to generate revenue. If you discover tendencies based on machine OS, brand, or location, you may be able to better leverage this information to boost availability and reduce downtime.

Product or Cash Dispensed

Monitoring ATM withdrawals are crucial in order to keep track of how much money is used and when extra funds should be added. This is due to the fact that when a cash machine is constantly out of money, most people will never consider checking if it's in service ever again. At least with vending machines, customers have other options if specific food items run out, which increases the possibility that they will purchase something different. If this is the case, you must discover what snacks are popular in different locations so that you can correctly plan refills.

When it comes to automated teller machines, you should be familiar with withdrawal rates so that you can arrange refills ahead of time when the money in them runs out.

Cost of Cash and Product

The cost of cash is more difficult to estimate when compared to the price of vending machine products. ATM cash expenditures include both interests on money paid as

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machine rent and the economic cost of having your own money sitting in a machine doing nothing useful for you. When procuring cash or supplies for your vending machine, keep transportation and insurance costs in mind.

Profitability

You should think about whether your cash company is lucrative or not. All of the preceding KPIs pointed toward this target. Profit should be expected once any abnormalities that caused downtime have been resolved and the performance of each individual machine has been evaluated. If it is not achieved, you might consider canceling your contract renewals or, if required, terminating them outright.

Contract Status

If you want to avoid losing money on a machine, you must have a thorough understanding of the contract's terms and conditions, as well as the deadlines involved. Maintain control over renewals and contractual dialogues for your most profitable installations, but be prepared to move on when the time comes.

If you have a lot of automated teller machines or vending machines, it may be difficult to keep track of them all (ATMs). To prevent being caught off guard by contractual deception, it is necessary to pay particular attention to the intricacies of contracts, especially given the low transaction costs and a broad variety of locations and settings. Implementing and constantly monitoring your key performance indicators is required for profitable franchise management (KPIs).

CONCLUSION

The review of business models with these metrics is critical

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for both investors and other types of businesses.

Startups analyze their business models to ensure that they have obtained a business model that will allow them to develop a corporation capable of reaching their objectives. Companies in operation are analyzing their business models to identify and correct any shortcomings. Investors carefully examine a company's business model to decide whether it is worth investing in.

As a result, the metrics for each business model are the specific indicators that are used to thoroughly study the business model in order to aid in the completion of this analysis easily and professionally. After the business model has been evaluated using these metrics, it is either approved as is or adjusted to better suit the aims and aspirations of each individual company, depending on the findings of the evaluation.

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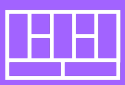
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